



NetDiligence[®] **CYBER CLAIMS STUDY** 2026 REPORT

OUR SPONSORS



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Introduction

Welcome to the sixteenth annual NetDiligence® *Cyber Claims Study*. This report is based on the summary statistical analysis of over 10,300 cyber claims for incidents that occurred during the five-year period 2021–2025. By comparison, the first *Cyber Claims Study*, published in 2010, analyzed fewer than 100 cyber insurance claims.

By the Numbers

- 10,309 claims analyzed, arising from incidents occurring 2021–2025
- 4,825 new and updated claims collected in 2025, from incidents occurring 2023–2025
- 1,780 claims analyzed arising from incidents occurring in 2025
- 97% of claims (\$2.5B in total) from small to medium enterprises (SMEs) with less than \$2 billion in annual revenue
- 3% of claims (\$3.2B in total) from large companies with more than \$2 billion in annual revenue
- 2,639 claims due to ransomware, 57% of which occurred between 2023 and 2025
- 2,170 claims at SMEs due to business email compromise, 69% of which occurred between 2023 and 2025

Key Findings

- We see enormous variances in the magnitude of loss data. The smallest claims were less than \$1,000; the largest were over \$500M. The numbers of records exposed ranged from 1 to over 140M.
- There were dramatic differences between the numbers for SMEs and for large companies—multiples of 10x, 1000x, or more. The biggest large company in the dataset (over \$290B in annual revenue) was approximately 29 million times larger than the smallest organization (less than \$10K in annual revenue). The average large company (\$10.1B in annual revenue) was almost 100 times larger than the average SME (\$105M).
- Even though large companies represented only 3% of claims (N=324), these claims accounted for 56% of the total incident cost analyzed in the report (\$3.2B/\$5.7B).

With Appreciation

We want to sincerely thank the cyber insurers listed on page 51 for their support of this report and their dedication to industry education. Many of them have contributed to this research every year for the past 15 years. Without their support, this educational report would not be possible.

Suggestions

If you have ideas or requests for next year's study, please let us know. Send us your thoughts at cyberclaims@netdiligence.com.

- The dataset contains 12 claims >\$100M, 68 claims \$10M–\$99M, and 403 claims \$1M–\$10M. Of the 12 claims >\$100M, two occurred at organizations with <\$700M in annual revenue.
- In SMEs, there were 381 claims ≥\$1M (4%). In large companies, there were 92 claims ≥\$1M (28%)
- Ransomware and business email compromise were the two leading causes of loss. At SMEs, they accounted for 51% of claims ≥\$1K in the five-year period 2021–2025, and nearly 64% in 2025.
- Ransoms rose to new and unprecedented levels, with initial demands as high as \$500M and ransoms paid as high as \$90M. There were 59 ransoms paid ≥\$10M.

In short, the cost of cyber incidents continues to rise.

Company Size

SMEs
Average Size = \$105M

Large Companies
Average Size = \$10.1B

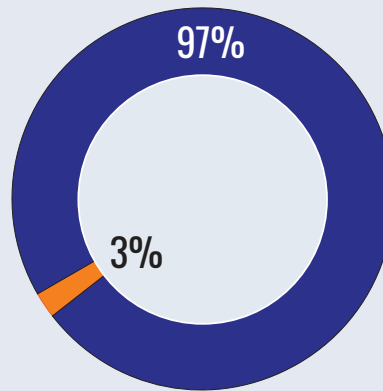


Figure 1

Average Costs for All Claims

SMEs

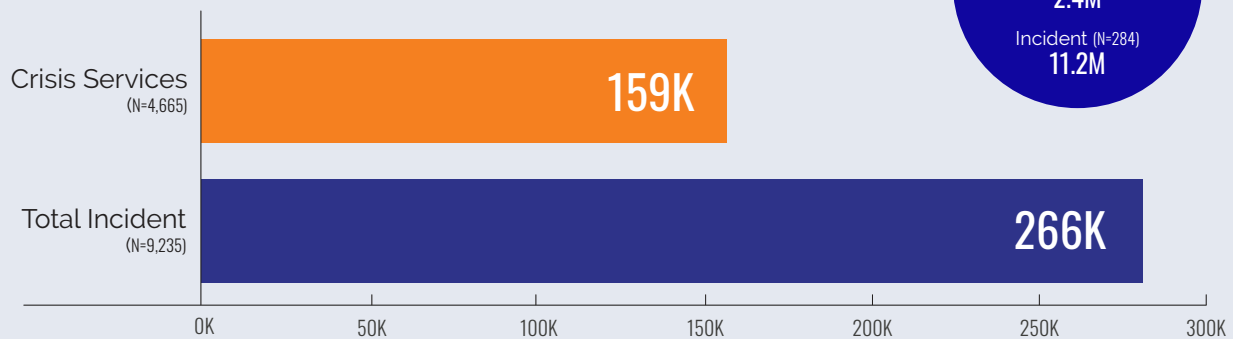


Figure 2

Every year, this study reminds us how wide the range of cyber loss really is—from claims under \$1,000 to a single incident that topped half a billion dollars. What stands out in this year's data is how much ransomware and business email compromise still drive that range. Together they now touch nearly 64% of SME claims in 2025 alone. We need to remain persistent in our efforts to concisely demonstrate the financial impact of cyber risk to the Main Street business that still remains uninsured or underinsured.

Mark Greisiger, President & CEO, NetDiligence



Average Costs for Business Interruption

SMEs

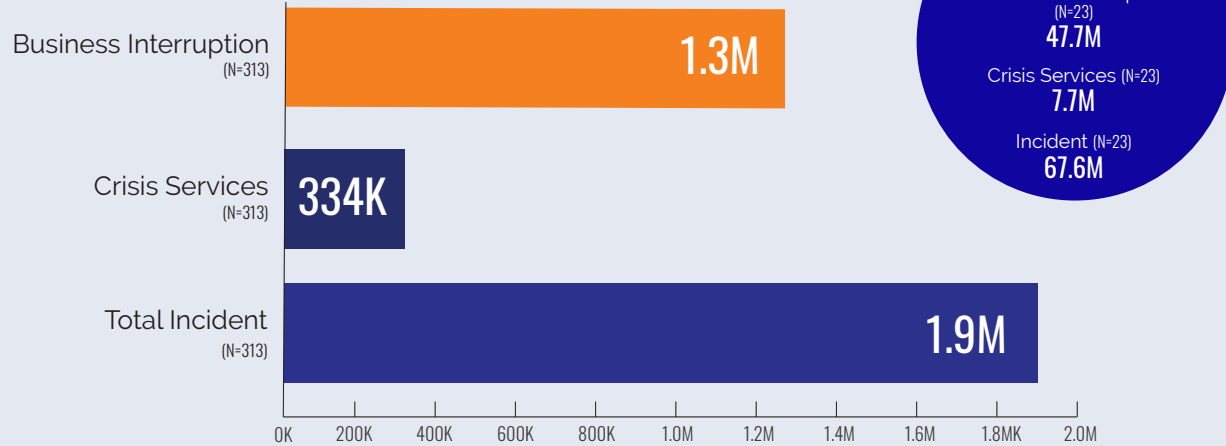


Figure 3



Cyber incidents can quickly become enterprise-wide crises impacting an organization's reputation and revenue. The organizations that respond most effectively are those that have already established a response team, practiced their response plan, and know how they will communicate with employees, customers, and other stakeholders when an incident occurs.

Michael Bruemmer, Head of Global Data Breach Resolution & VP of Consumer Protection, Experian

TERMS

Breach Coach

A qualified data security and privacy attorney who provides legal guidance for cyber incident response.

Incident Cost

Because the proportion of "recordless" events is so large, we replaced the term "breach" with "incident." The term *incident cost* in this report means the aggregate total of all types of costs/expenses associated with the incident.

Crisis Services Costs

Costs associated with responding to the breach event. These costs include, but are not limited to, breach coach counsel, forensics, notification, credit/ID monitoring, and public relations.

Legal Costs

Legal and regulatory expenses incurred due to the event. These costs include, but are not limited to, lawsuit defense, lawsuit settlement, regulatory action defense, and regulatory fines.

Self-Insured Retention (SIR)

The dollar amount that the insured organization had to pay before the insurer paid anything on the claim. In this study, the SIR is included in incident cost.

Small to Medium Enterprise (SME)

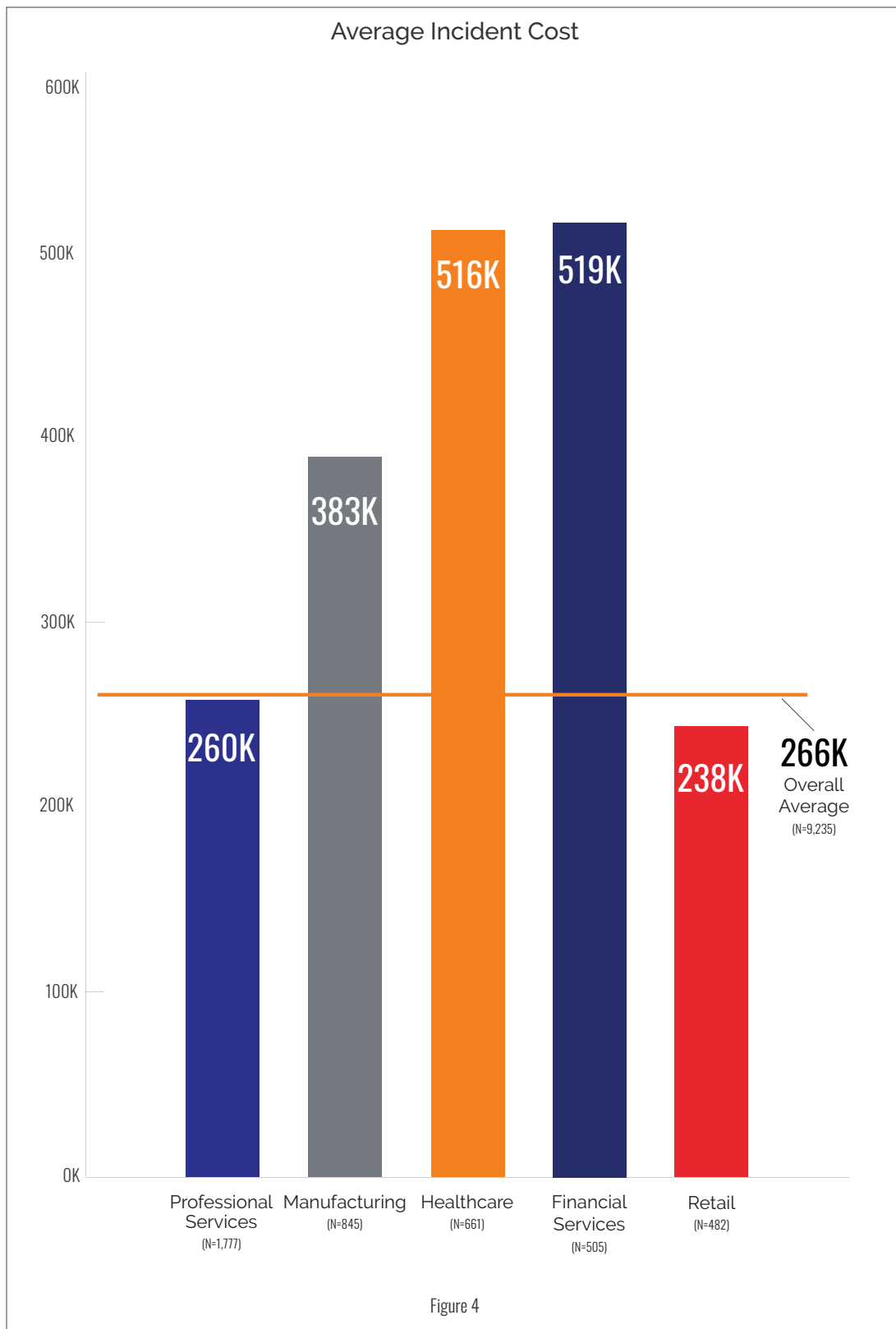
Categorized in this study as organizations with less than \$2 billion in annual revenue.

Large Company

Categorized in this study as organizations with \$2 billion or more in annual revenue.

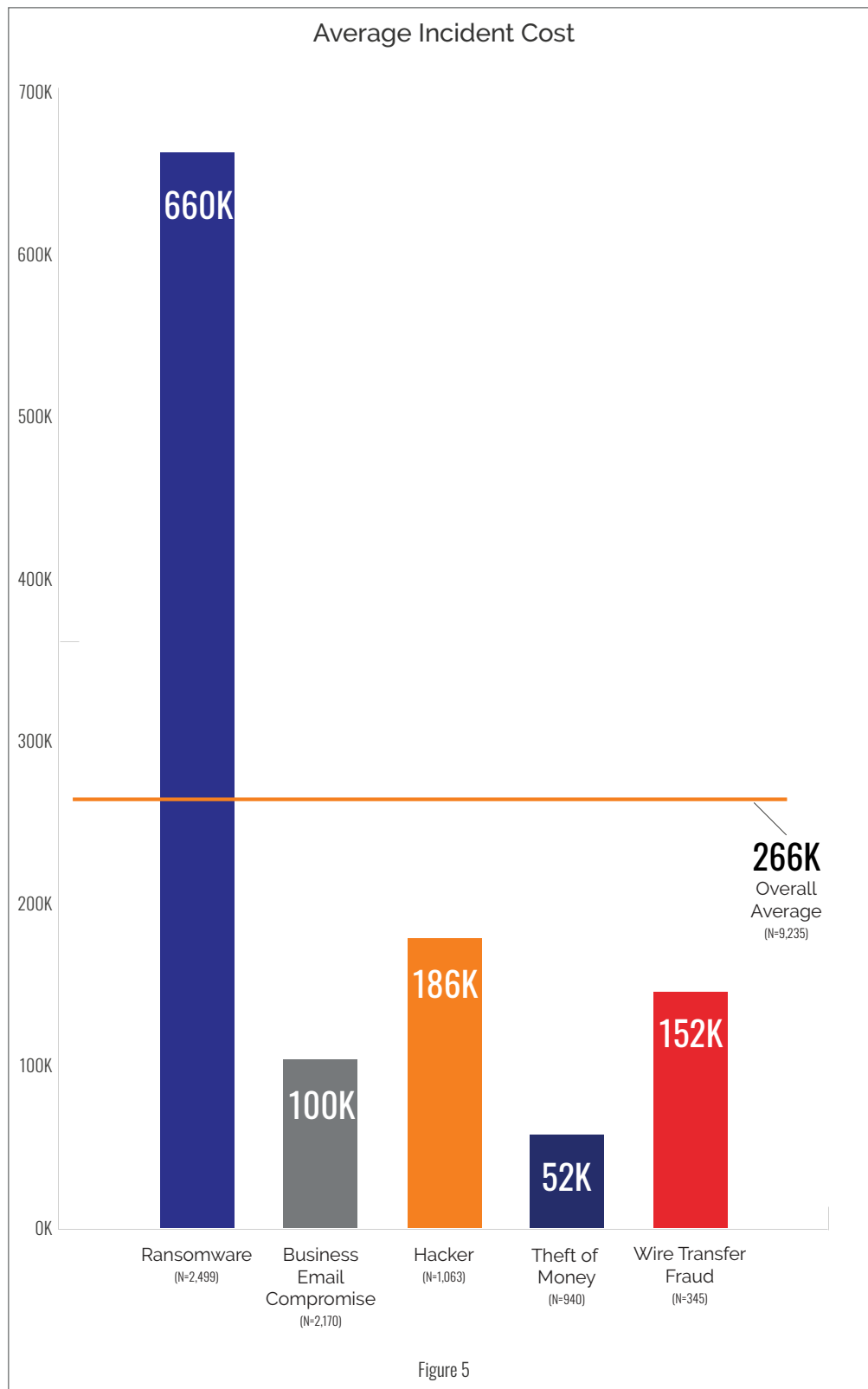
Business Sector

Top 5 by Number of Claims—SMEs



Cause of Loss

Top 5 by Number of Claims—SMEs



An Overview of the Data

The claims analyzed in this study come from organizations of all sizes, the smallest with less than \$10K in annual revenue and the largest with over \$290B. As the dataset is overwhelmingly weighted with claims from smaller companies, this may dilute the findings for large companies. Likewise, large companies can function as outliers, skewing the findings for small organizations. Therefore, the dataset has been divided into two categories based on the size of the insured entity. Organizations with less than \$2B in annual revenue are defined as small to medium enterprises (SMEs), while those with \$2B or greater in annual revenue are defined as large companies.

The majority of study participants (71%) provided estimates of the annual revenue of the insured entities. Analysis of this data provides the following company demographics:

- SMEs: annual revenue ranged from less than \$10K to \$1.9B. The average was \$105M. SMEs accounted for 97% of claims but only 44% of total incident cost.
- Large companies: annual revenue ranged from \$2B to more than \$290B. The average was \$10.1B. Large companies accounted for only 3% of claims but 56% of total incident cost.

Proportion of Claims by Company Size

2021-2025
(N=10,309)

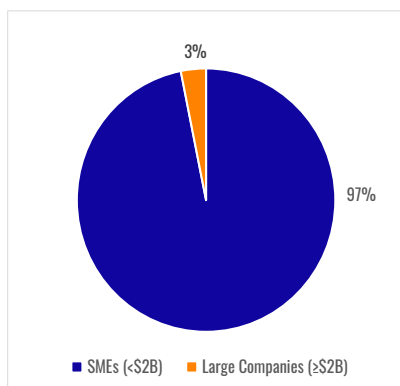


Figure 6

Proportion of Cost by Company Size

2021-2025
(Total Cost=\$5.65B)

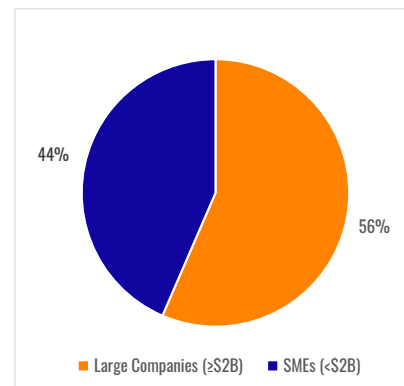


Figure 7

We've started seeing more employees trying on their developer hat and testing AI tools that plug straight into corporate data infrastructure. Data governance usually isn't keeping up with that. In conversations across the cyber insurance ecosystem and with clients, the same theme keeps coming up: AI governance is becoming a bigger part of how risk gets assessed, and from what we're hearing, it's likely to influence how coverage gets written and how policies match up to actual exposure. Companies that don't put real governance and controls around AI now are setting themselves up for bigger failures down the road.

Rich Servillas, Director, RSM US LLP

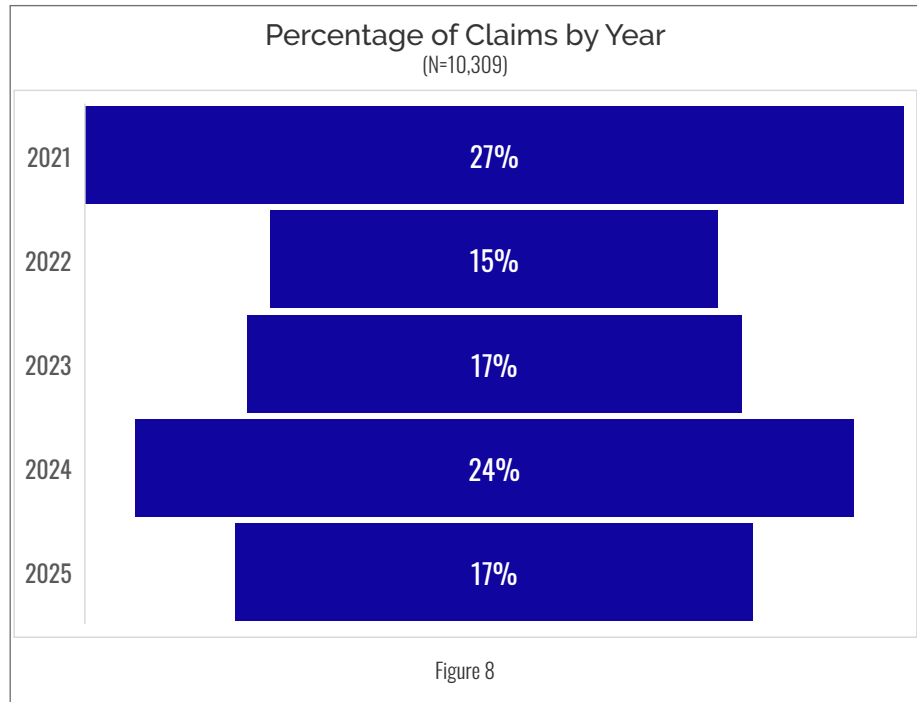


Claims by Year of Event

The study includes 10,309 incidents occurring 2021-2025. The incident distribution by year is depicted in Figure 8.

Demographic analyses are based on all 10,309 claims while cost analyses are based on the 9,519 claims that reported incident cost $\geq$ \$1,000.

The claims analyzed in this report come from incidents at organizations in 7 revenue groupings and 19 business sectors, across 25 causes of loss and 14 types of data.



Incident Cost and Payout

Study participants were asked to provide information about the amount of money paid on a claim and to give an estimate of the total cost of the incident, including self-insured retention (SIR) and other costs that may have been excluded due to the terms of the policy.

There were 381 SME claims over \$1M, and another 345 claims \$500K-\$1M. The largest SME claims occurred in 2022 (>\$100M). These incidents happened in the manufacturing and healthcare sectors. Both involved ransomware with very large ransoms and extremely large business interruption losses (>\$90M). Neither company was extremely large—annual revenue for each was <\$700M.

The largest incident at a large company occurred in 2021 (>\$500M). Between 2021 and 2025, there were 15 claims at large companies with over \$50M in total incident cost, and another 27 claims with \$10M-\$50M in total incident cost.

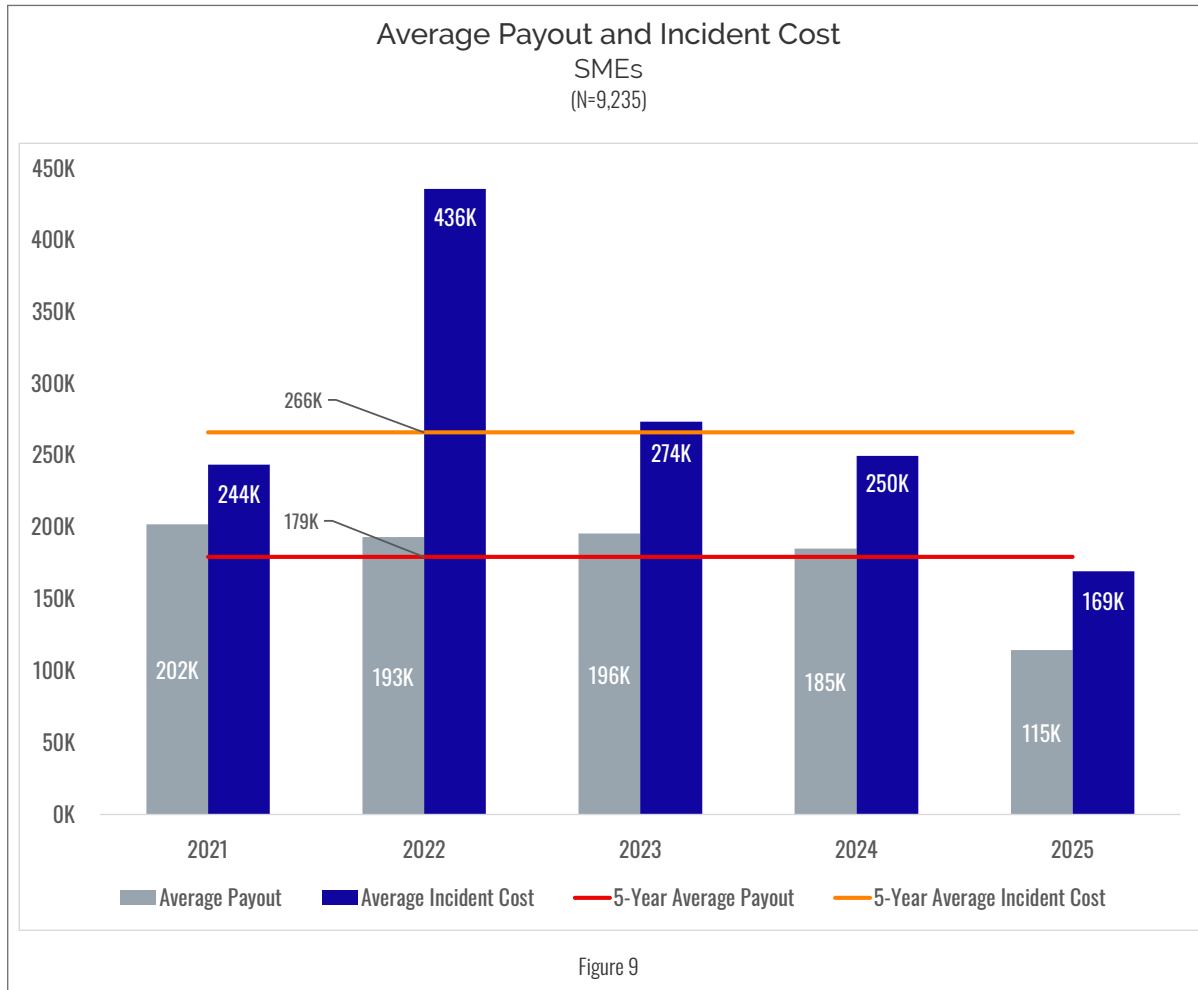
Payouts for all organization sizes covered 39% of the total incident cost. For SMEs, the five-year payout was 67% of the total incident cost. At large companies, this number was 20%.

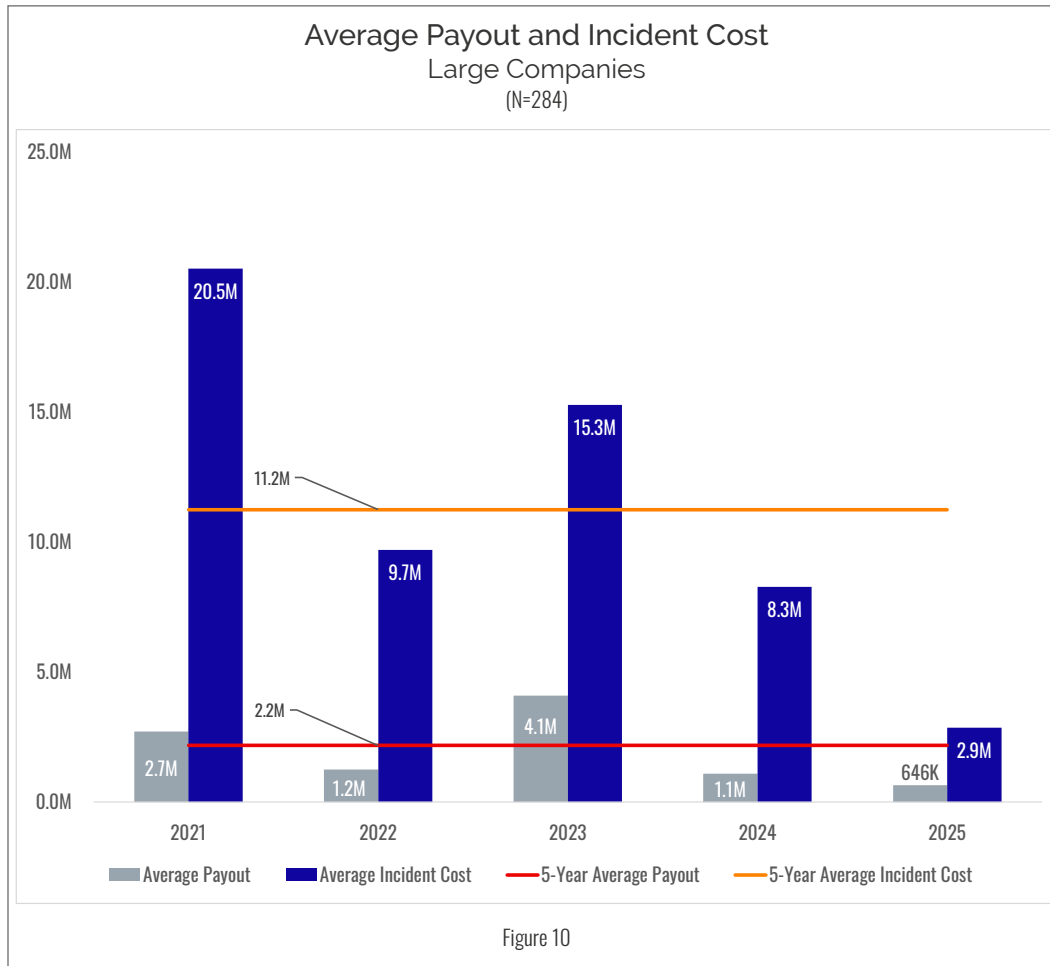
For SMEs, these proportions are similar to last year's report (67% vs 64%). For large companies, they also remain steady (20% vs 22%).

Figures 9 and 10 provide year-by-year averages of payout versus total incident cost, plus the five-year averages of payout amount and total incident cost for both SMEs and large companies.

The five-year numbers for SMEs are similar to those reported last year. Average total incident cost and payouts for 2021-2025 were \$266K and \$179K, versus \$264K and \$183K for 2020-2024.

At large companies, the numbers also remained steady. Average total incident cost and payouts for 2021-2025 were \$11.2M and \$2.2M, compared to \$10.3M and \$2.8M for the period 2020-2024.





Once again, the NetDiligence Cyber Claims Study found enormous variations in the magnitude of loss data. The dramatic differences between losses for SMEs as compared with losses for large companies reflect the vast risk in the online criminal ecosystem. Many losses likely resulted from opportunistic criminal activity while some massive losses resulted from targeted sophisticated criminal activity. As AI becomes an equalizer between unsophisticated criminals and sophisticated criminal organizations, the number of claims and relative losses for SMEs will likely increase substantially, while large companies will continue to be targeted—but will likely experience significant increases in both the magnitude of losses and sophistication of attacks. The cyber insurance landscape will continue to provide a unique lens into the management of this unprecedented risk.

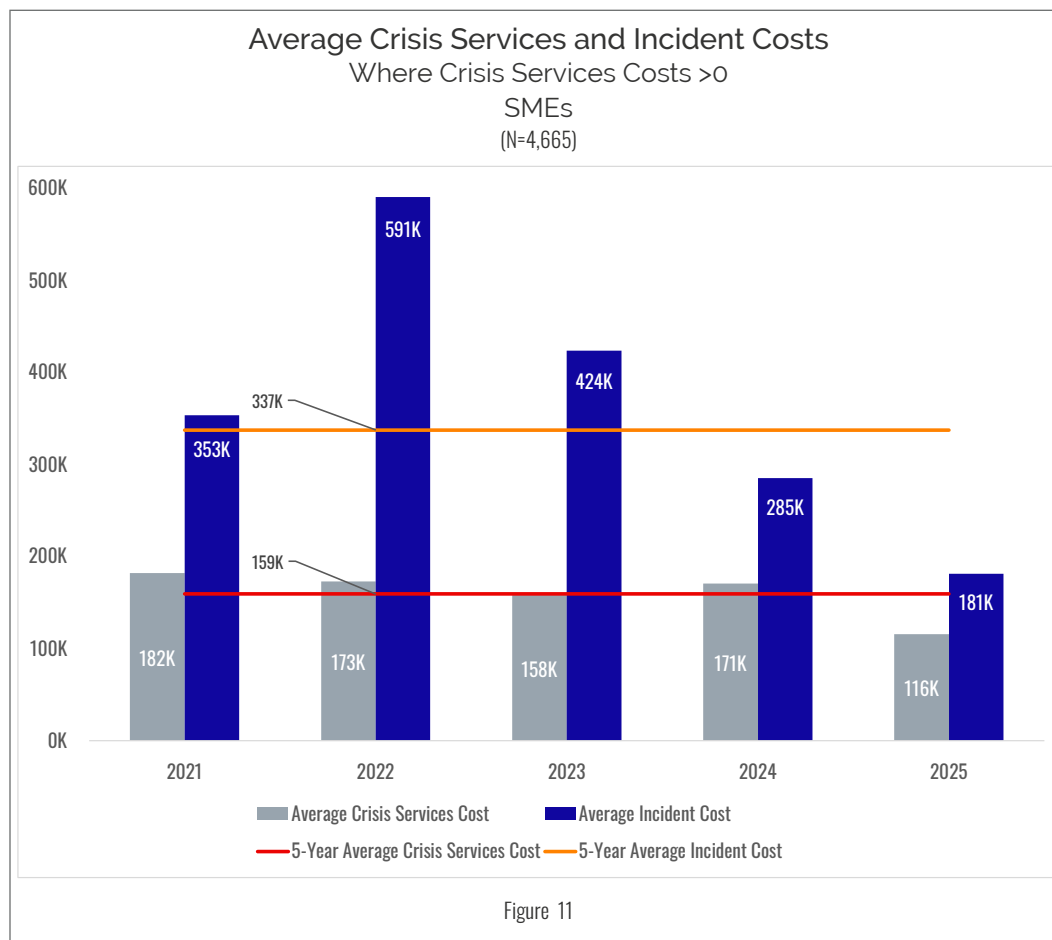
Sean B. Hoar, National Office Managing Partner, Constangy Cyber

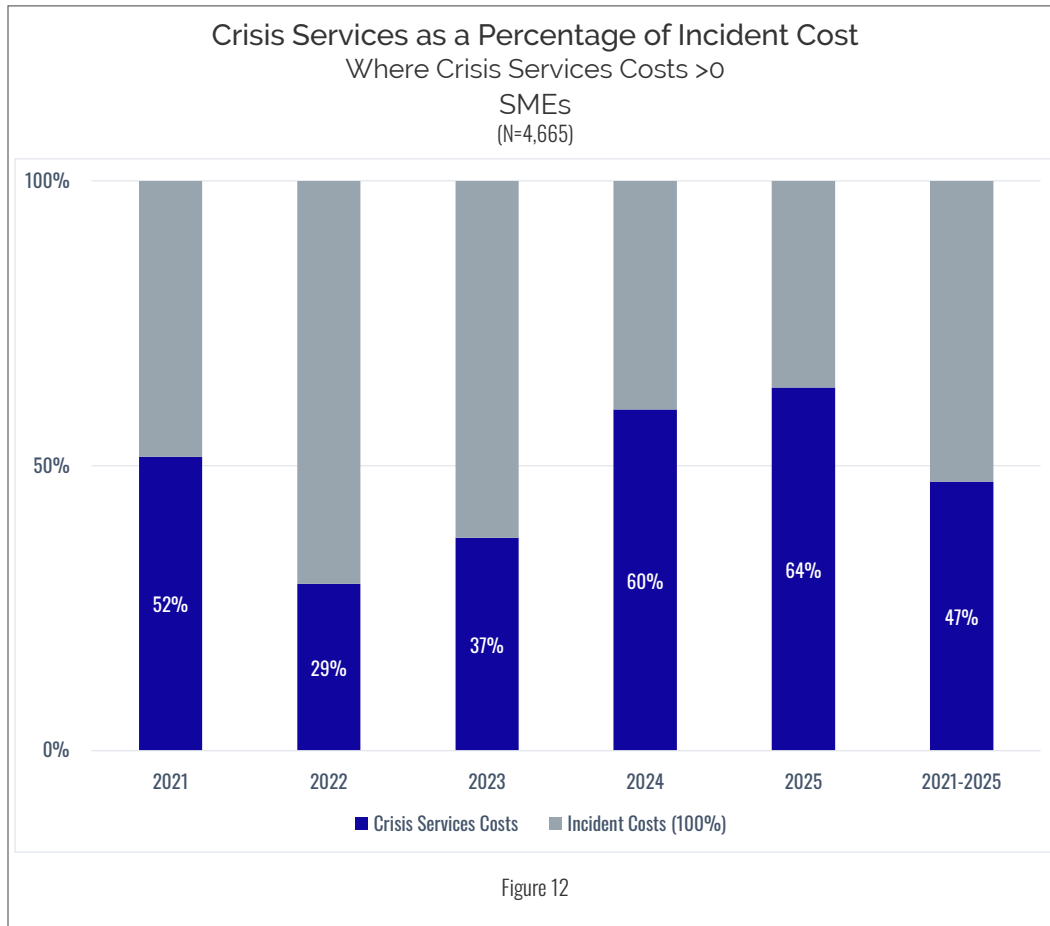
Incident and Crisis Services Costs

For all organizations, crisis services costs ranged from less than \$100 to almost \$60M. Incident costs for these claims, inclusive of SIR, ranged from less than \$1,000 to over \$160M. The averages were influenced by some very expensive claims. Not every claim involves a crisis services element, causing the number of claims or the "N" values on the graphs to vary.

SMEs

At SMEs, average crisis services cost ranged from \$182K in 2021 to \$181K in 2025. The five-year average crisis services cost was similar to that reported last year. Over five years, crisis services costs for SMEs average about 47% of total incident cost.



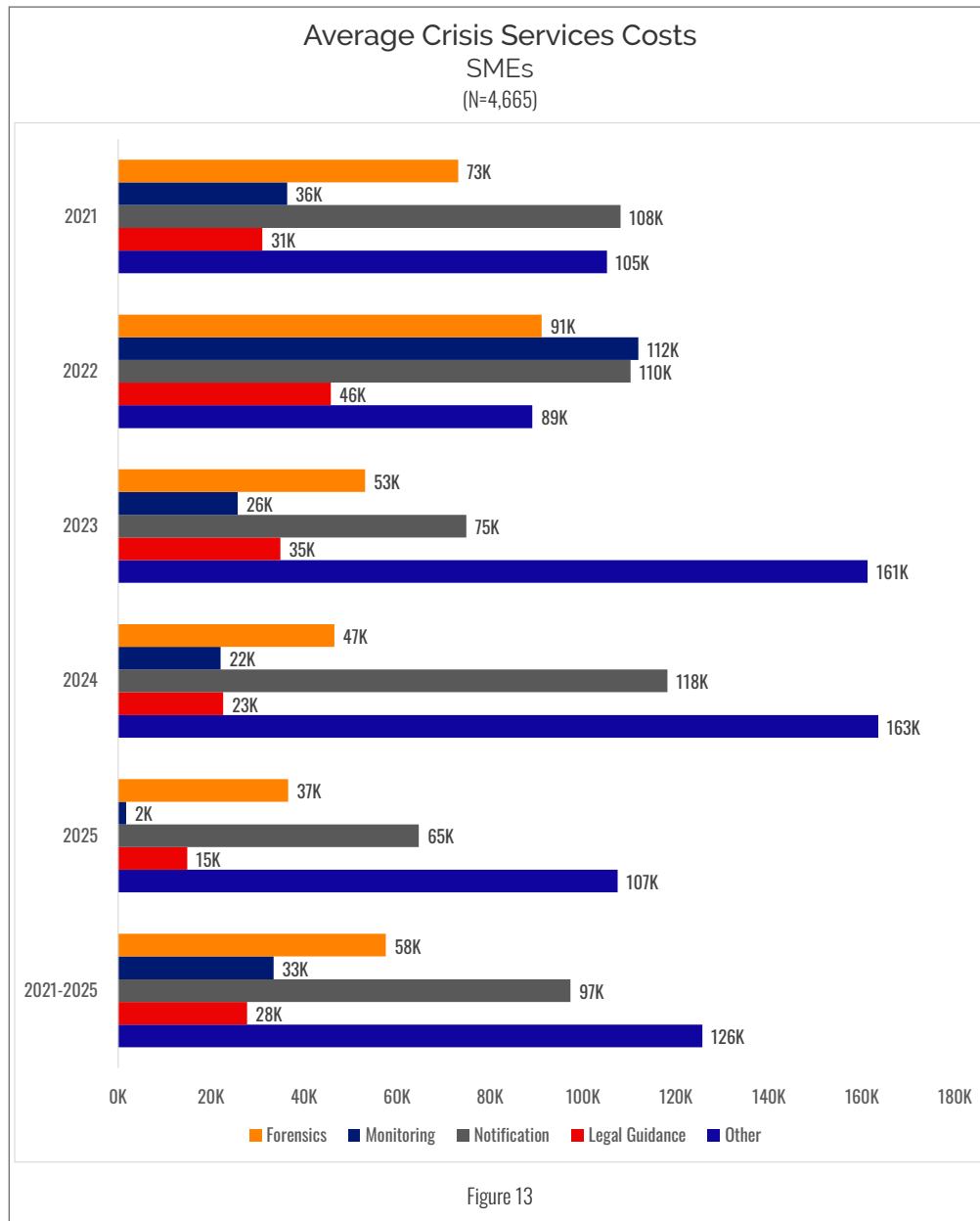


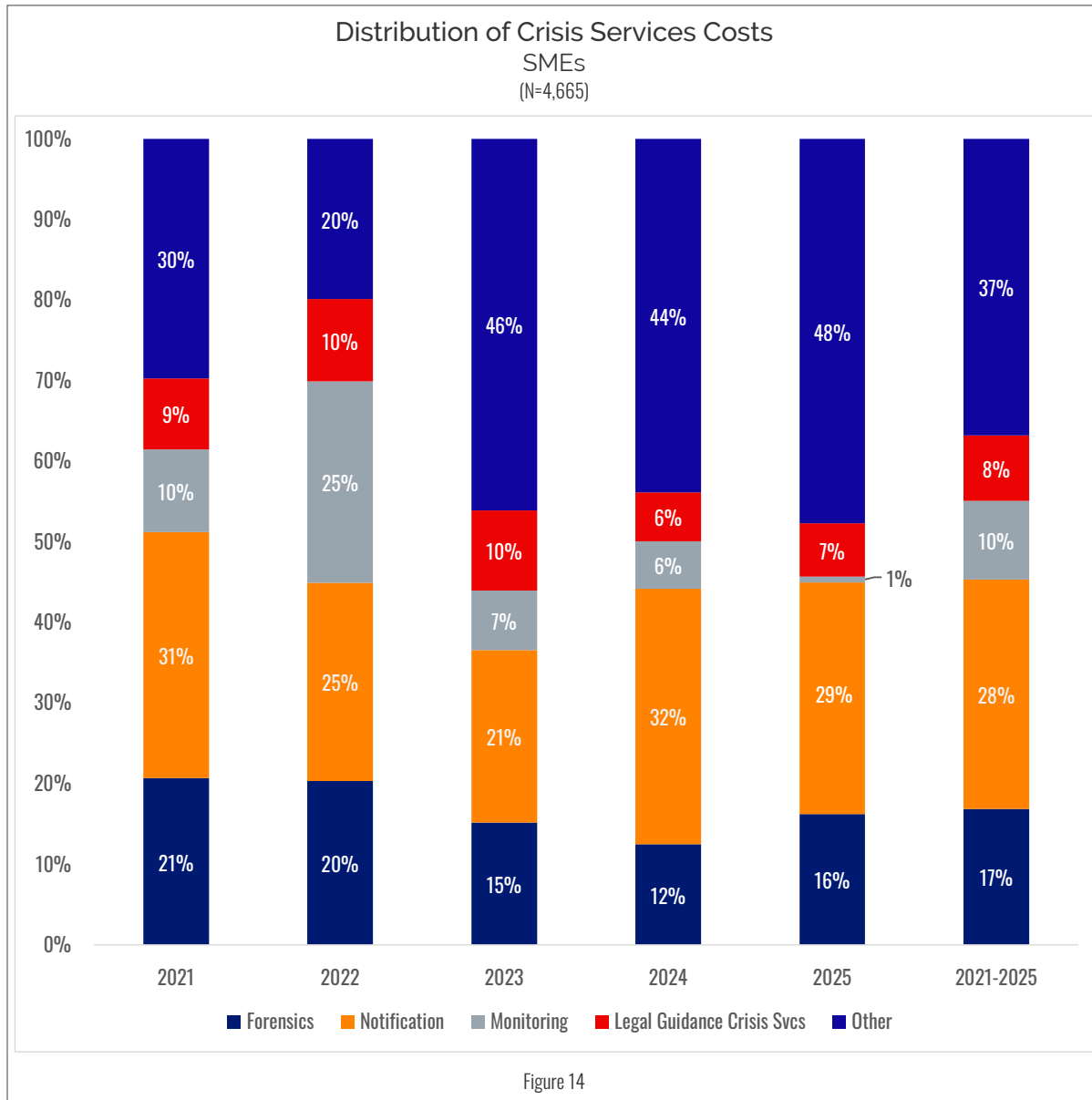
The financial impact of a cyber incident extends well beyond the initial attack. Forensics, notification, legal guidance, and identity protection are critical components of a response. Having trusted partners and a tested process in place before an incident can help organizations move faster when every hour matters.

Michael Bruemmer, Experian

NETDILIGENCE® CYBER CLAIMS STUDY 2026 REPORT

Figures 13 and 14 depict average crisis services cost by individual component, as well as the percentage of total crisis services cost that each component represents. During the five-year period, forensics accounted for 17% of the total, and legal guidance accounted for another 8% of the total. These proportions are similar to those reported last year.



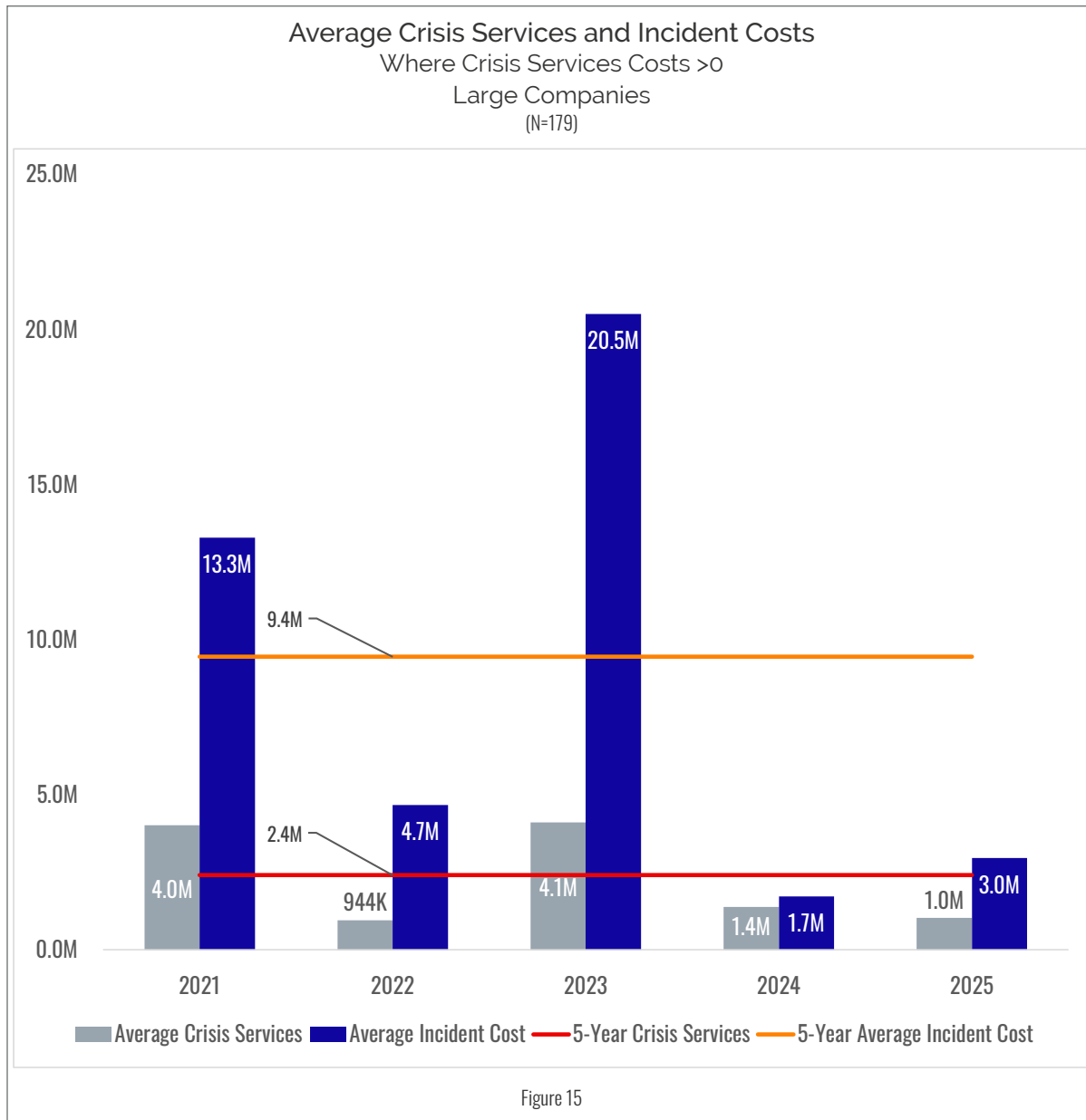


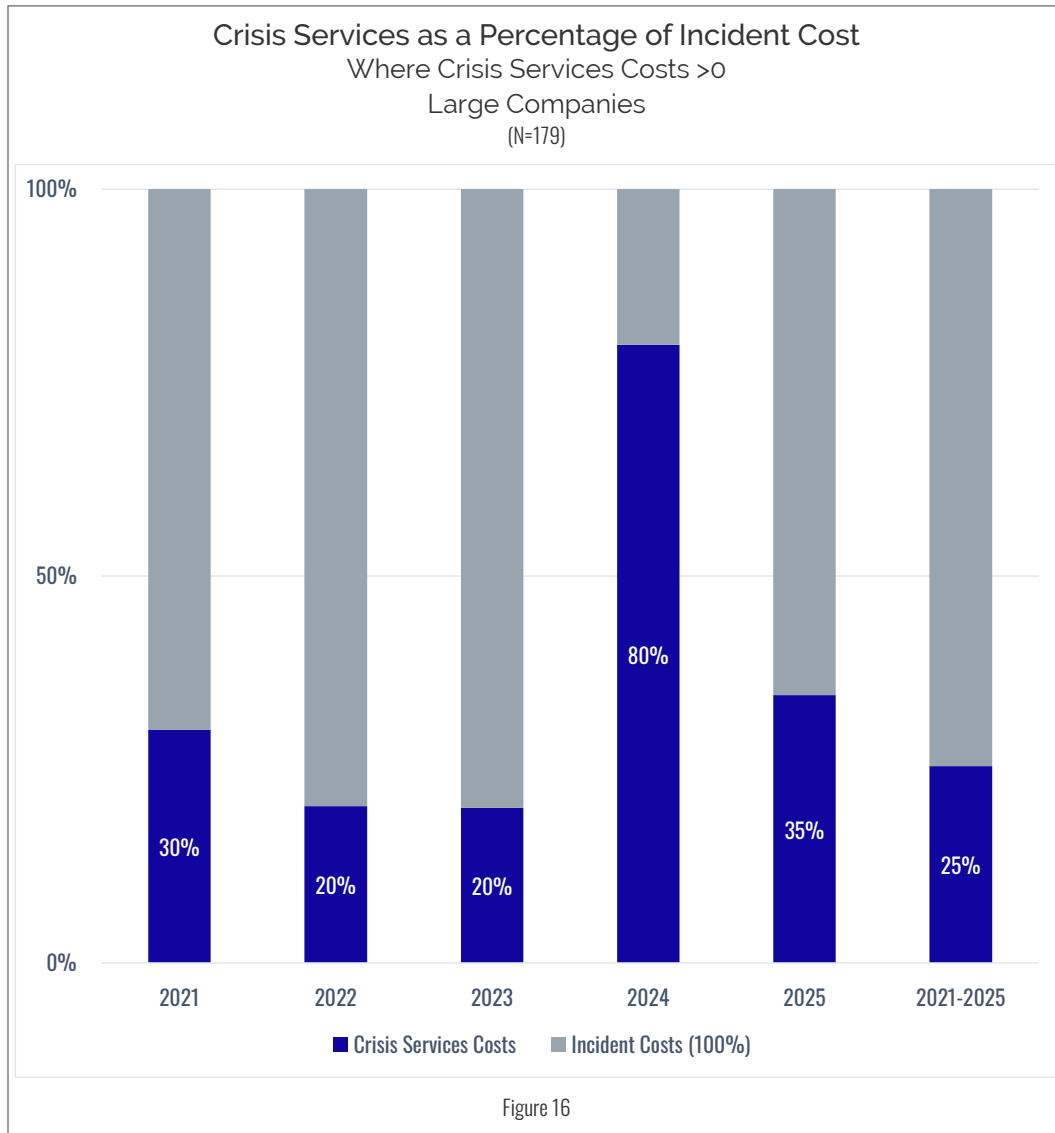
Large Companies:

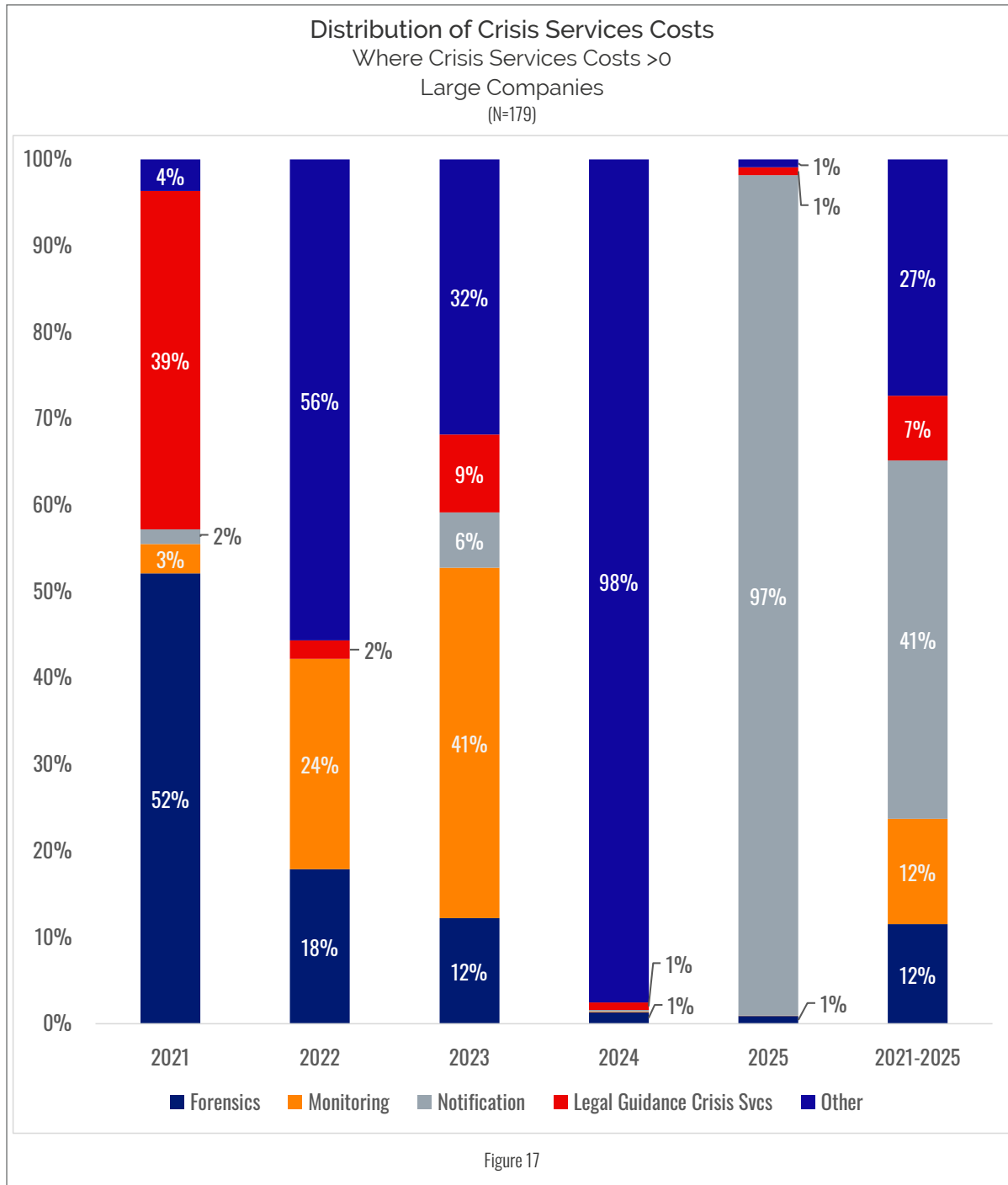
Figure 15 illustrates considerable variability in both the average crisis services cost and the incident cost at large companies. Here, average incident cost ranged from \$1.7M to \$20.5M. Outlier events in 2021 and 2023 contributed to spikes in averages for those years.

Figure 16 shows crisis service cost as a percent of total cost. Over the five-year period, this percentage ranged from 20% to 80%, with an average of 25%. This average is the same as was recorded in the previous five year period (25% from 2020-2024.)

Figure 17 breaks down crisis services costs into a variety of service components and shows much variability.







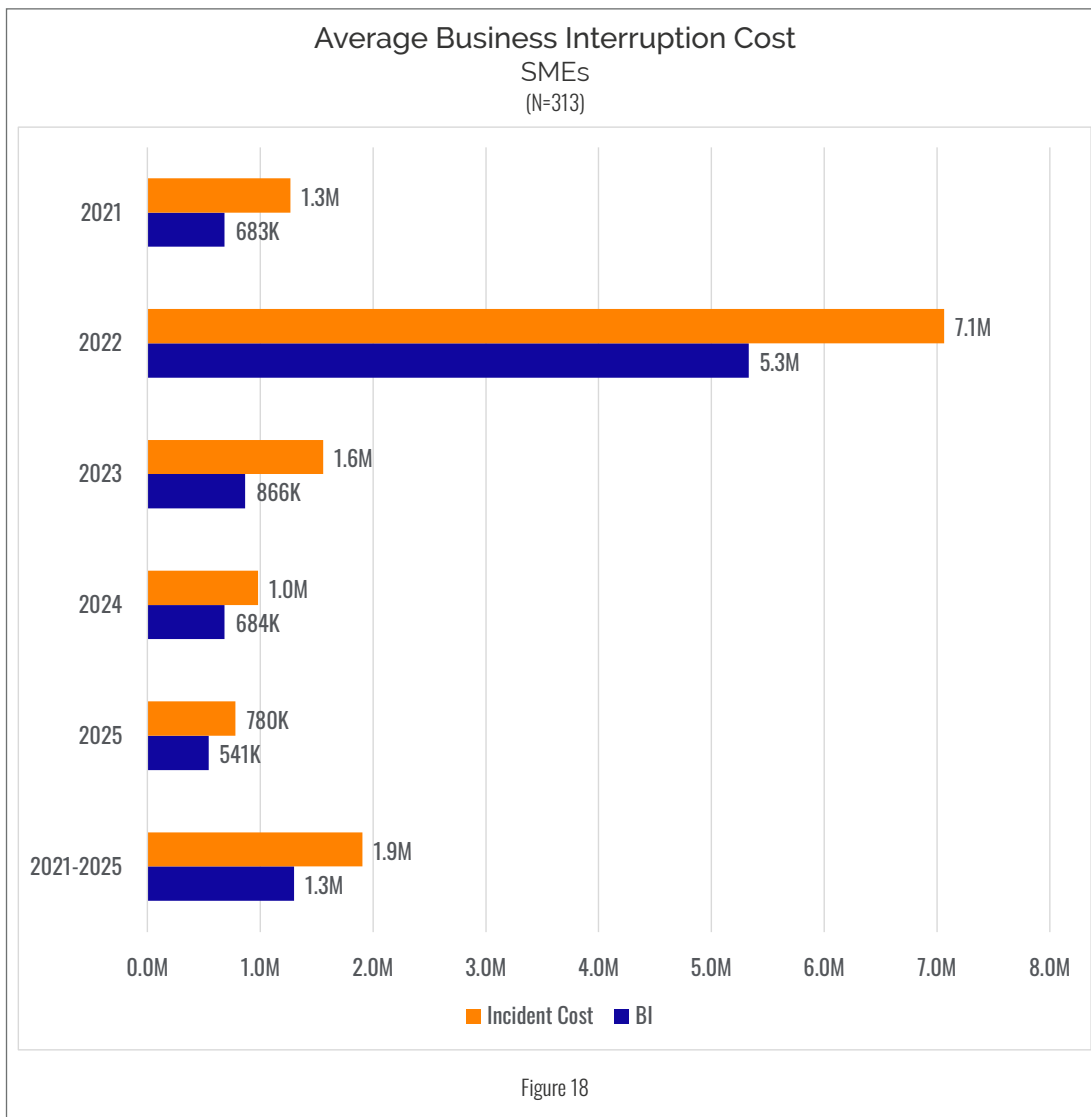
Business Interruption (BI)

SMEs

BI costs were reported for 313 incidents. Since 2021, the average BI cost and corresponding average incident cost have remained high. The spike in 2022 was caused by two very large outlier incidents, each in excess of \$100M.

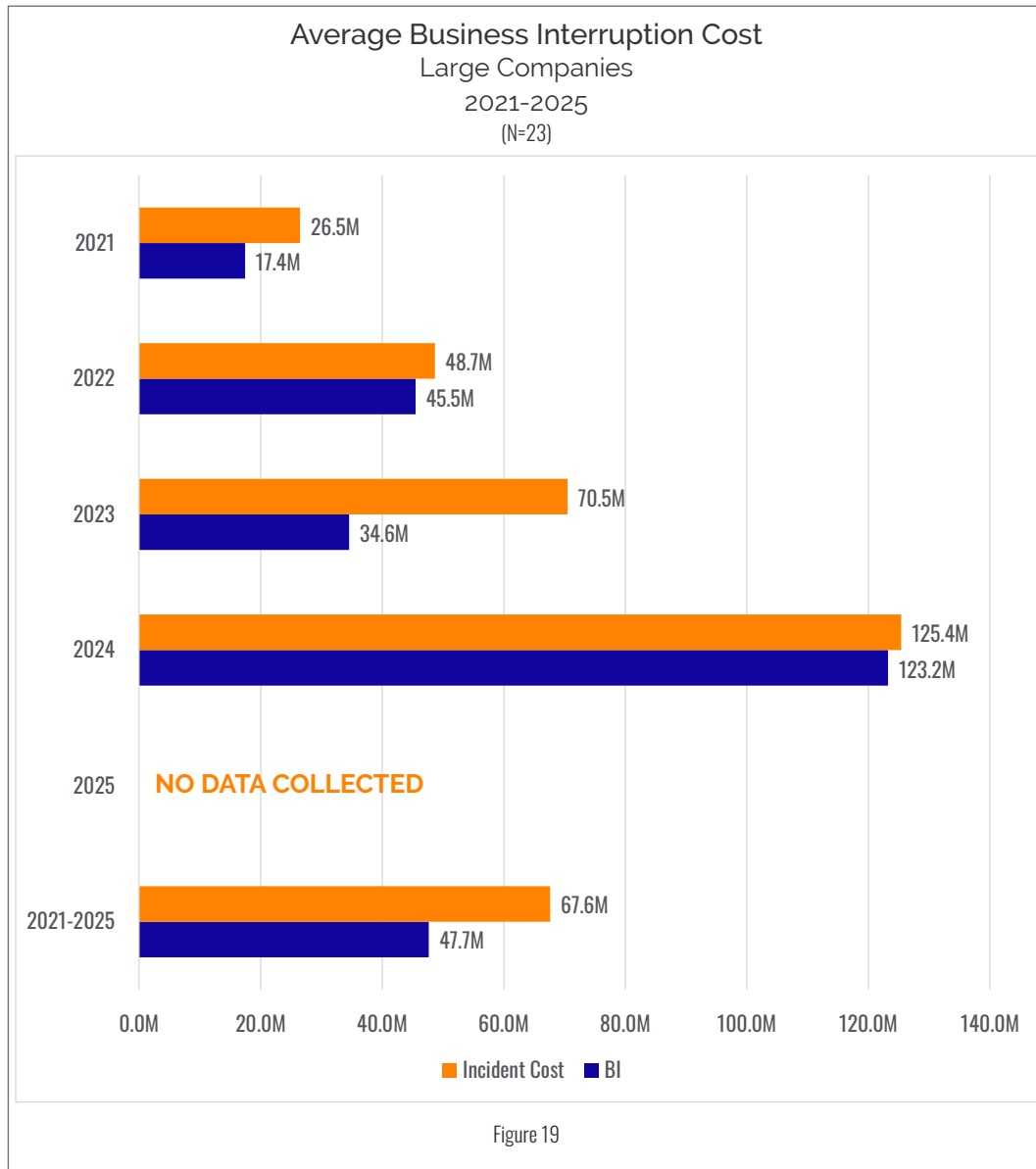
Additional analysis shows that the five-year average incident cost of a claim with BI was over 500% greater than a claim without BI. In 2025, the average claim involving BI was 510% greater than one that did not.

Further, ransomware incidents at SMEs accounted for 77% of claims with a BI component. The five-year average BI cost for ransomware incidents was \$1.4M with a total incident cost of \$2.3M. In 2025, these numbers were \$510K and \$818K, respectively.



Large Companies

Figure 19 depicts average BI and total incident cost at large companies. Though the number of claims is small and there is much variability, the numbers are substantial. No BI claims at large companies were collected for 2025.

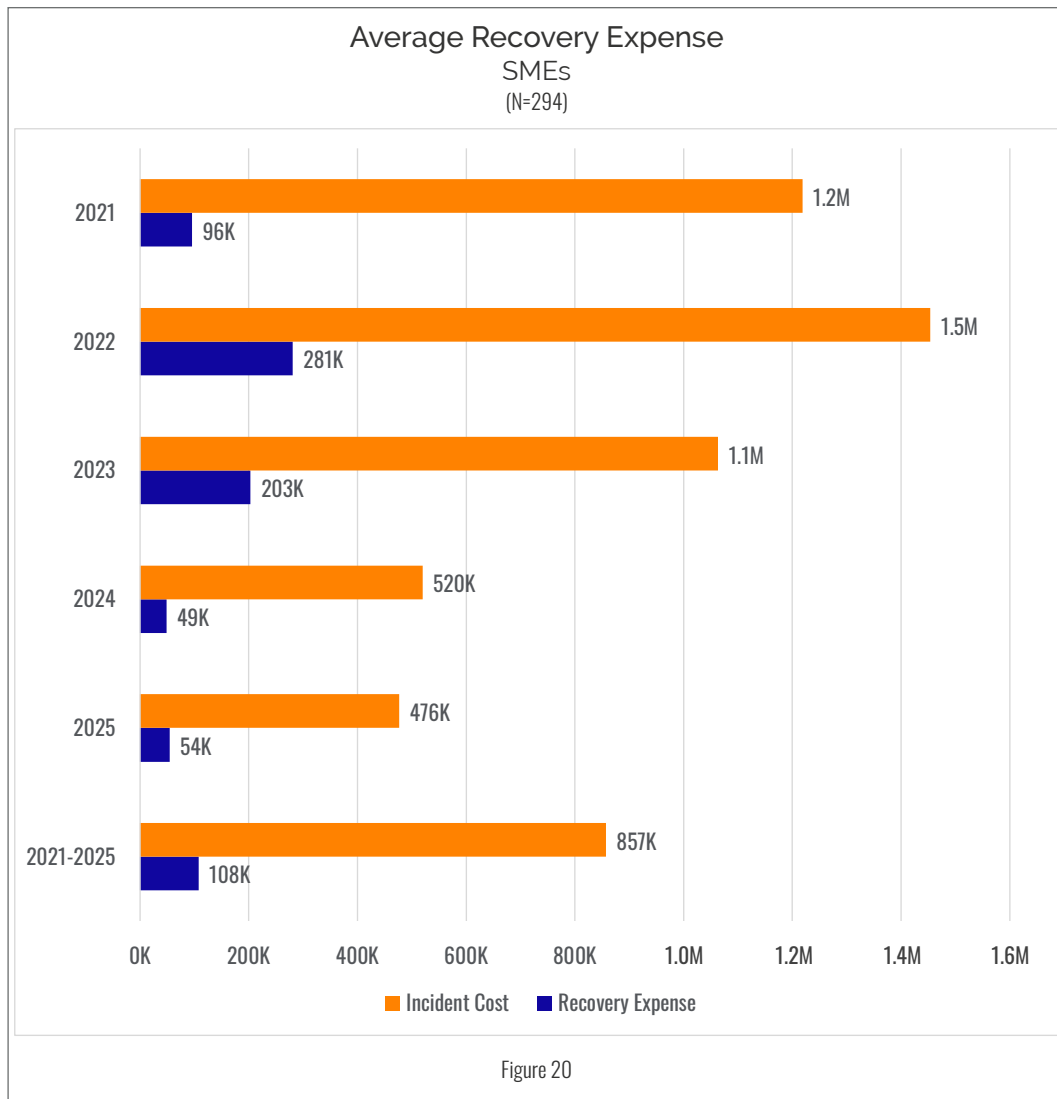


Recovery Expense

SMEs

294 claims reported recovery expense. As Figure 20 shows, recovery expense has been quite variable, with events in 2022 and 2023 having noticeably higher costs. The total incident cost of these events has dropped since 2023. Even so, the average five-year incident cost of these claims is almost 350% higher than incidents without recovery expense.

Ransomware incidents accounted for 72% of the claims with reported recovery expense. The five-year average incident cost of these events was \$1.1M, 400% higher than incidents without recovery expense. In 2025, these incidents cost 250% more.



Large Companies

Six large company claims reported recovery expense spanning in the period 2021-2025. Recovery expense for these incidents ranged from \$19K to \$1.0M (average=\$427K). The corresponding incident cost ranged from \$24K to \$15.0M (average \$5.7M).

So far, we have collected no claims with recovery expense in 2025. That may change next year as we collect additional data for 2025.

Recovery cost is where technical debt shows up on the claim file. Modern, well-documented, cloud-native environments come back quickly. Aging systems, undocumented applications and one-of-a-kind equipment don't—and every additional day of rebuild compounds the interruption loss sitting underneath it.

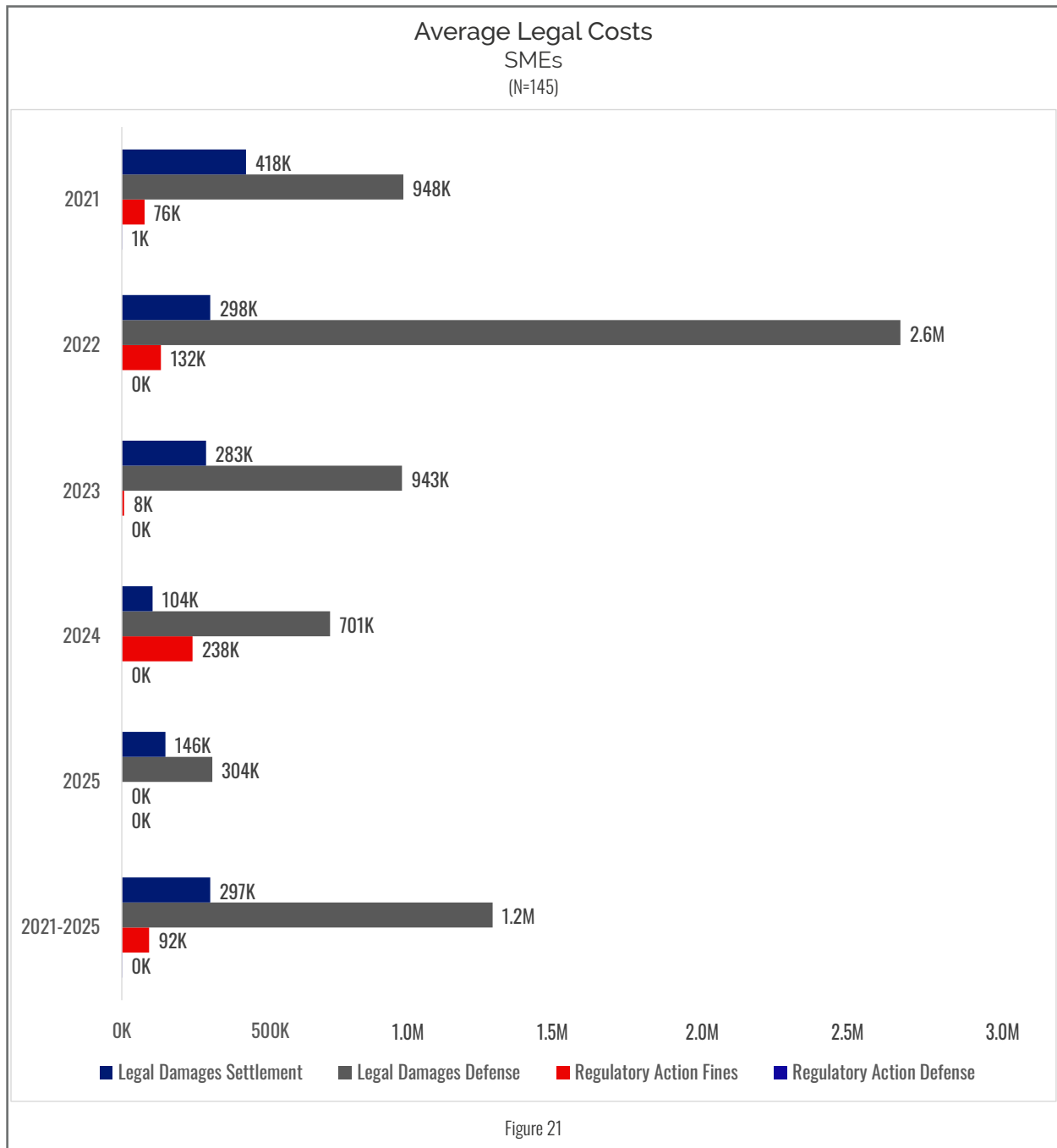
Scott German, Principal, RSM US LLP



Legal Costs

SMEs

There were 145 claims in the dataset that reported legal or litigation expense from one or more of these categories: legal settlement, legal defense, regulatory fines, and regulatory action. Figure 21 depicts the year-by averages for these four categories as well as their five-year averages. There was much year-by-year variability in these costs.



Large Companies

The dataset contained 24 claims reporting at least one type of legal or litigation expense. For the five-year period, the overall average was \$22.2M, with a maximum of over \$500M (settlement). Average settlement defense cost was \$411K, and the average settlement was \$41.4M. Two large settlements (\$100M and \$500M) drove up the overall averages. There were no regulatory fines in the five-year data.



The study indicates that threat actors continue to focus on data exfiltration and extortion including both ransomware events and business email compromises, which oftentimes results in consumer notification. This is reflected in the significant percentage increase in notification costs for large companies, in relation to other incident costs incurred. Increased notification, both in terms of the number of incidents that require consumer notification and the number of people notified per incident, generally results in increased class action litigation.

Allen E. Sattler, Vice-Chair & Partner, Constangy Cyber

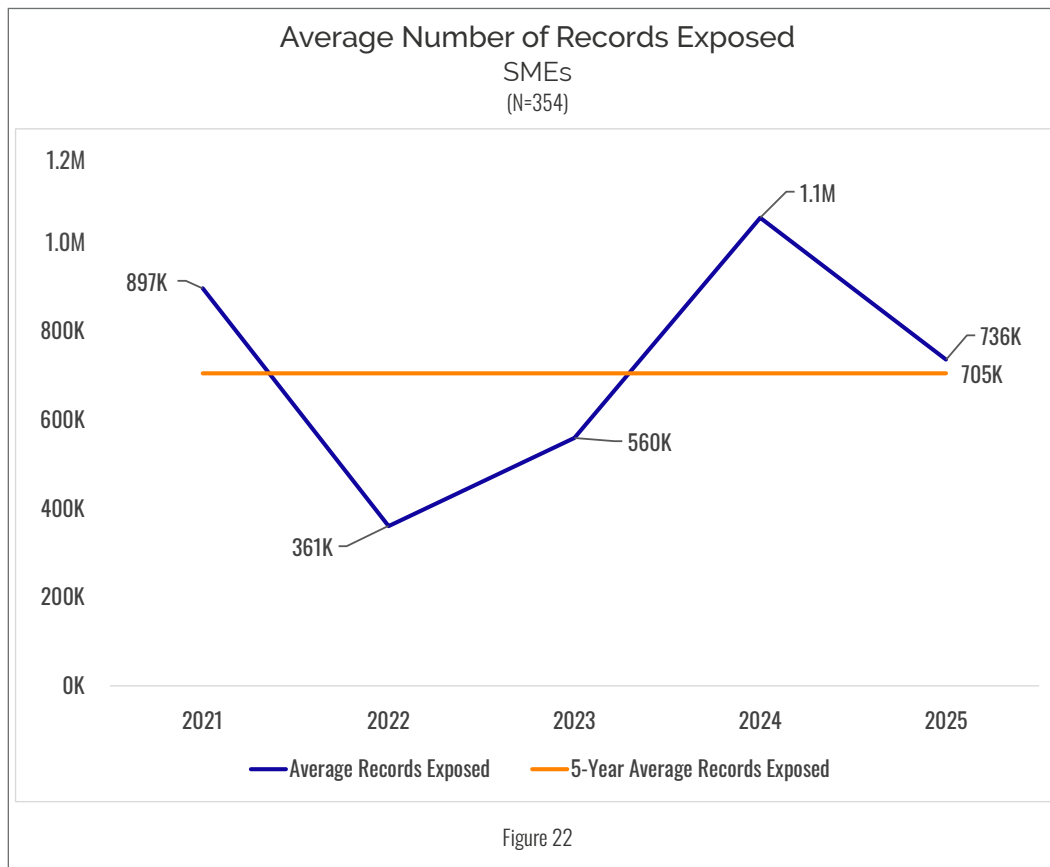
Records Exposed

As we look at the five-year window, we see the number of claims reporting records exposed continuing to decrease. The 2021–2025 range contains 354 claims that reported more than one¹ record exposed, whereas the 2020–2024 range contained 436 of these claims. These incidents exposed over 720M records—270M at SMEs and 450M at large companies—similar to numbers reported last year.

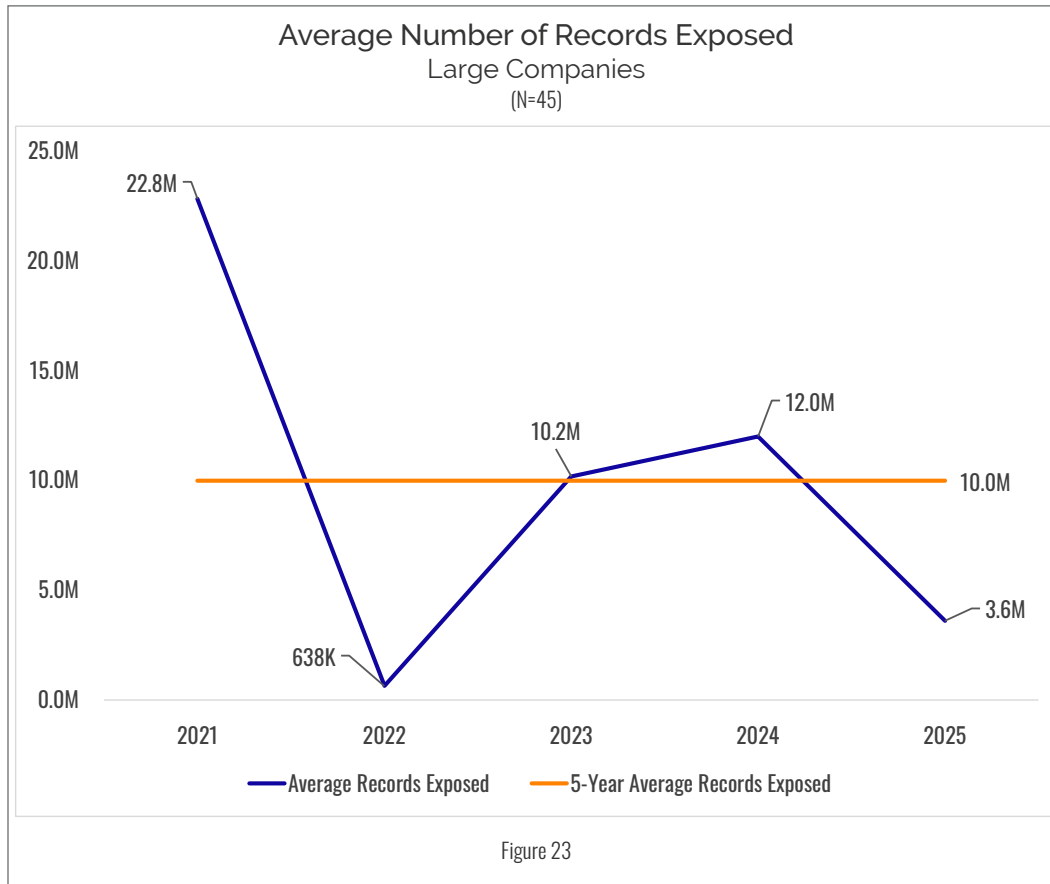
We cannot pinpoint why the number of claims with exposed records is decreasing, nor can we say whether this represents a change in exposure or a change in reporting. However, we can speculate:

- The large proportion of ransomware and BEC claims since 2020 do not involve exposed records.
- Perhaps (as we have speculated in the past) the lack of utility of per record metrics is causing insurers to be less concerned with the number of records than they once were.

Figures 22 and 23 illustrate the number of exposed records year-by-year and a five-year average. There is no clear pattern. As found in previous NetDiligence *Cyber Claims Reports*, the number of records exposed does not correlate well with either the size of an organization or the total incident cost.



¹Claims with blank, 0, or 1 records exposed were excluded from this sub-analysis.

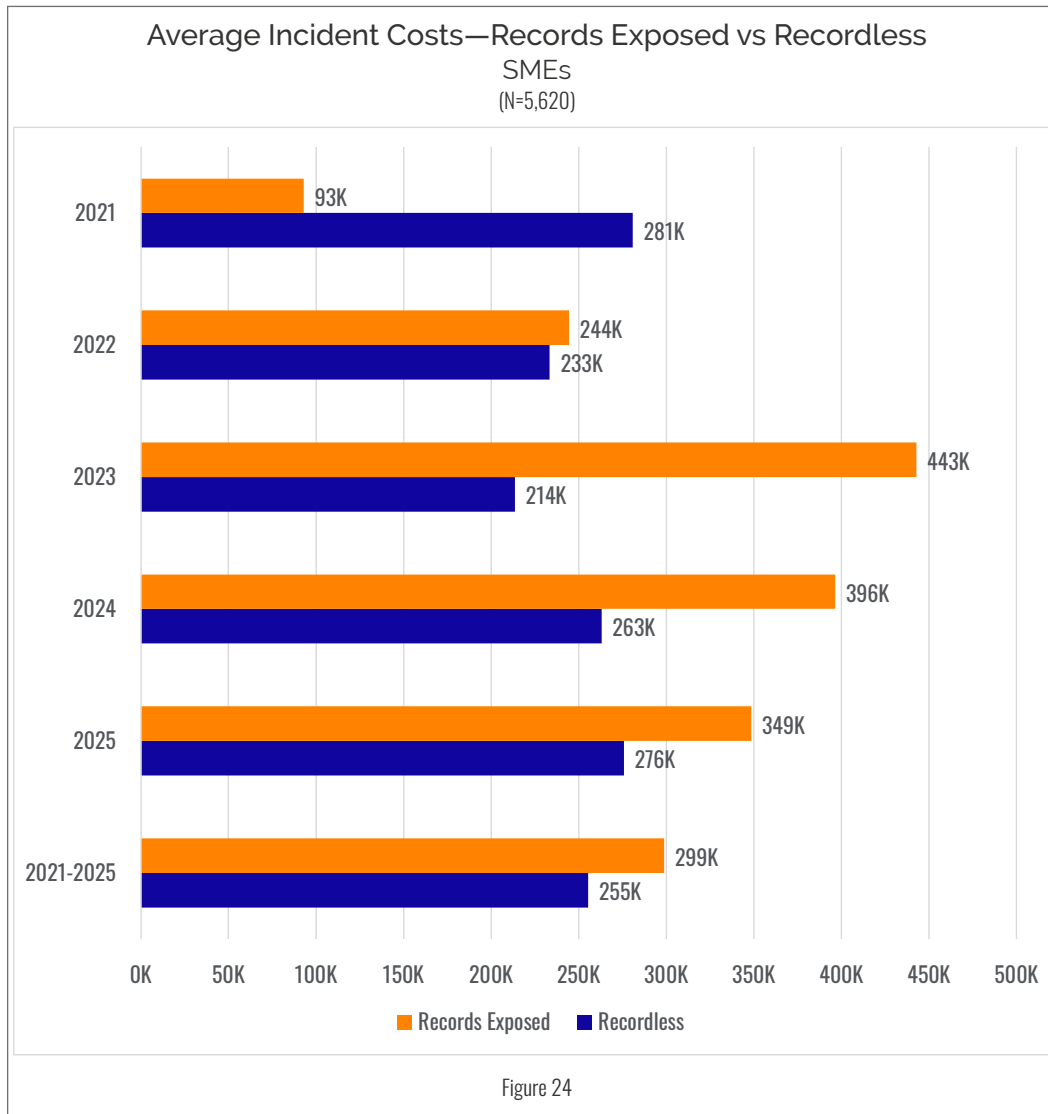


Recordless Claims and Claims with Exposed Records

"Recordless" claims are incidents that do not expose records. Ransomware, business email compromise (BEC), wire transfer fraud, DDoS (Distributed Denial of Service), and theft of money accounted for most of these incidents.

As Figure 24 shows, the average incident cost for each category at SMEs is about the same over five years. There was not enough data to produce an analysis for large companies.

Please note that in a certain number of incidents, study participants indicated that records were exposed but did not provide a number. We included these incidents in the records exposed analysis here but excluded them from the number of records analysis above.



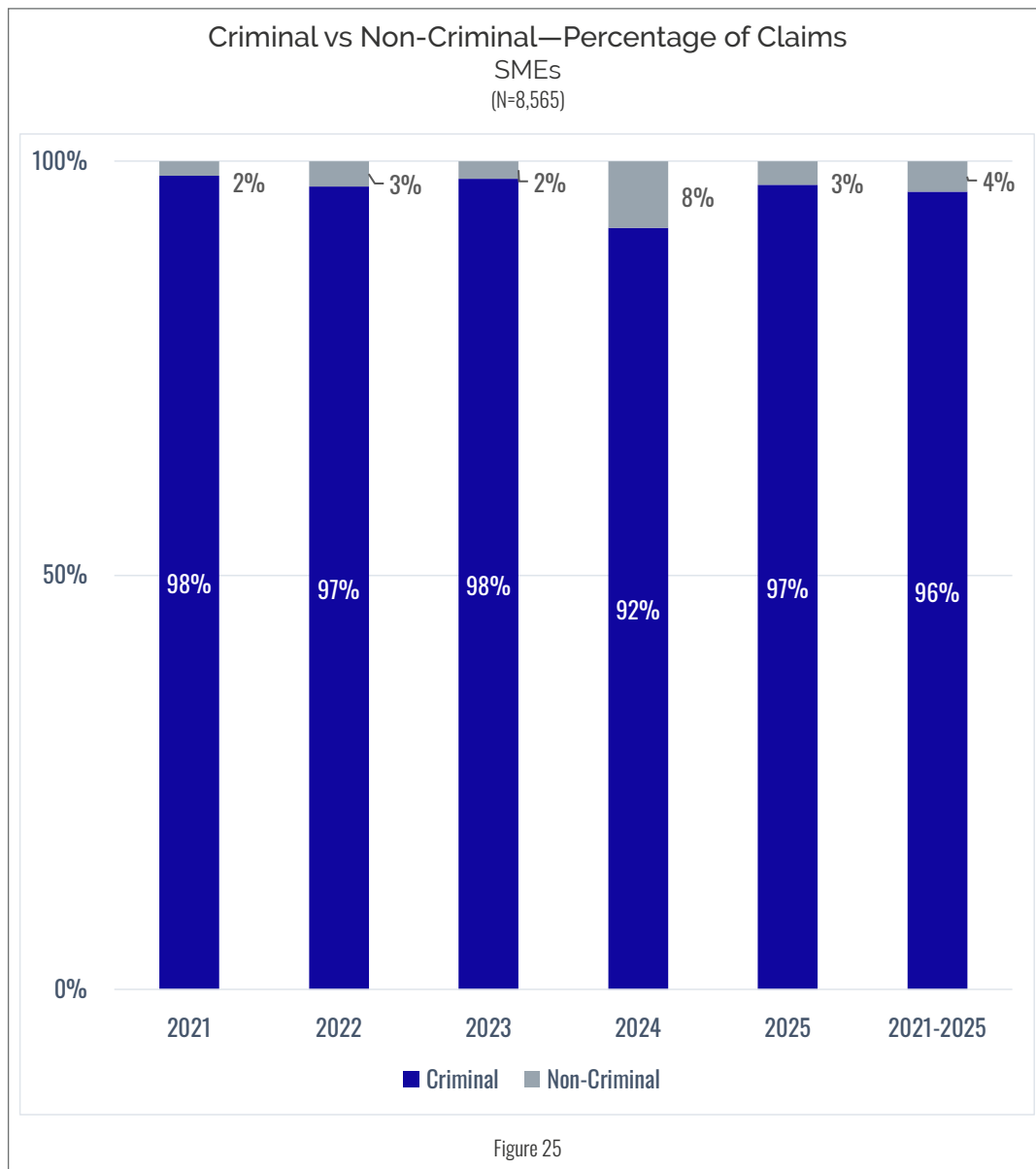
Criminal and Non-Criminal Activities

Criminal activities include:

- Hacking
- Ransomware
- Social Engineering
- Business Email Compromise (BEC)
- Phishing
- Distributed Denial of Service (DDoS) Attacks
- Stolen Devices
- Theft of Money
- Banking/ACH Fraud

Non-criminal events include:

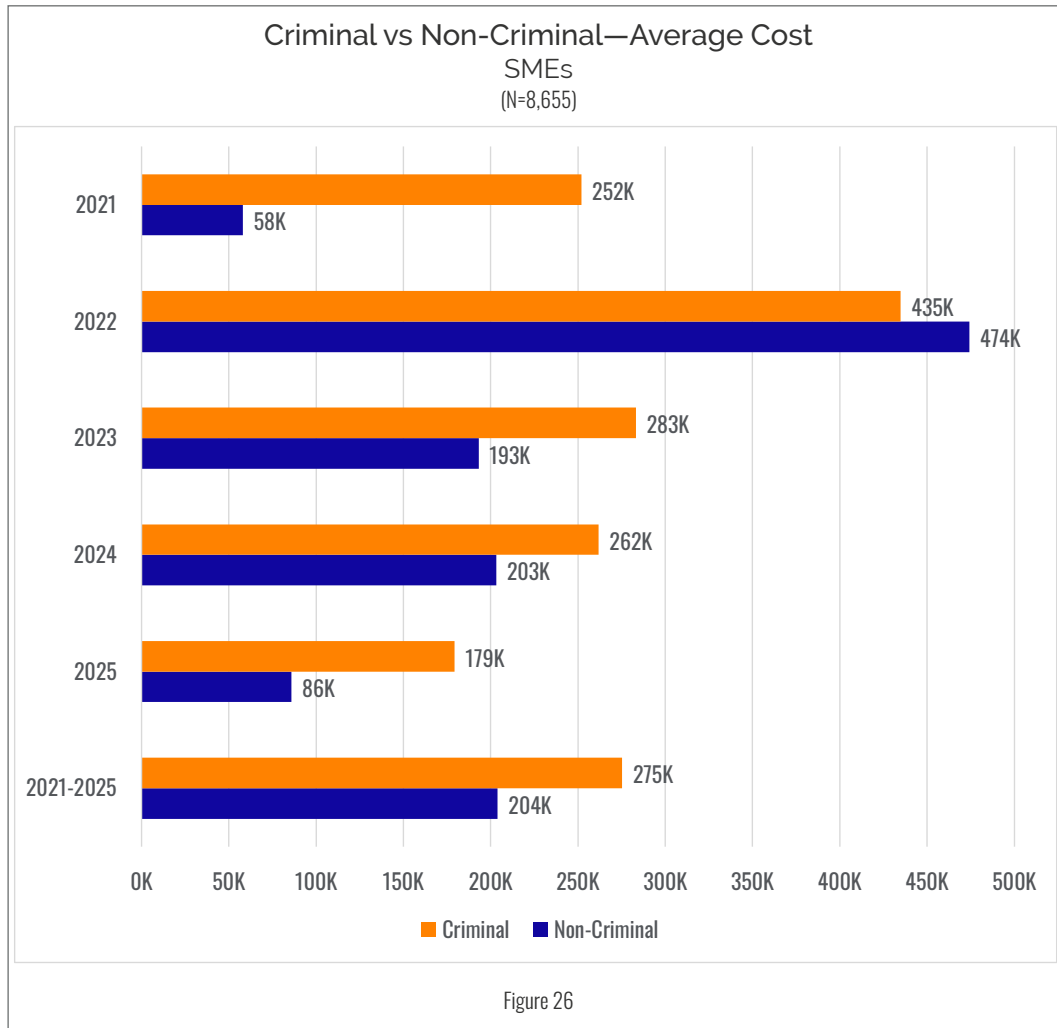
- Staff Mistakes
- Mishandling of Paper Records
- Improper Disclosure
- Lost Laptops
- Programming Errors
- System Glitches
- Legal Actions



At SMEs, the proportion of claims caused by criminal activities ranged from a low of 92% in 2024 to highs of 98% in 2021 and 2023.

There are fewer and fewer non-criminal incidents, which may be attributed to better employee training and more sophisticated controls. The proportion of claims caused by non-criminal activities has ranged from 2% to 8% over the five-year period 2021-2025.

Over five years, criminal incidents at SMEs were, on average, much more costly than non-criminal incidents. The data for 2022 presents an anomaly due to four large non-criminal events that year (>\$4M each).



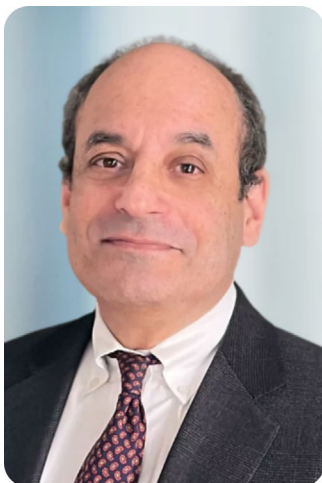
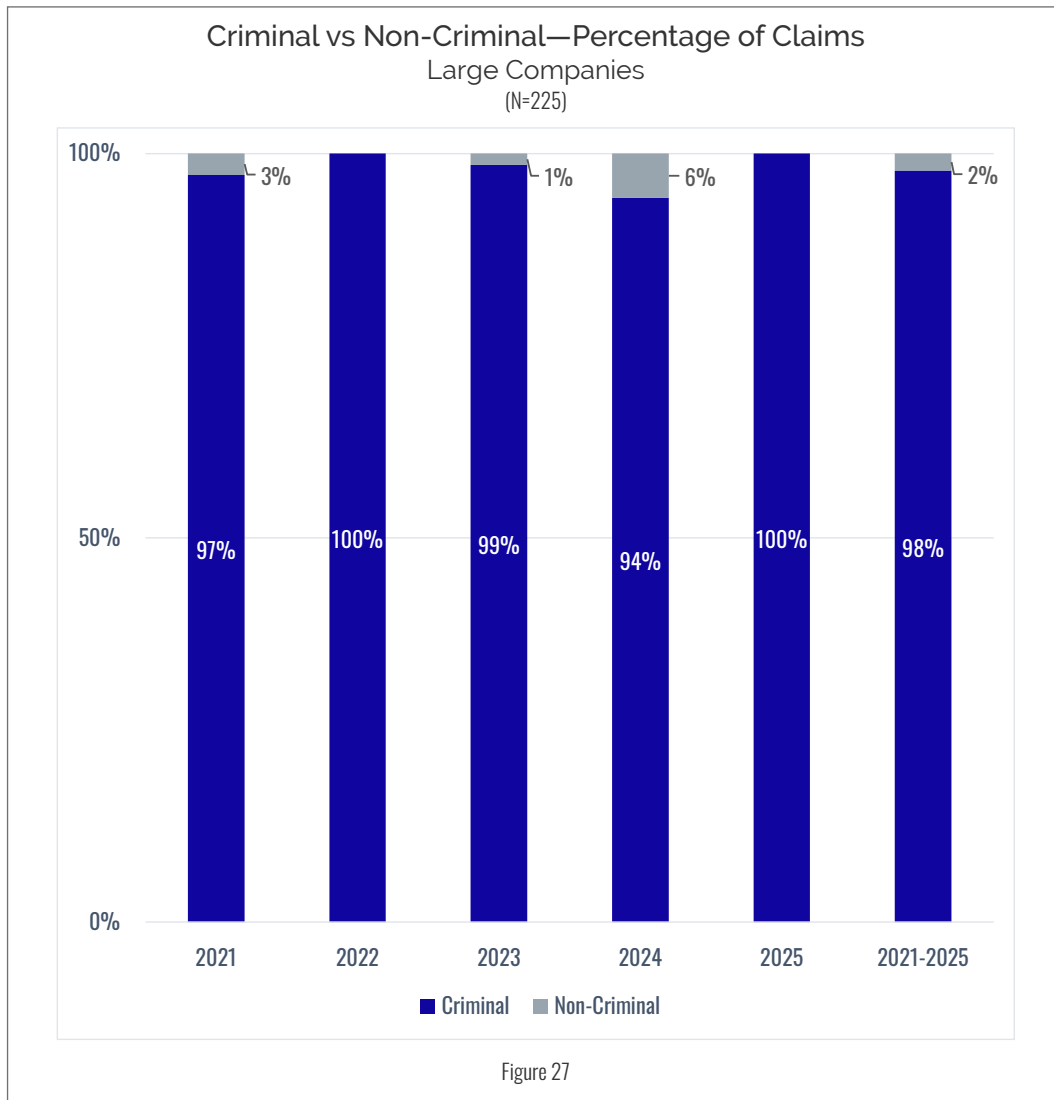
Criminal vs Non-Criminal—SMEs 2021-2025						
Time Period	Impact	Type of Activity	Average	Maximum	Total	Claims
2025	Records Exposed	Criminal	769K	13.0M	16.9M	22
		Non-Criminal	24K	24K	24K	1
	Crisis Services	Criminal	125K	10.0M	121.2M	968
		Non-Criminal	21K	85K	679K	33
	Incident Cost	Criminal	179K	48.8M	277.8M	1,549
		Non-Criminal	86K	2.1M	3.8M	45
2021-2025	Records Exposed	Criminal	750K	22.0M	22.0M	326
		Non-Criminal	152K	2.8M	2.8M	22
	Crisis Services	Criminal	167K	25.9M	702.6M	4,205
		Non-Criminal	34K	740K	3.3M	95
	Incident Cost	Criminal	275K	108.0M	2.3B	8,249
		Non-Criminal	204K	5.1M	64.5M	316
Table 1						



For an SME, the cost of a cyber incident depends not just on whether an attack succeeds, but on how much of the environment requires rebuilding and how long the business stays disrupted. Backups can dramatically reduce recovery time and data-reconstruction costs, provided they are isolated, current, and tested. Multi-factor authentication reduces the likelihood that stolen credentials escalate into a broader compromise, limiting an incident's potential scale. Separating Active Directory and critical environments can further contain an attacker's movement and reduce the number of systems requiring investigation or rebuilding. Together, these controls reduce not only cyber risk but also the severity, duration, and cost of recovery when an incident occurs.

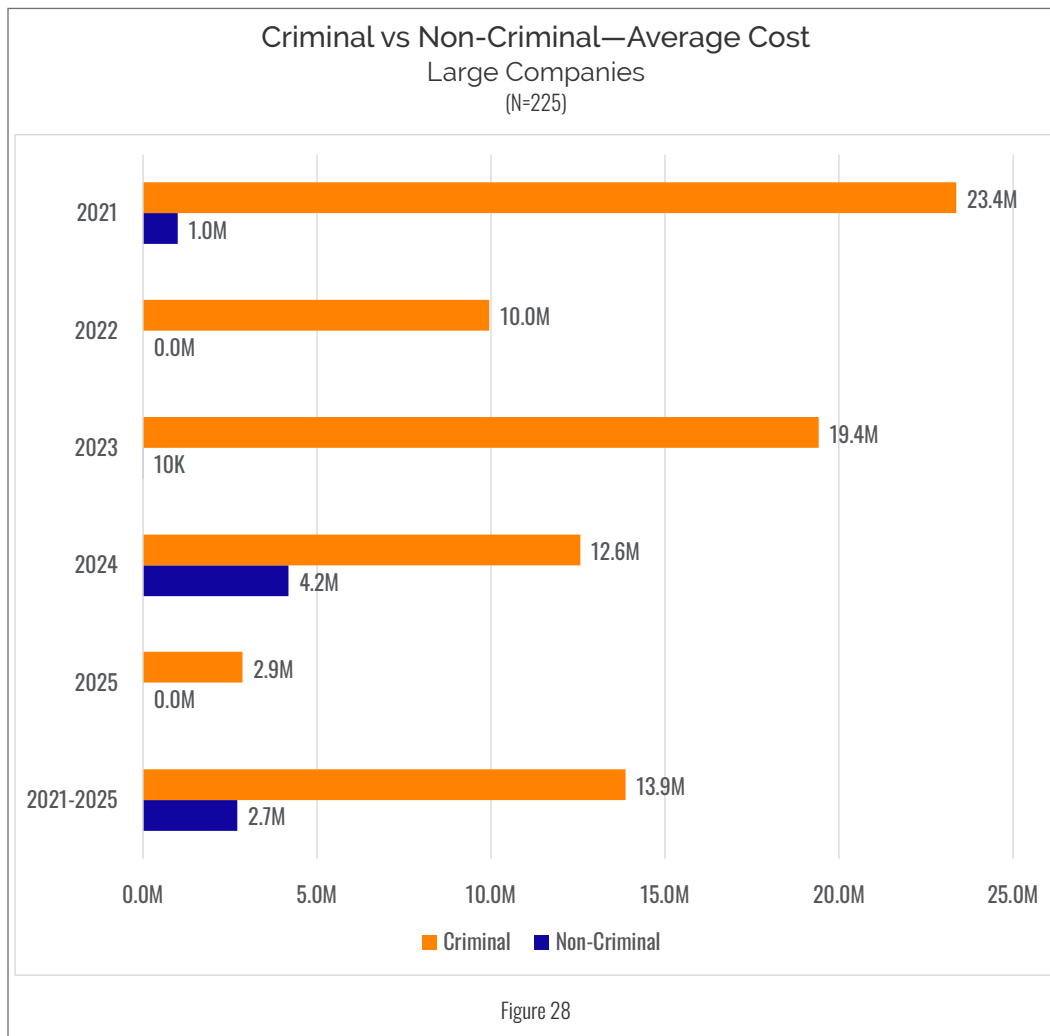
Karla Reffold, Chief Insights Officer, Surefire Cyber

Comparisons of criminal to non-criminal incidents at large companies are outlined in Figures 27 and 28 below. Here we see that 98% of incidents reported at large companies involved criminal activity. The cost of criminal incidents was dramatically higher than the cost of non-criminal ones.



The widespread use of AI has generated new methods of attack for those who use the internet as criminal highway. Companies are having to spend more and more simply to protect their operating environments and insure against a cybersecurity incident. Fortunately, the data in this report shows that the incident response industry has adapted to lower the overall costs of responding to a cyber incident.

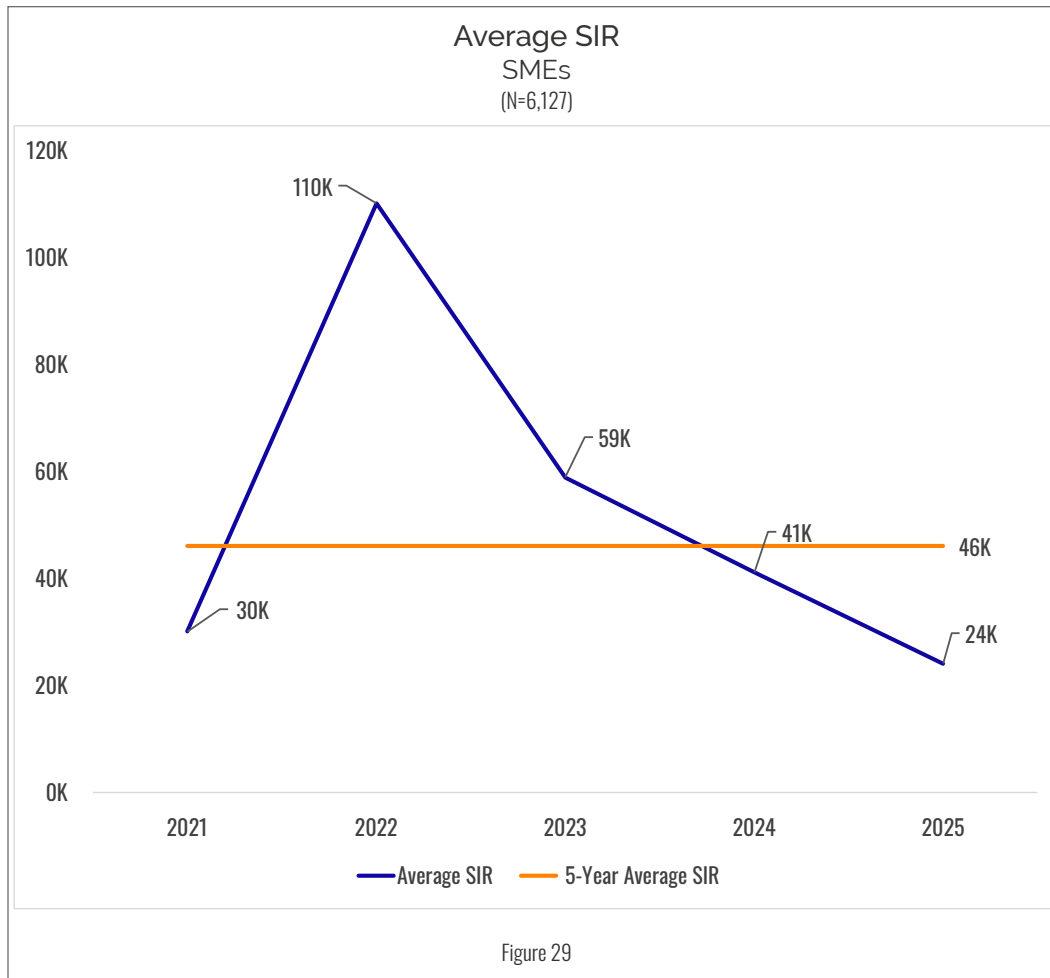
Richard W. Goldberg, Vice Chair & Partner, Constangy Cyber

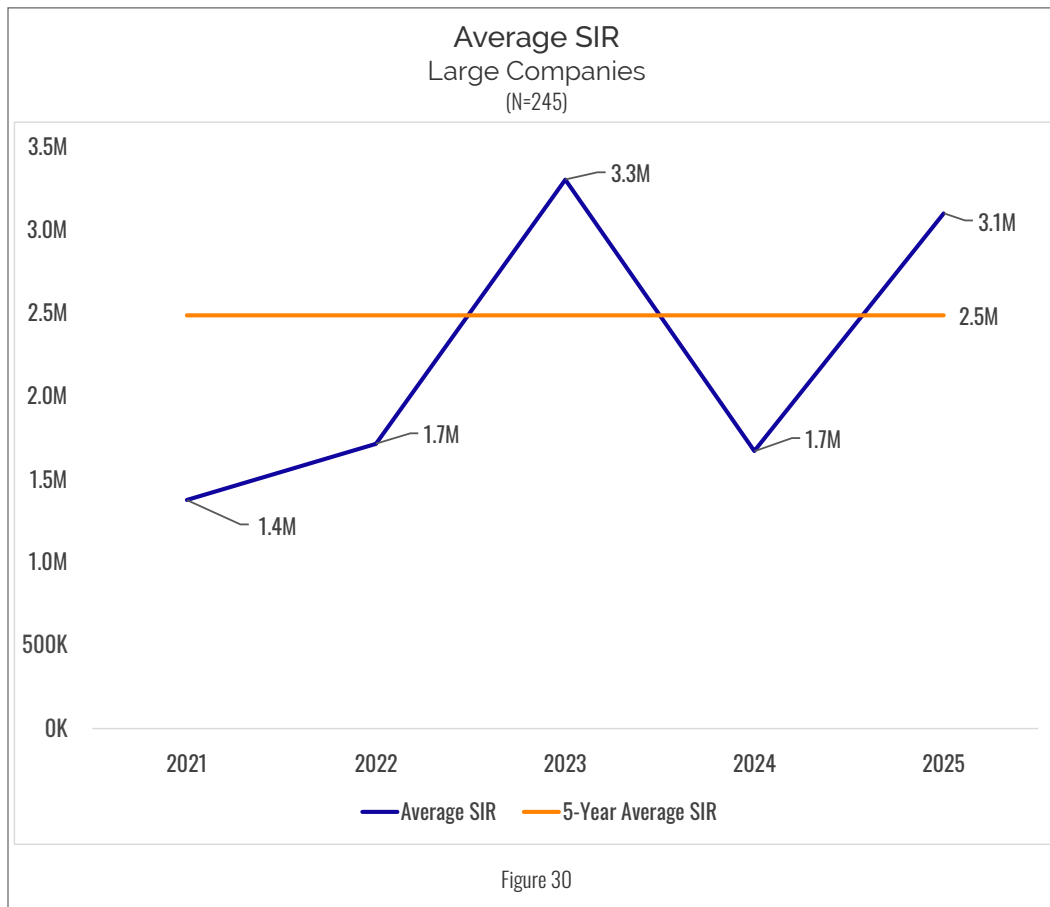


Self-Insured Retentions (SIR)

The dataset contained 6,127 claims for SMEs that provided an amount for SIR. These amounts ranged \$0–\$10M. Year-by-year averages are shown below. Since 2022, the average SIR for SMEs has been decreasing.

The dataset contained 245 claims for large companies that reported an amount for SIR. These amounts ranged \$0–\$50M. The year-by-year averages are shown below. The average SIR in 2025 was over two times the amount in 2021.



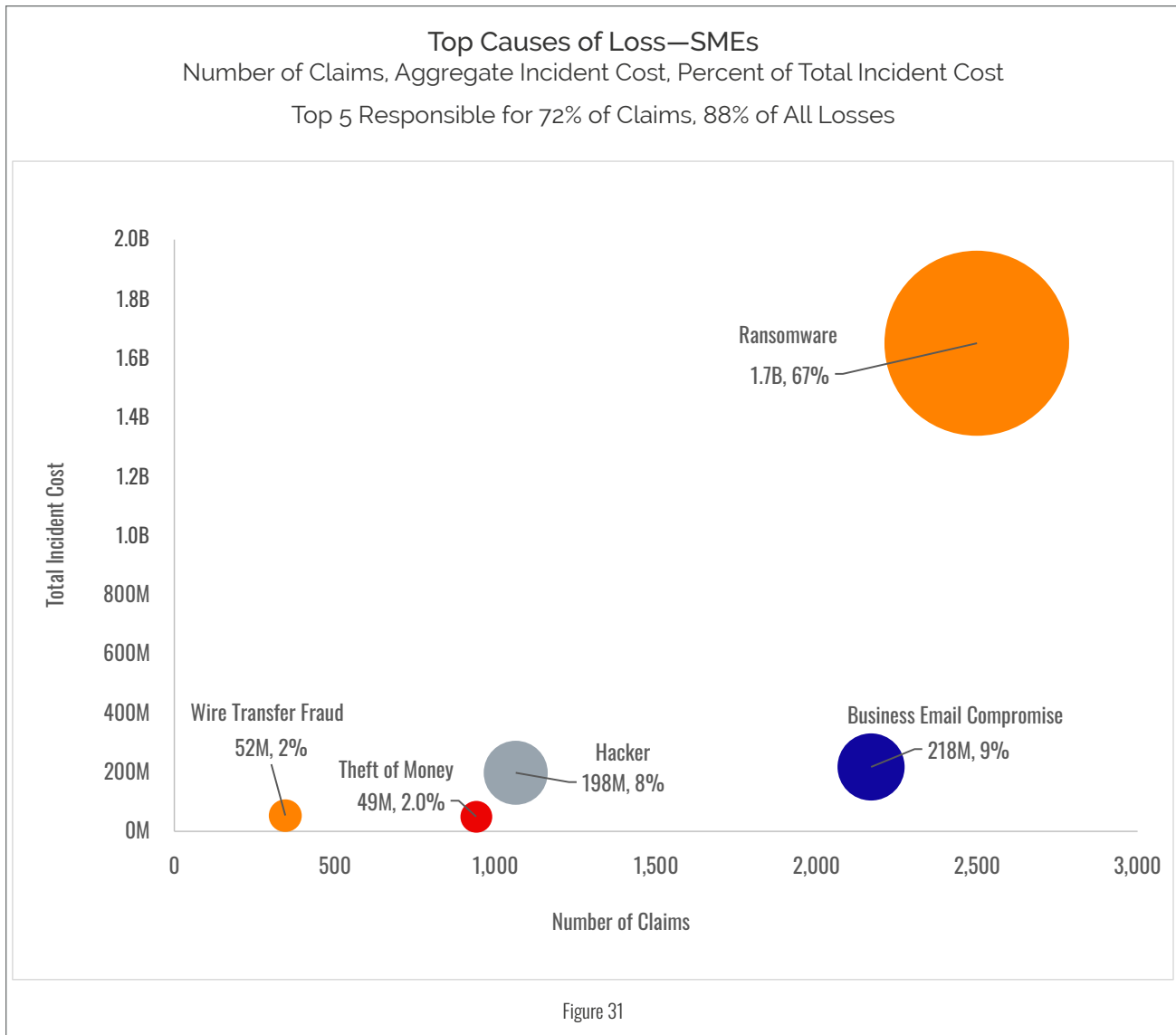


Causes of Loss

The top five causes of loss at SMEs were

- Ransomware
- Business Email Compromise (BEC)
- Hackers
- Wire Transfer Fraud
- Theft of Money

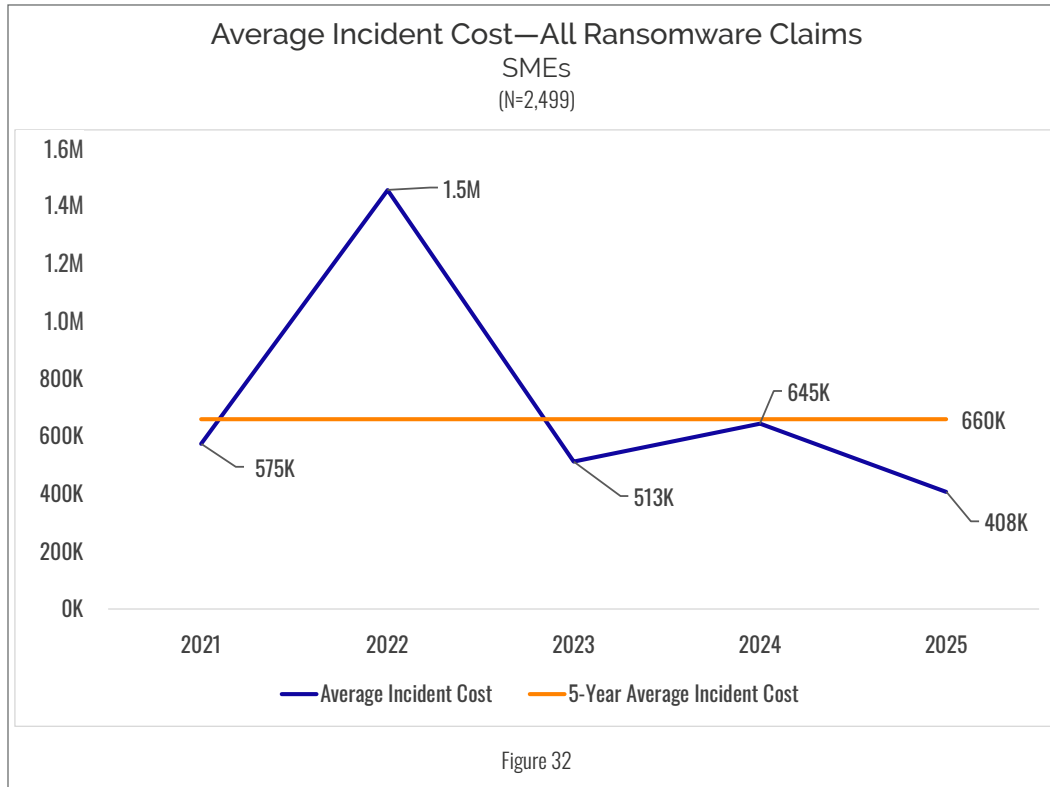
Losses in these five categories accounted for 72% of claims and 88% of total incident cost (\$2.0B). For metrics on all sectors, please see the graphs and tables in the appendices.



Ransomware

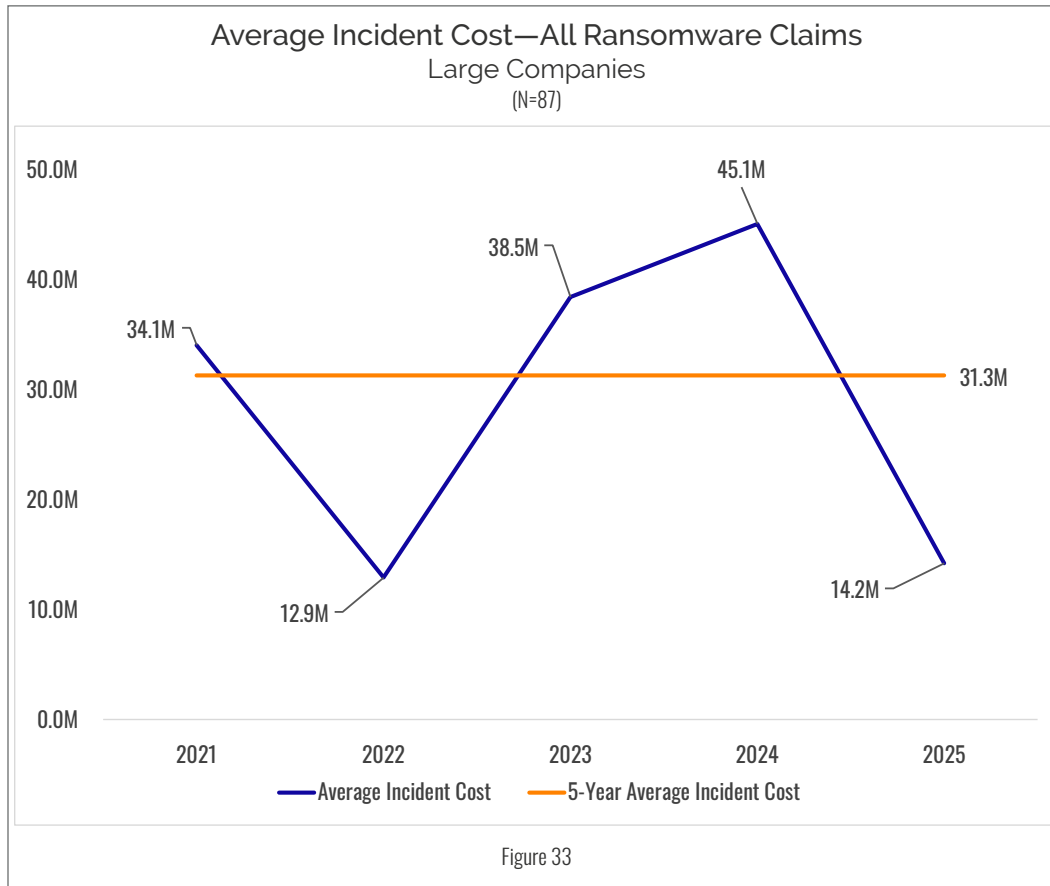
Ransom amounts and total incident cost have increased dramatically over the past five years.

At SMEs, outlier events drove up the average incident cost in 2022. At large companies, outlier events heavily impacted the averages in 2021 and 2023.



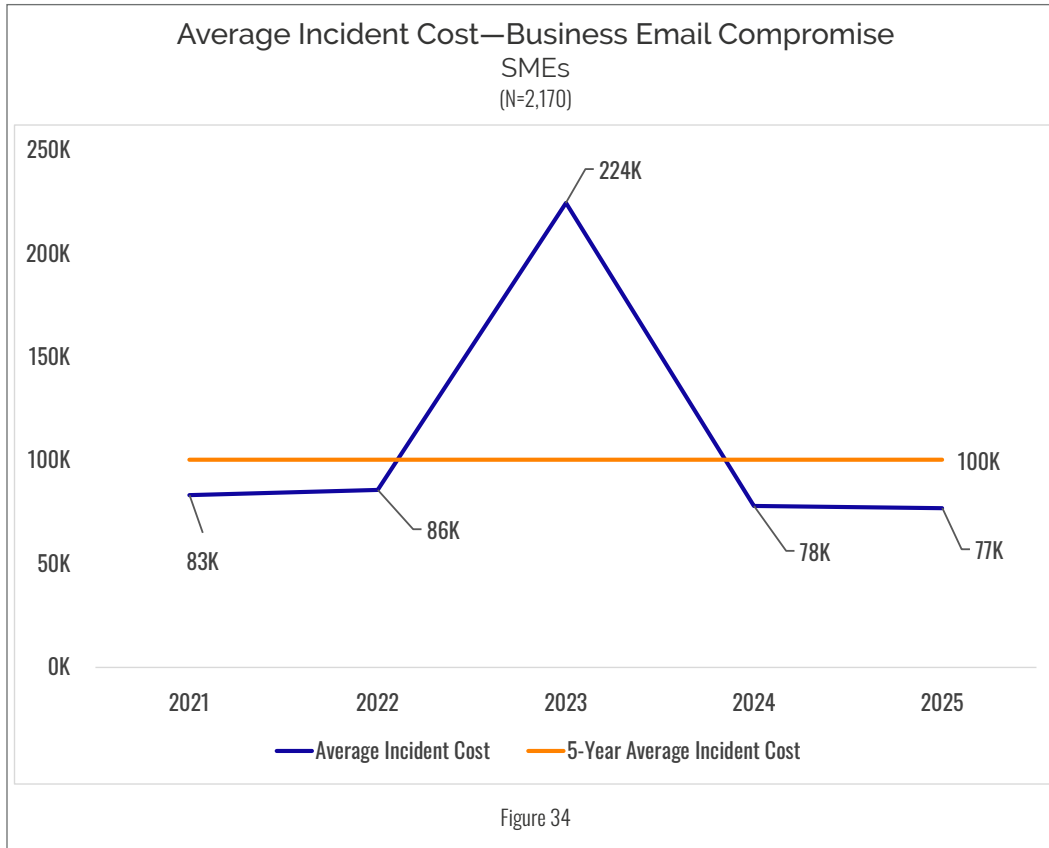
Ransomware isn't just the most frequent claim, it's the one that reaches into every other cost bucket—forensics, recovery, business interruption, legal. That's why a single event can cost ten times what a comparable hacking incident does. The organizations that fare best aren't the ones with the most tools; they're the ones who segmented their environment and rehearsed the recovery before the encryption started.

Scott German, RSM US LLP



Business Email Compromise (BEC)

BEC was the second leading cause of loss at SMEs. The number of BEC claims per year has ranged from 304 in 2023 to 612 in 2025. With the exception of 2023, the average cost of a BEC incident is low.

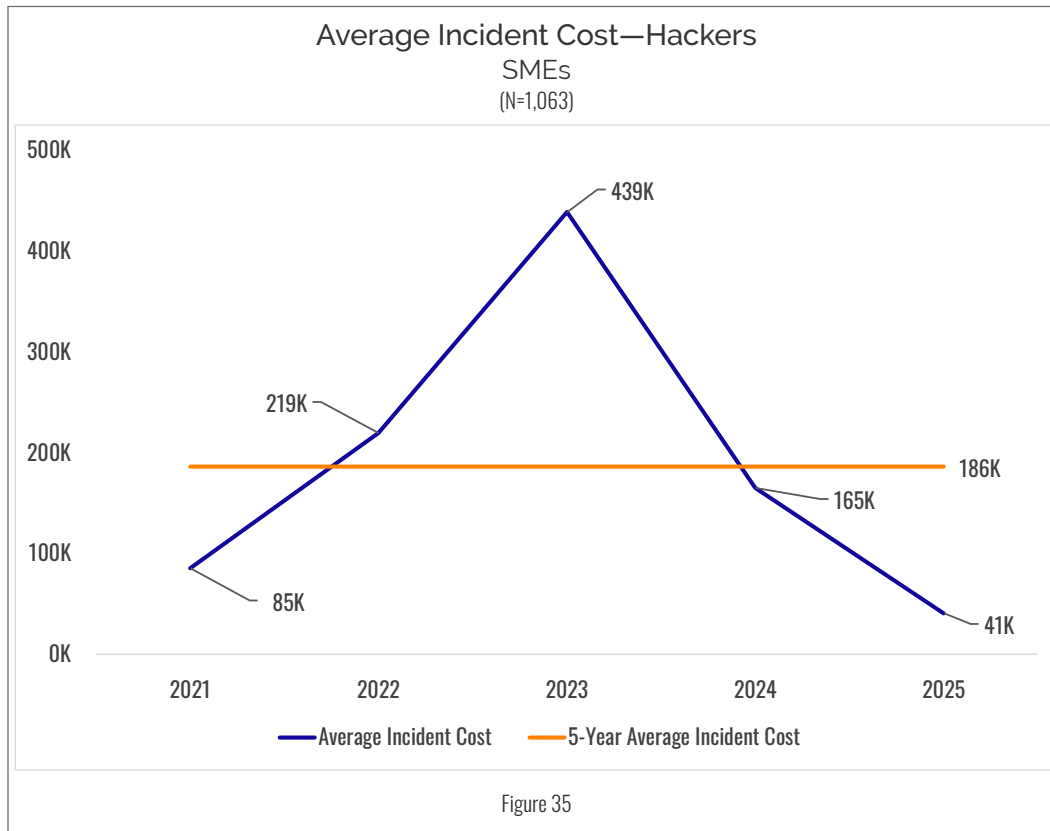


BEC remains the highest-frequency, lowest-severity loss in the dataset, which is exactly why it gets under-managed. The controls that stop it are unglamorous: phishing-resistant MFA, conditional access, and a payment process where no single person can change bank details on their own. None of that requires a large security budget—it requires a decision.

Scott German, RSM US LLP

Hackers

Hackers were the third leading cause of loss at SMEs. Figure 35 below tells the good news: after large increases in 2022 and 2023, the average cost of a hacking incident dropped in 2024 and 2025, reaching a new low of \$41K.

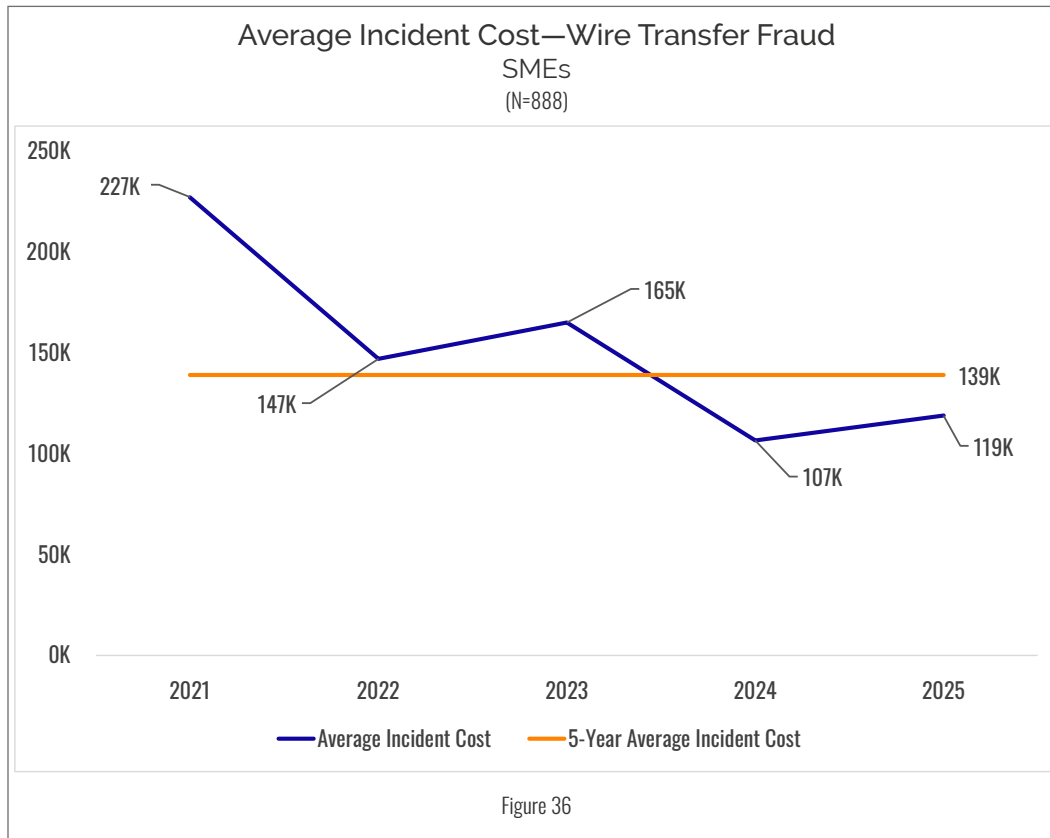


In 2025, less volatility among major ransomware operators gave established groups greater confidence and consistency. That stability extended to negotiations as attackers held firmer on demands and conceded less. Akira illustrates this shift. Throughout 2025, Akira refined its playbook, growing more efficient and systematic. Compromises were not just more successful; incidents were more disruptive, slower to resolve, and costlier.

Karla Reffold, Surefire Cyber

Wire Transfer Fraud

Wire transfer fraud was another leading cause of loss at SMEs. Organizations of all sizes were victims (annual revenue \$40K–\$1.2B; average=\$75M).



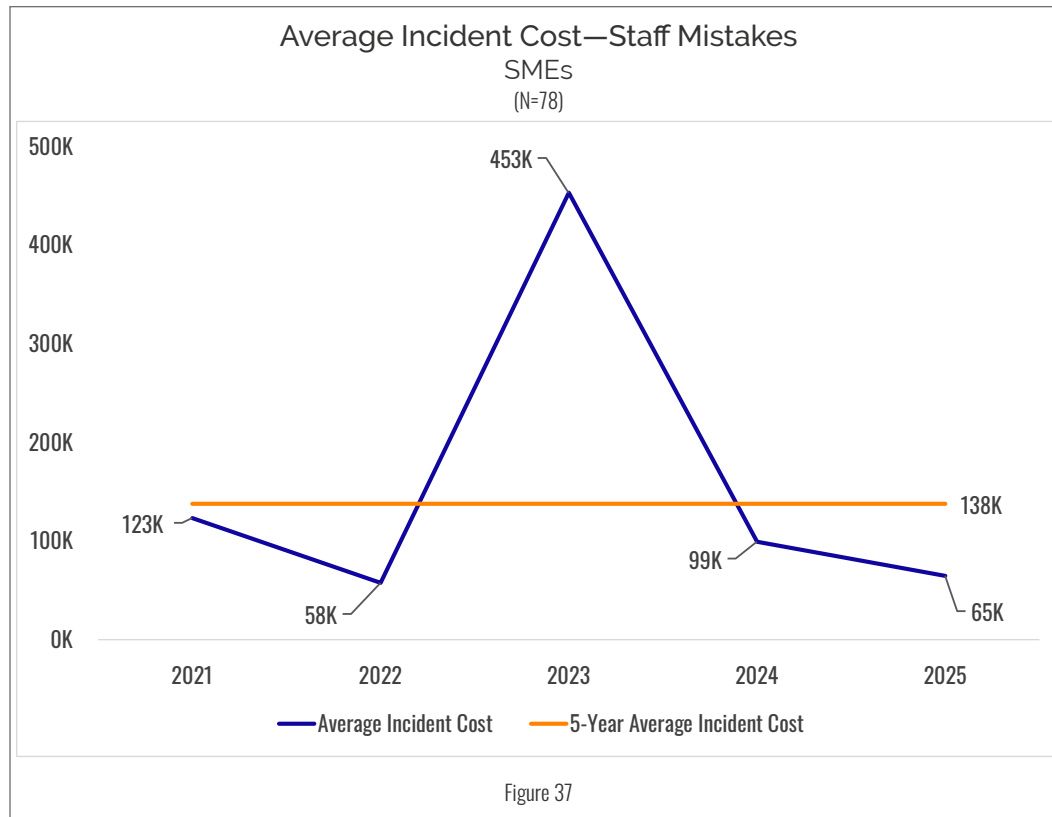
Fraudulent funds transfer continues to be lucrative for threat actors and requires little to no technical skill. AI may lower that barrier to entry even further, making these schemes accessible to a wider range of attackers. Organizations need controls in place to prevent the diversion of funds, especially as social engineering attempts become increasingly convincing and more difficult to detect.

Karla Reffold, Surefire Cyber

Staff Mistakes

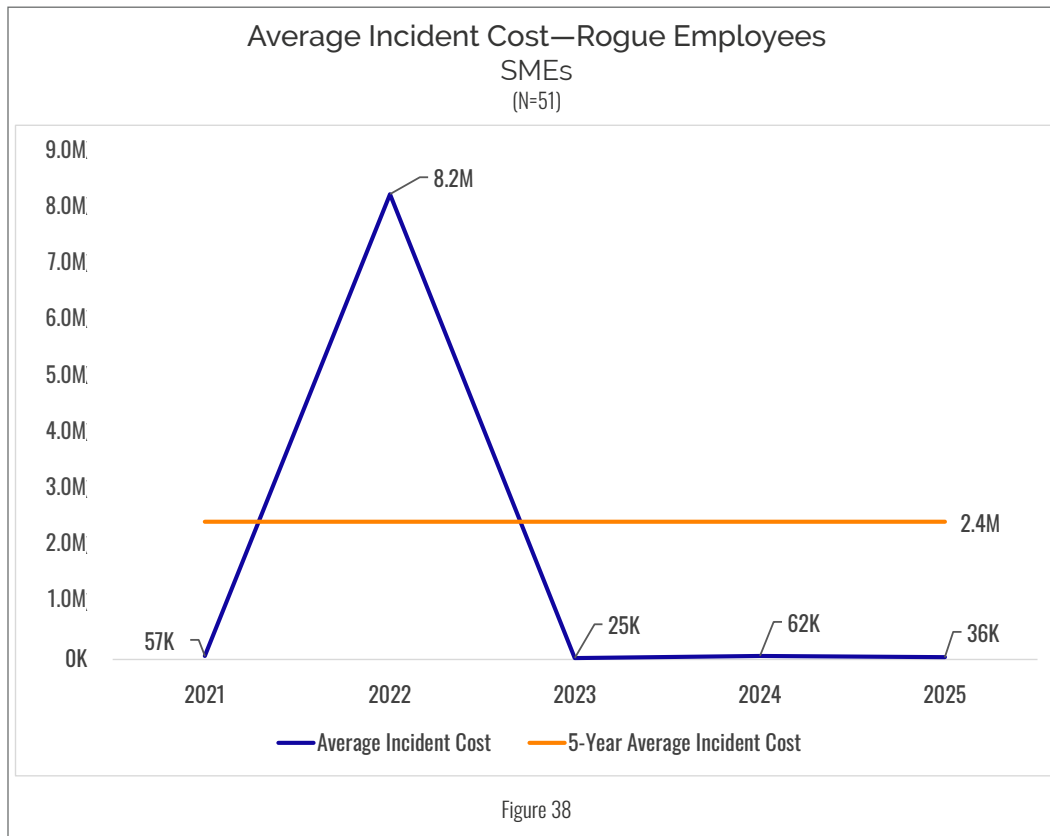
Over the period 2021-2025, the number of incidents involving staff mistakes and programming errors has remained low. The number of claims during the current five-year period (2021-2025) has decreased to 78 from 88 in 2024.

While none of these events has proven too costly, there is no clear pattern to be discerned.



Rogue Employees

Over the past five years, the number and magnitude of incidents caused by malicious employees and ex-employees have been declining. The number of incidents decreased from 14 in 2022 to 8 in 2025. The average incident cost decreased from \$57K in 2021 to \$36K in 2025. Excepting an extreme outlier event in 2022, average incident cost has been low.

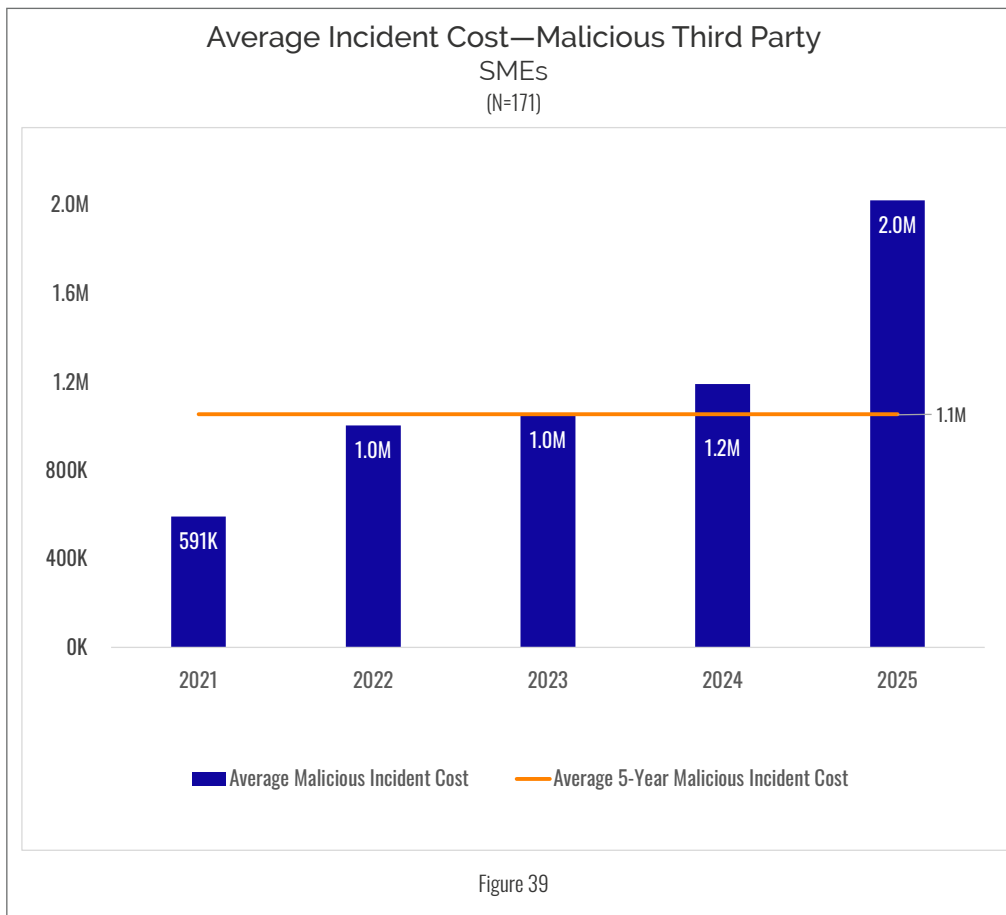


Third-Party Incidents

Third-party incidents can be caused by both malicious and non-malicious actors, and they remain a notable cause of loss.² Since 2021, the cost of third-party events caused by malicious actors has been more than five times greater than events stemming from non-malicious accidents or mistakes (\$1.1M versus 197K).

There were 31 incidents classified as "supply chain related". Twenty-two of these were criminal events, two were non-criminal, and seven could not be classified

Ransomware (N=7) was a primary cause of loss. The ransoms paid for these claims ranged from \$2M to \$25M. Total incident costs ranged from \$355K to \$25M.



Third-party incidents reinforce an important reality: an organization's cyber risk extends beyond its own network. Preparedness should include understanding critical vendors, establishing clear escalation paths and planning for how the organization will respond and communicate when an incident originates somewhere outside its direct control.

Michael Bruemmer, Experian

²We are focusing on those third-party incidents that are clearly criminal in nature (N=171). There are only 8 third-party incidents in the dataset that can be clearly classified as non-malicious. A large number of third-party incidents were provided as "Other" cause of loss. Since they could not be classified, they were not included.

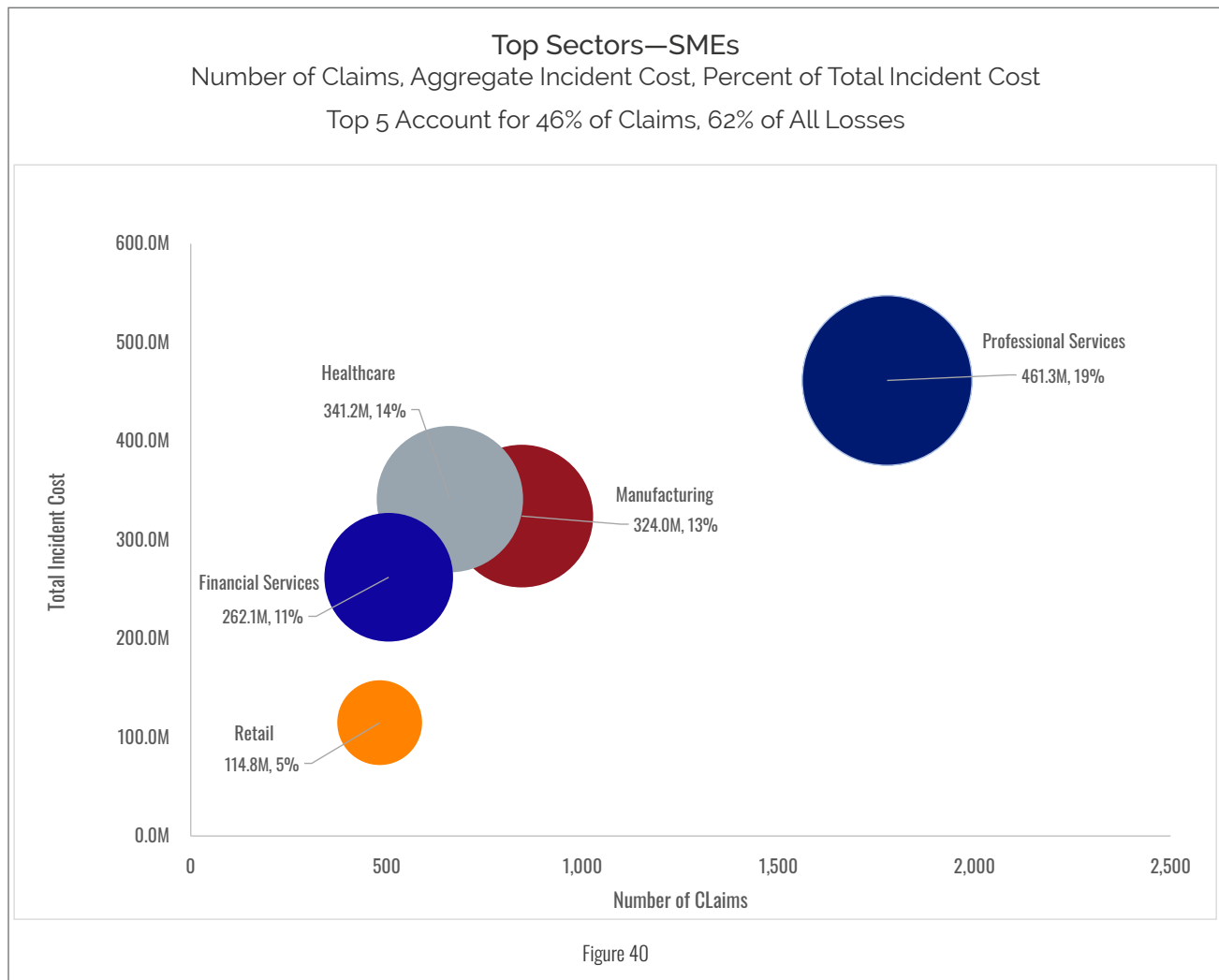
Sectors

As measured by the number of claims over five years, the top five affected business sectors at SMEs are the same as in last year's report:

- Professional Services
- Manufacturing
- Healthcare
- Retail
- Financial Services

These five sectors accounted for 46% of all claims and 62% of all total incident cost at SMEs.

Although the rank order changes from year to year, most of these sectors have been at the top of the list for many years. The graph below provides insight into the frequency and magnitude of claims, as well as the percentage of the aggregate SME incident cost. For metrics on all sectors, please see the appendices.

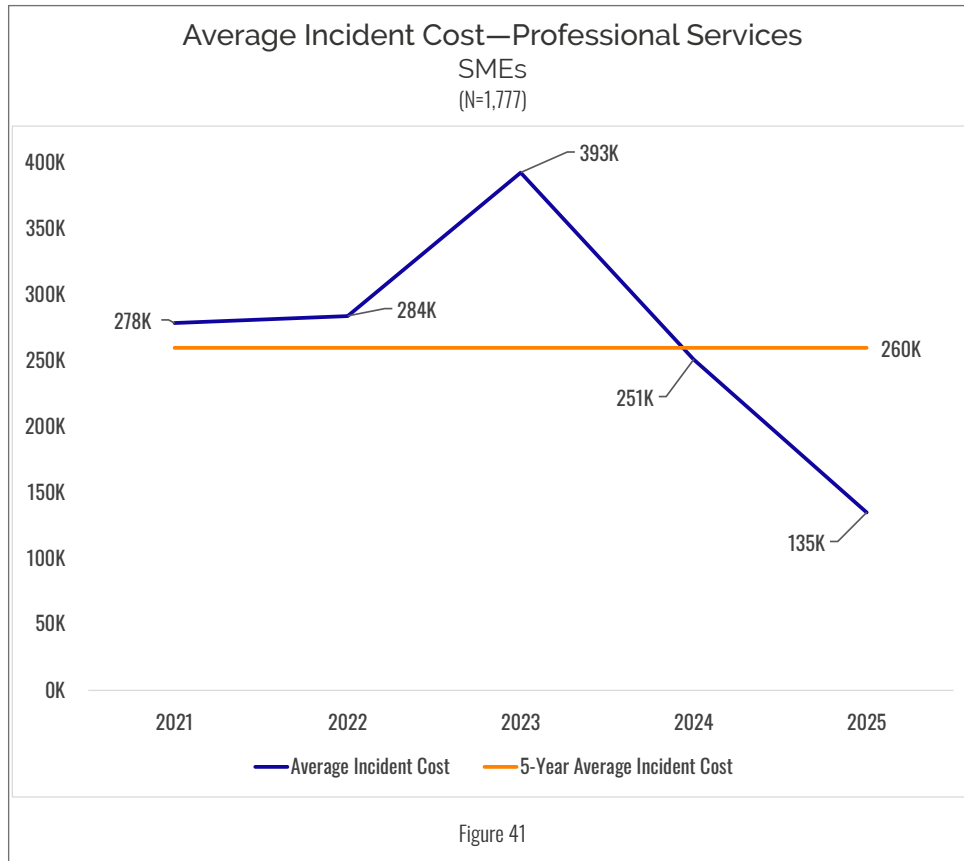


Professional Services

The professional services sector encompasses a broad array of organizations including law firms, accounting and tax firms, consulting firms, and real estate firms. The average and maximum annual revenue of these firms was similar to those in last year's report: \$63M and \$1.5B.

At SMEs, professional services claims accounted for 19% of all claims and 19% of total incident cost greater than \$1K. Total incident cost ranged from \$1K to \$30M. The top causes of loss were the same as in the 2025 *Claims Study*: ransomware, BEC, and theft of money.

Figure 41 shows the year-by-year and five-year average incident cost for this sector.

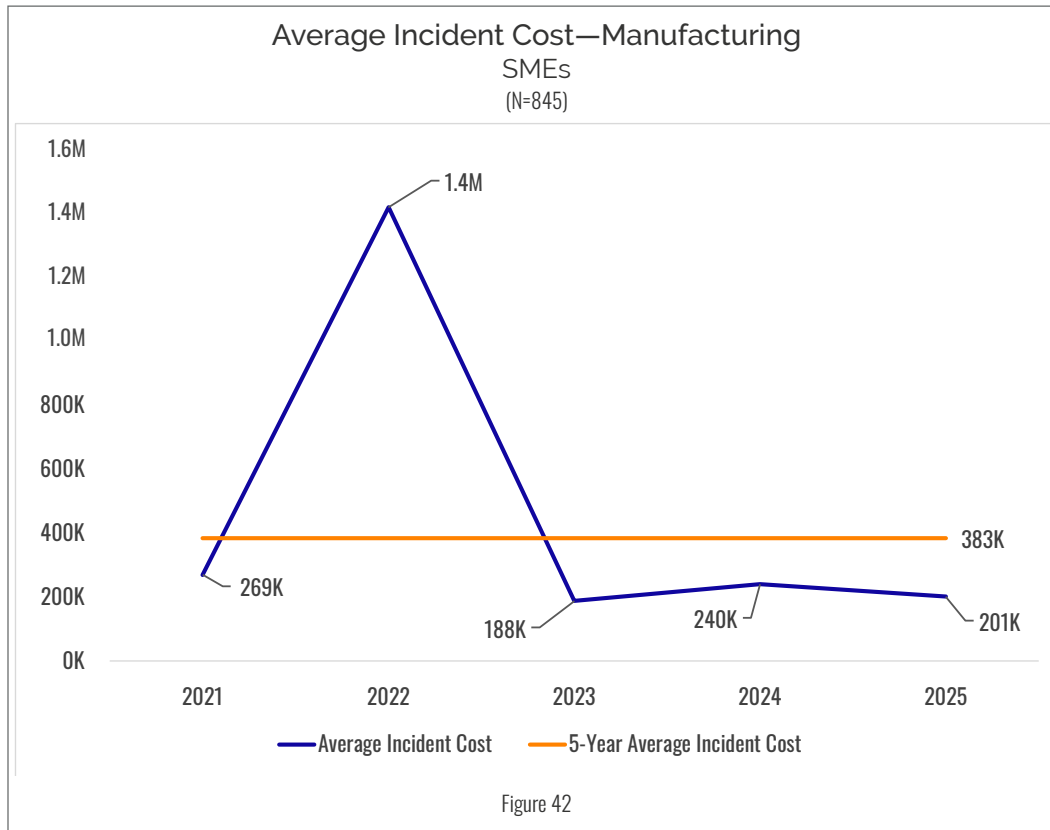


Manufacturing

The average annual revenue of organizations in the manufacturing sector was \$120M (maximum=\$1.9B).

Manufacturing claims accounted for 9% of all claims and 13% of total incident cost at SMEs. Total incident cost ranged from \$3K to \$108M. The top causes of loss were ransomware, BEC, and wire transfer fraud.

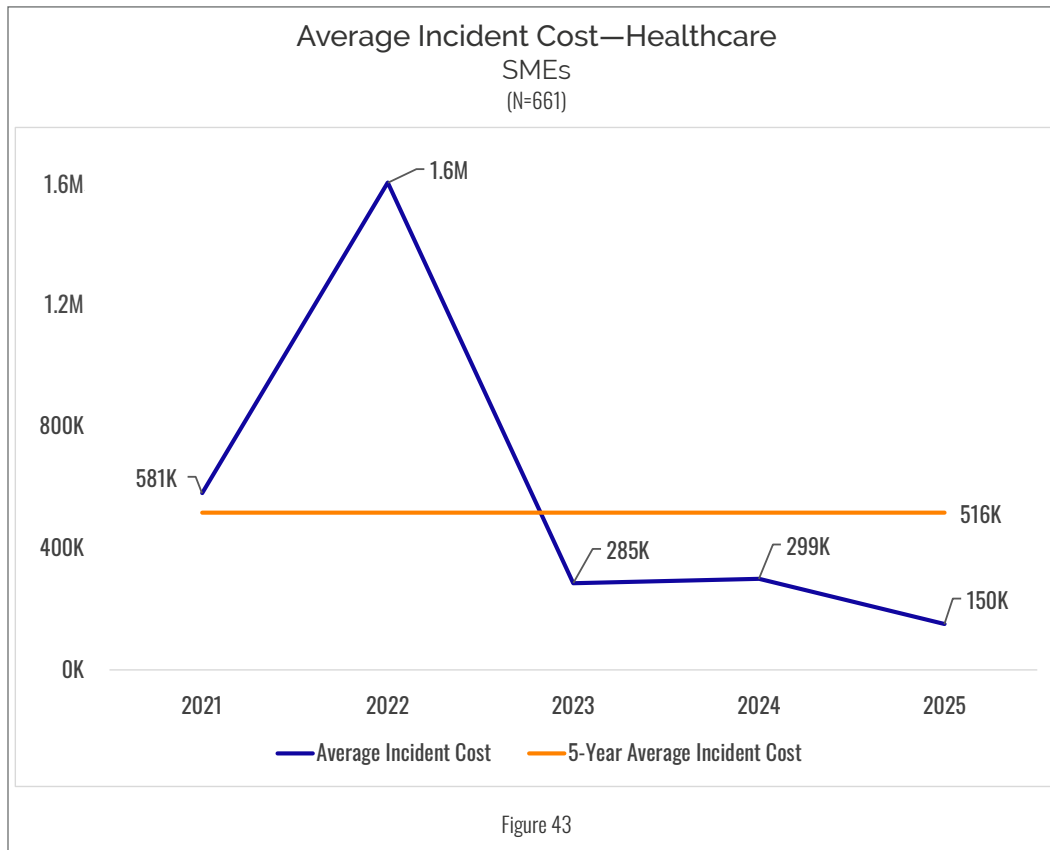
Figure 42 below shows the year-by-year and five-year average incident cost for this sector. The spike in average incident cost in 2022 resulted from a very large outlier event.



Healthcare

The average annual revenue of organizations in the healthcare sector was \$101M (maximum=\$1.8B). Healthcare claims accounted for 7% of all claims and 14% of total incident cost at SMEs. Total incident cost ranged from 1K to almost \$105M. The top causes of loss were ransomware, BEC, and hackers.

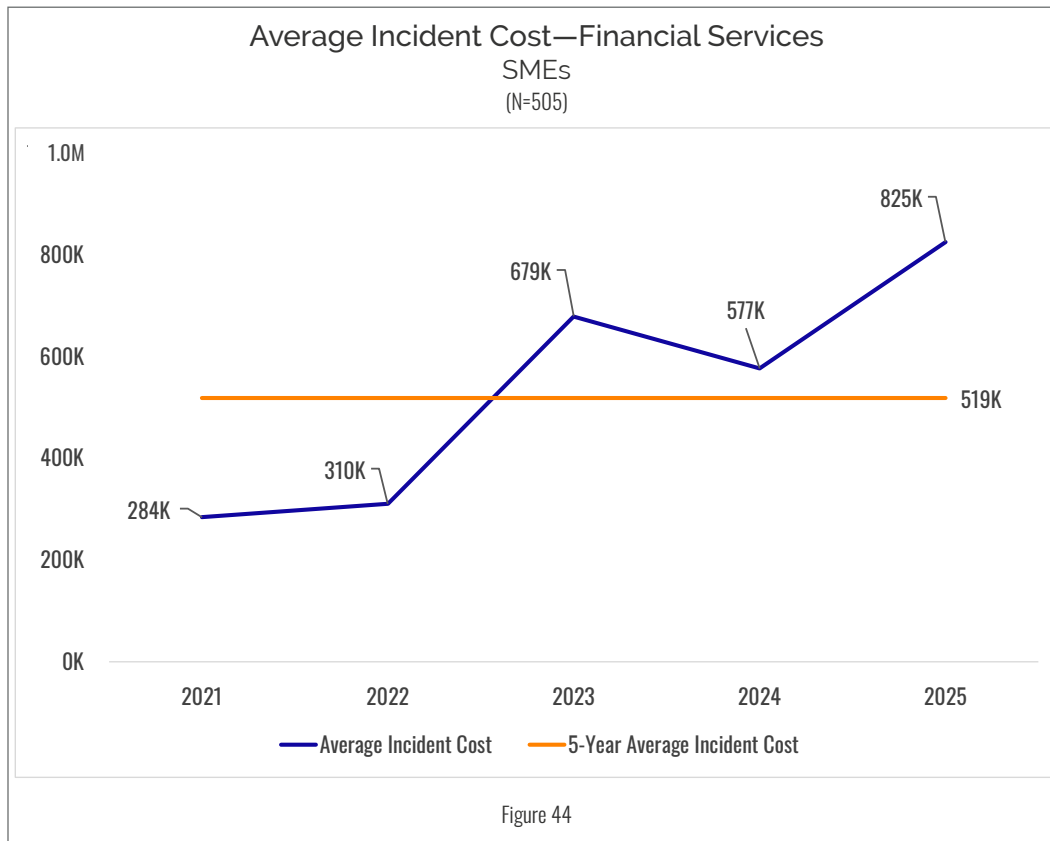
Figure 44 below shows the year-by-year and five-year average incident cost for this sector.



Financial Services

The average annual revenue of organizations in the financial services sector was \$112M (maximum=\$1.9B). Financial services claims accounted for 5% of all claims and 11% of total incident cost at SMEs. Total incident cost ranged from \$1K to \$48.8M. The top causes of loss were unchanged from last year: BEC, ransomware, and hackers.

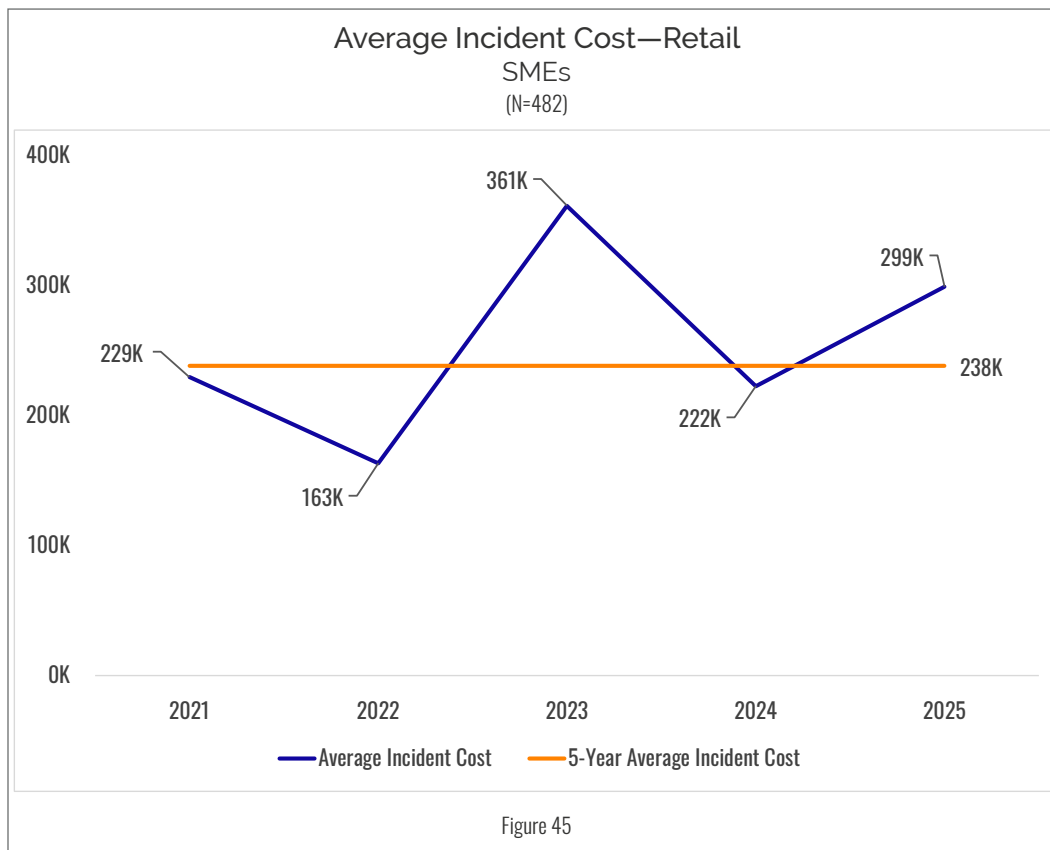
Figure 45 below shows the year-by-year and five-year average incident cost for this sector.



Retail

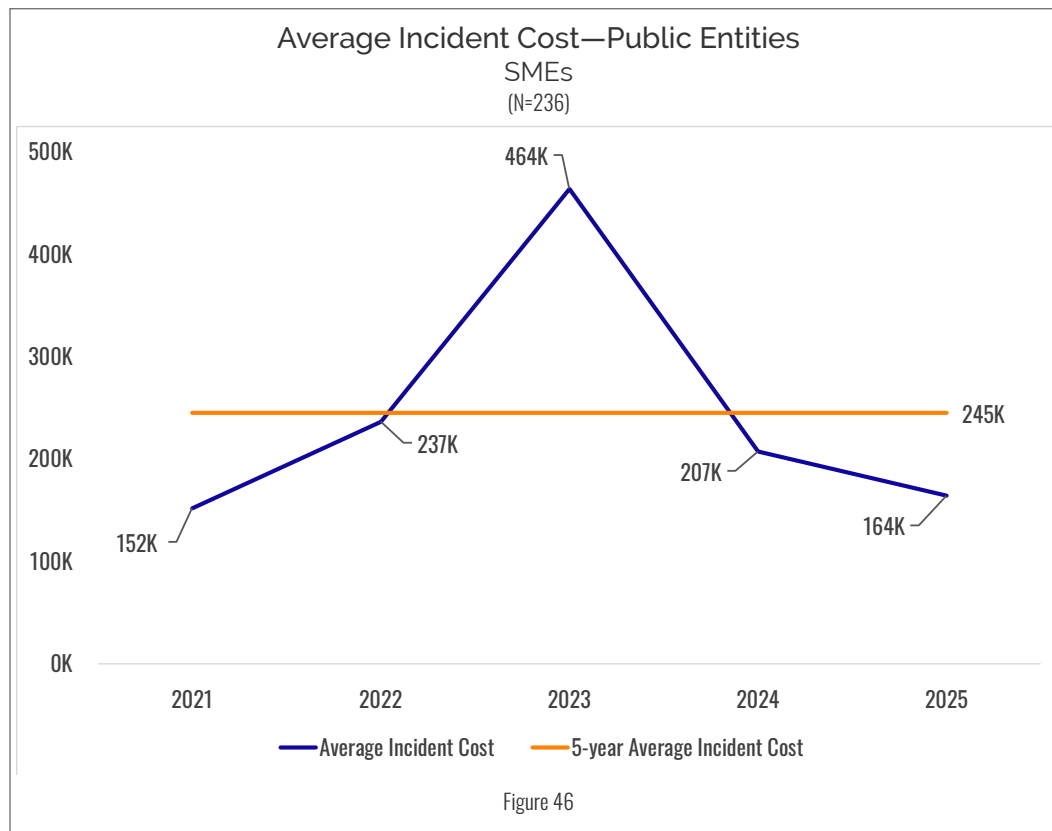
The average annual revenue of organizations in the retail sector was \$151M (maximum=\$1.9B). Retail claims accounted for 5% of all claims and 5% of total incident cost at SMEs. Total incident cost ranged from \$1K to \$11.6M. The three top causes of loss were ransomware, BEC, and system glitches.

Figure 43 below shows the year-by-year and five-year average incident cost for this sector.



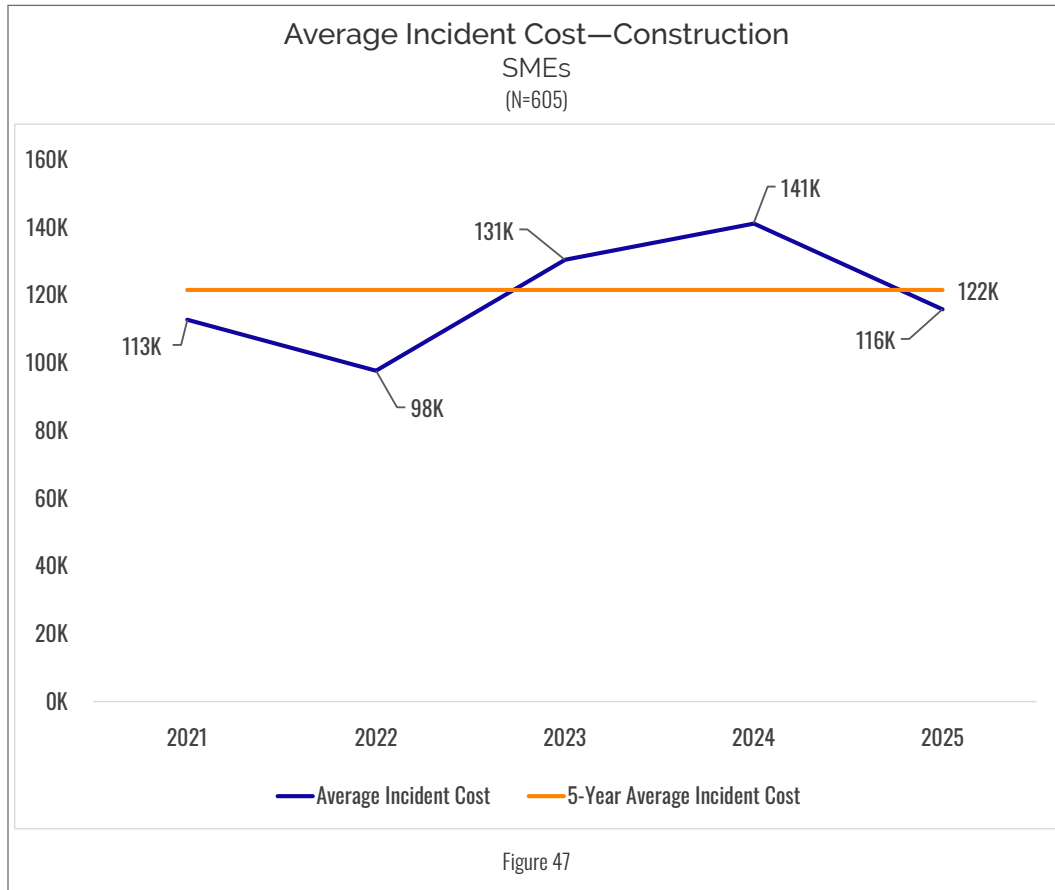
Public Entities

The average annual revenue for public entities was \$198M (maximum=\$1.9B). Claims from public entities represent about 2% of all claims and 3% of total incident cost. Total incident cost ranged from \$1.5K to \$6.0M. Over five years, incident costs have remained below \$200K, with the exception of a spike in 2023. Top causes of loss were ransomware, BEC, and wire transfer fraud.



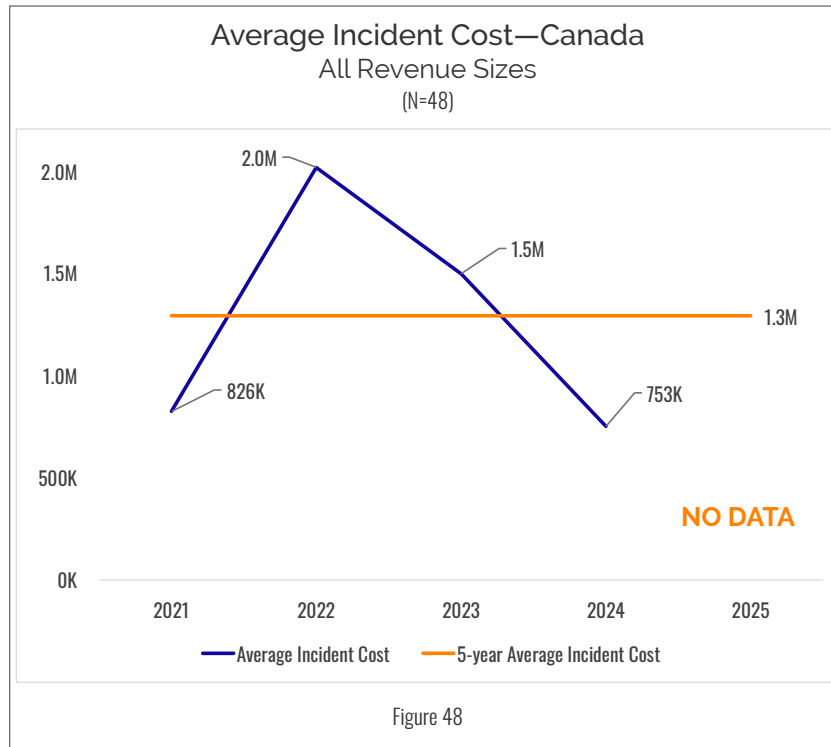
Construction

The average annual revenue for the construction industry was \$101M (maximum=\$1.8B). Claims from the construction industry represent about 7% of all claims and 3% of total incident cost. Total incident cost ranged from \$5K to \$1.7M. The average incident cost has been low and flat since 2021. Top causes of loss were ransomware and BEC. The average ransom payment was \$282K.



Claims from Canada

Claims from Canada are limited (<1.0%). No new claims were collected for 2025. The average annual revenue of a Canadian organization in this study was 1.1B USD (maximum=17B USD). The average five-year total incident cost was 1.3M USD (maximum=15M USD).



Canada Top Causes of Loss 2021-2025		
Cause of Loss	Claims	Average Incident Cost
Ransomware	25	2.0M
Business Email Compromise	6	78K
Hacker	4	50K
Wire Transfer Fraud	3	297K
Malware/Virus	3	39K
Staff Mistake	2	51K
Wrongful Data Collection	1	333K
Rogue Employee	1	8.1M
Other	3	768K

Table 2

Over the past year, Canada's cyber threat landscape has been dominated by ransomware, which remains the leading driver of cyber insurance claims and one of the most disruptive threats facing Canadian organizations. At the same time, business email compromise (BEC) has continued to be a significant source of claims, reflecting the growing effectiveness of attacks that exploit people rather than technology. Organizations are facing a two-front battle: ransomware attacks that can shut down operations and BEC attacks that can quietly turn a legitimate business transaction into a significant financial loss. The lesson for Canadian businesses is clear—cyber resilience now requires not only strong technical defenses against ransomware, but equal attention to the human element of cybersecurity.

Patrick Bourk
Strategic Consultant, NetDiligence

Conclusion

For sixteen years, NetDiligence has raised the bar for presenting and understanding cyber insurance loss for both cyber insurers and other key stakeholders.

This year, over 4,800 new claims were submitted. These were added to an existing dataset of over 5,500 claims. The result has been a comprehensive dataset of cyber claims incidents, including their causes and monetary impacts.

In this year's report, the average incident cost for SMEs was up only slightly: \$266K compared to \$264K in last year's report. At large companies, the average incident cost also remained steady: \$11.2M vs. \$10.3M.

Ransomware and BEC continue to be the leading causes of loss. We have also seen a large increase in incidents related to hackers.

For the benefit of the industry overall, all underwriters are encouraged to participate in next year's NetDiligence study. All participating insurers are encouraged to share a larger percentage of their cyber claims, especially those for companies with more than \$2B in annual revenue. As participation in the study expands in these two ways, its findings will be richer and more representative of changing market conditions.

Insurance Industry Participants

Over the years, many insurance companies have contributed claims data for this study. We thank them all, as without their participation this study would not be possible. Special thanks go to the following companies for contributing a significant number of new claims for the 2026 study.

Allied World

Association of Washington Cities

At Bay, Inc.

Berkley Cyber Risk Solutions

Crum & Forster

Great American Insurance Group

Sompo

Tokio Marine HCC-CPLG

Travelers

An Invitation to Insurers

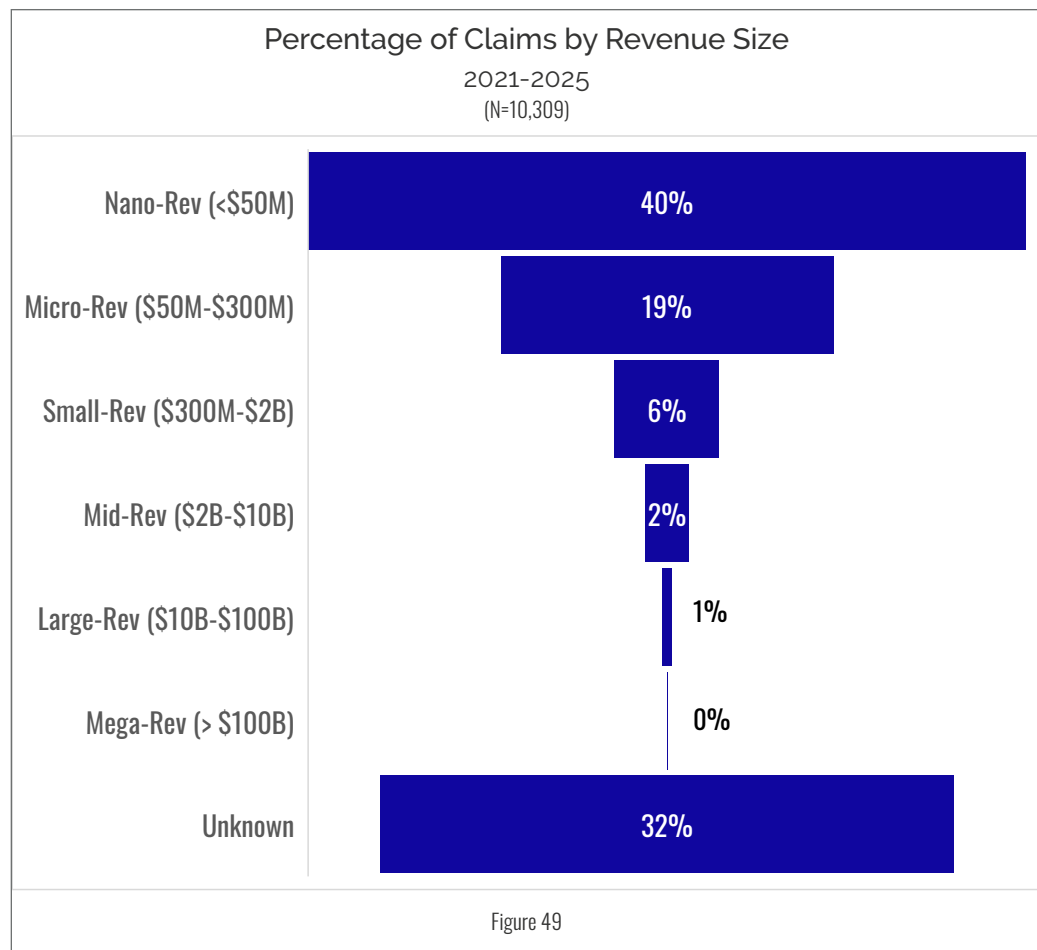
We hope you will consider joining this elite group of participating companies. We'll be starting next year's study in January. Email cyberclaims@netdiligence.com to learn more about participating.

Appendices

Revenue Size

Analysis of claims by annual revenue size of the claimant has been an important part of every NetDiligence study. The graphics and tables below provide insight into the proportion of claims in the dataset for each company size grouping and the costs of crisis services and incidents.

To review: SMEs (companies with annual revenue less than \$2B) account for 97% of the claims analyzed and 44% of total incident cost. Large companies (companies with annual revenue greater than \$2B) account for only 3% of the claims analyzed but 56% of total incident cost.



Incident Cost by Revenue Size Claims ≥ \$1K 2021-2025								
Revenue Size	Claims	Minimum	Average	Maximum	Total	% of Total	Rank by Claims	Rank by Cost
Nano-Rev (<\$50M)	3,872	1K	141K	10.4M	545.4M	10%	1	6
Micro-Rev (\$50M–\$300M)	1,751	1K	361K	25.0M	632.6M	11%	3	5
Small-Rev (\$300M–\$2B)	522	1K	2.1M	108.0M	1.1B	19%	4	4
Mid-Rev (\$2B–\$10B)	233	2K	4.8M	268.0M	1.1B	20%	5	3
Large-Rev (\$10B–\$100B)	45	4K	40.6M	503.5M	1.8B	32%	6	2
Mega-Rev (>\$100B)	4	10.6M	62.1M	150.0M	248.2M	4%	7	1
Unknown	3,092	1K	63K	10.0M	194.9M	3%	2	7
Table 3								

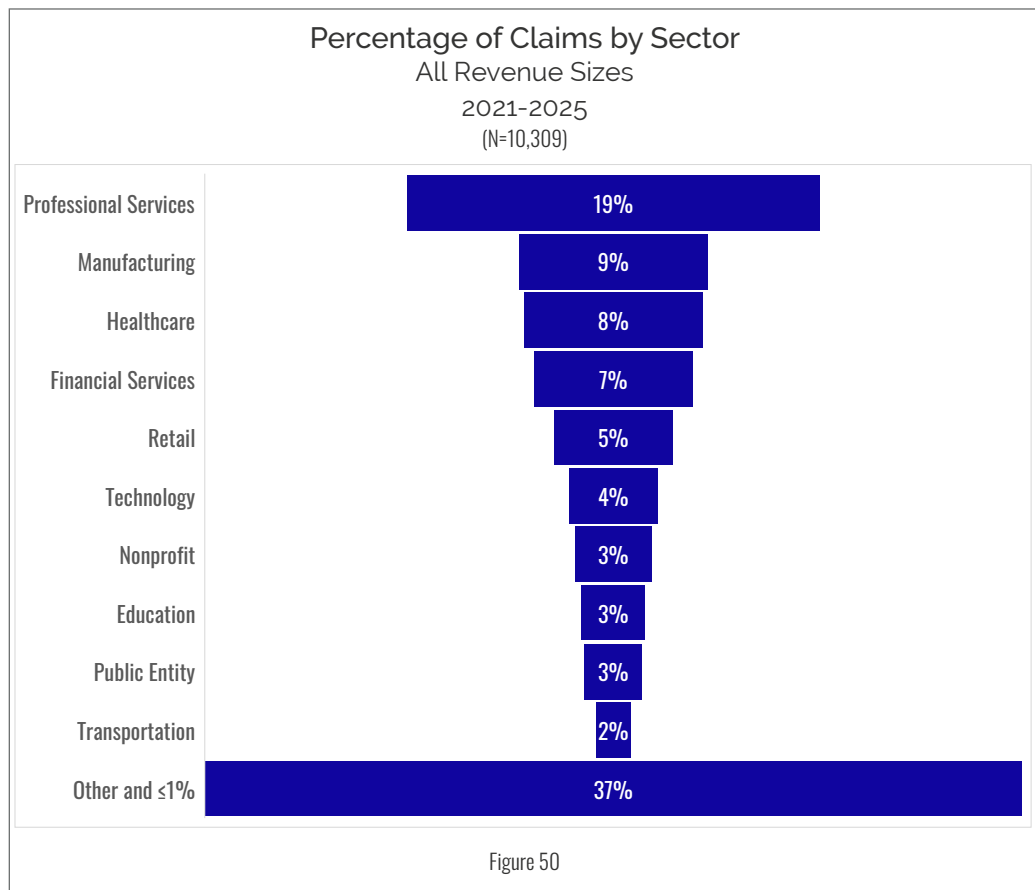
Average Crisis Services Costs by Revenue Size Claims ≥ \$1K 2021-2025							
Revenue Size	Forensics	Monitoring	Notification	Legal Guidance	Other	Total Crisis Costs	Rank by Total Crisis Cost
Nano-Rev (<\$50M)	36K	4K	56K	18K	82K	88K	6
Micro-Rev (\$50M–\$300M)	66K	40K	67K	30K	139K	176K	5
Small-Rev (\$300M–\$2B)	201K	85K	302K	104K	321K	626K	4
Mid-Rev (\$2B–\$10B)	134K	110K	388K	65K	743K	1.1M	3
Large-Rev (\$10B–\$100B)	3.2M	11.5M	929K	2.9M	1.9M	7.8M	2
Mega-Rev (>\$100B)						26.3M	1
Unknown	1K	0K	0K	1K	42K	5K	7
Table 4							

Business Sector

Claims are categorized in one of the following nineteen business sectors:

- Agriculture
- Education
- Energy
- Entertainment
- Financial Services
- Gaming & Casino
- Healthcare
- Hospitality
- Manufacturing
- Media
- Nonprofit
- Professional Services
- Public Entity
- Restaurant
- Retail
- Technology
- Telecommunications
- Transportation
- Other

The graphic and tables below provide a detailed look at various metrics by business sector.



NETDILIGENCE® CYBER CLAIMS STUDY 2026 REPORT

Incident Cost by Sector—SMEs 2021-2025								
Sector	Claims	Minimum	Average	Maximum	Total	% of Total	Rank by Claims	Rank by Cost
Agriculture	30	2K	70K	470K	2.1M	0.1%	17	19
Education	278	2K	177K	12.0M	49.1M	2.0%	10	15
Energy	51	2K	502K	15.0M	25.6M	1.0%	16	8
Entertainment	70	5K	263K	2.6M	18.4M	0.7%	14	11
Financial Services	505	1K	519K	48.8M	262.1M	10.7%	6	6
Gaming & Casino	4	3.2M	4.5M	5.4M	18.0M	0.7%	20	1
Healthcare	661	1K	516K	105.0M	341.2M	13.9%	5	7
Hospitality	114	2K	133K	3.2M	15.2M	0.6%	13	16
Manufacturing	845	3K	383K	108.0M	324.0M	13.2%	4	10
Media	61	2K	654K	11.0M	39.9M	1.6%	15	4
Nonprofit	346	1K	112K	4.6M	38.7M	1.6%	9	17
Professional Services	1,777	1K	260K	30.0M	461.3M	18.8%	2	12
Public Entity	236	2K	245K	6.0M	57.9M	2.4%	11	13
Restaurant	21	2K	578K	5.2M	12.1M	0.5%	19	5
Retail	482	1K	238K	11.6M	114.8M	4.7%	7	14
Technology	362	1K	836K	26.0M	302.7M	12.3%	8	3
Telecommunications	26	1K	1.4M	8.7M	36.2M	1.5%	18	2
Transportation	154	1K	483K	15.0M	74.4M	3.0%	12	9
Other	2,285	1K	101K	5.3M	230.5M	9.4%	1	18
Unknown	927	1K	36K	5.0M	33.8M	1.4%	3	20
Table 5								

Average Crisis Services Costs by Sector—SMEs 2021-2025							
Sector	Forensics	Monitoring	Notification	Legal Guidance	Other	Total Crisis Costs	Rank by Total Crisis Cost
Agriculture	18K	0K	2K	7K	75K	50K	18
Education	45K	3K	8K	16K	94K	89K	14
Energy	133K	0K	1K	43K	161K	198K	5
Entertainment	34K	4K	40K	21K	104K	107K	13
Financial Services	51K	46K	177K	24K	121K	199K	4
Gaming & Casino	93K	6K	17K	123K	64K	781K	1
Healthcare	57K	7K	63K	23K	96K	176K	7
Hospitality	18K	0K	6K	7K	57K	47K	19
Manufacturing	69K	1K	8K	23K	110K	145K	8
Media	38K	0K	5K	18K	168K	144K	9
Nonprofit	49K	1K	17K	15K	60K	67K	16
Professional Services	32K	4K	49K	24K	174K	133K	10
Public Entity	45K	4K	37K	30K	97K	108K	12
Restaurant	21K	2K	24K	7K	84K	88K	15
Retail	25K	1K	6K	12K	52K	60K	17
Technology	60K	14K	67K	36K	75K	181K	6
Telecommunications	179K	347K	635K	64K	108K	632K	2
Transportation	49K	3K	5K	37K	139K	204K	3
Other	36K	5K	7K	15K	149K	123K	11
Unknown	0K	0K	0K	0K		0K	20
Table 6							

NETDILIGENCE® CYBER CLAIMS STUDY 2026 REPORT

Incident Cost by Sector—Large Companies 2021-2025								
Sector	Claims	Minimum	Average	Maximum	Total	% of Total	Rank by Claims	Rank by Cost
Agriculture	1	5.0M	5.0M	5.0M	5.0M	0.2%	15	11
Education	4	226K	821K	1.7M	3.3M	0.1%	8	16
Energy	4	187K	1.9M	5.0M	7.5M	0.2%	8	13
Financial Services	163	2K	1.2M	50.0M	199.1M	6.2%	1	15
Gaming & Casino	2	26.7M	63.3M	100.0M	126.7M	4.0%	12	4
Healthcare	35	3K	28.7M	402.5M	1.0B	31.4%	2	5
Hospitality	2	220.0M	244.0M	268.0M	488.0M	15.3%	12	2
Manufacturing	18	29K	6.6M	33.5M	117.9M	3.7%	3	10
Media	1	150.0M	150.0M	150.0M	150.0M	4.7%	15	3
Nonprofit	1	4K	4K	4K	4K	0.0%	15	18
Professional Services	11	72K	2.6M	7.6M	29.0M	0.9%	5	12
Public Entity	4	40K	1.7M	5.5M	6.6M	0.2%	8	14
Restaurant	2	10K	603K	1.2M	1.2M	0.0%	12	17
Retail	8	55K	20.4M	111.0M	163.0M	5.1%	7	6
Technology	11	46K	17.6M	110.0M	193.8M	6.1%	5	7
Telecommunications	1	503.5M	503.5M	503.5M	503.5M	15.8%	15	1
Transportation	3	200K	8.1M	23.8M	24.3M	0.8%	11	9
Other	13	25K	13.1M	71.5M	170.5M	5.3%	4	8
Table 7								

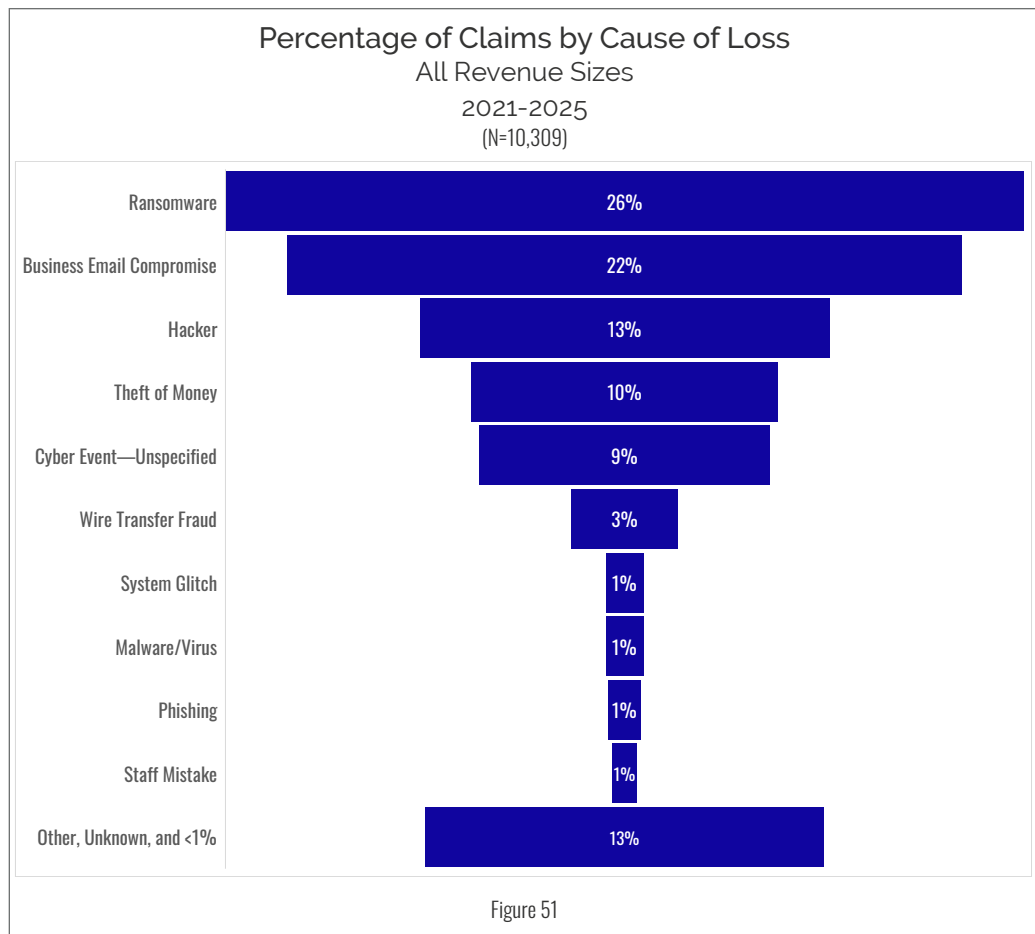
Average Crisis Services Costs by Sector—Large Companies 2021-2025							
Sector	Forensics	Monitoring	Notification	Legal Guidance	Other	Total Crisis Costs	Rank by Total Crisis Cost
Education	31K	0K	397K	67K	0K	494K	12
Energy	299K	105K	0K	53K	50K	455K	13
Financial Services	362K	3K	2K	52K	20K	571K	11
Gaming & Casino	0K	0K	0K	0K	0K	14.8M	3
Healthcare	168K	258K	2.3M	64K	747K	4.1M	6
Hospitality	3.9M	0K	0K	3.9M	0K	15.9M	2
Manufacturing	476K	19K	116K	670K	850K	2.0M	8
Media	0K	0K	0K	0K	0K	50.0M	1
Nonprofit	0K	0K	0K	0K	4K	4K	15
Professional Services	284K	200K	1.6M	119K	103K	980K	9
Public Entity	0K	0K	0K	17K	192K	408K	14
Restaurant	162K	0K	415K	0K	159K	736K	10
Retail	1.5M	0K	152K	4.5M	1.0M	5.0M	5
Technology	1.2M	23.0M	0K	1.5M	1.5M	8.8M	4
Transportation	0K	0K	0K	0K	100K	0K	16
Other	248K	68K	0K	33K	4.2M	3.6M	7
Table 8							

Cause of Loss

Claims are assigned to one of the following twenty-five causes of loss:

- Business Email Compromise
- Cyber Event—Unspecified
- Hacker
- Intellectual Property
- Legal Action
- Lost/Stolen Laptop/Device
- Malware/Virus
- Negligence
- Paper Records
- Phishing
- Privacy Breach
- Programming Error
- Ransomware
- Rogue Employee
- Social Engineering
- Staff Mistake
- System Glitch
- Theft of Money
- Third Party
- Trademark/Copyright Infringement
- Unauthorized Access
- Wire Transfer Fraud
- Wrongful Data Collection
- Other
- Unknown

The graphic and tables below provide a detailed look at various metrics by cause of loss.



NETDILIGENCE® CYBER CLAIMS STUDY

2026 REPORT

Incident Cost by Cause of Loss—SMEs 2021-2025								
Sector	Claims	Minimum	Average	Maximum	Total	% of Total	Rank by Claims	Rank by Cost
Business Email Compromise	2,170	1K	100K	30.0M	217.7M	8.9%	2	12
Cyber Event—Unspecified	812	1K	47K	5.0M	38.4M	1.6%	6	21
Hacker	1,063	1K	186K	22.0M	197.8M	8.0%	3	8
Legal Action	36	1K	153K	4.2M	5.5M	0.2%	14	9
Lost/Stolen Laptop/Device	31	1K	49K	341K	1.5M	0.1%	15	20
Malware/Virus	113	4K	63K	1.0M	7.1M	0.3%	9	16
Paper Records	1	100K	100K	100K	100K	0.0%	20	13
Phishing	92	1K	50K	489K	4.6M	0.2%	10	18
Programming Error	6	12K	88K	402K	527K	0.0%	16	15
Ransomware	2,499	1K	660K	108.0M	1.6B	67.1%	1	2
Rogue Employee	37	1K	49K	298K	1.8M	0.1%	13	19
Social Engineering	2	11K	216K	421K	432K	0.0%	19	6
Staff Mistake	65	1K	136K	2.8M	8.8M	0.4%	11	11
System Glitch	122	6K	241K	1.8M	29.4M	1.2%	8	5
Theft of Money	940	1K	52K	1.0M	48.8M	2.0%	4	17
Third Party	3	6K	96K	197K	288K	0.0%	17	14
Trademark/Copyright Infringement	1	4.1M	4.1M	4.1M	4.1M	0.2%	20	1
Wire Transfer Fraud	345	2K	152K	3.8M	52.5M	2.1%	7	10
Wrongful Data Collection	41	6K	331K	5.1M	13.6M	0.6%	12	4
Other	853	1K	205K	11.0M	174.5M	7.1%	5	7
Unknown	3	2K	403K	1.2M	1.2M	0.0%	17	3

Table 9

Average Crisis Services Costs by Cause of Loss—SMEs 2021-2025							
Sector	Forensics	Monitoring	Notification	Legal Guidance	Other	Total Crisis Costs	Rank by Total Crisis Cost
Business Email Compromise	17K	3K	30K	15K	80K	68K	4
Cyber Event—Unspecified	1K	0K	0K	0K	0K	2K	17
Hacker	21K	2K	29K	11K	31K	56K	6
Lost/Stolen Laptop/Device	5K	1K	1K	15K	164K	25K	10
Malware/Virus	18K	2K	13K	8K	98K	38K	8
Phishing	3K	0K	0K	1K	0K	3K	14
Programming Error	17K	0K	0K	5K	3K	19K	12
Ransomware	77K	19K	79K	35K	170K	265K	1
Rogue Employee	26K	0K	0K	11K	7K	26K	9
Social Engineering	9K	0K	0K	6K	0K	12K	13
Staff Mistake	20K	3K	30K	31K	58K	53K	7
System Glitch	2K	0K	0K	1K	3K	2K	16
Theft of Money	0K	0K	0K	0K	158K	3K	15
Wire Transfer Fraud	11K	0K	0K	9K	129K	61K	5
Wrongful Data Collection	18K	1K	0K	6K	5K	21K	11
Other	17K	2K	11K	16K	174K	87K	3
Unknown	0K	0K	0K	7K	0K	122K	2
Table 10							

NETDILIGENCE® CYBER CLAIMS STUDY 2026 REPORT

Incident Cost by Cause of Loss—Large Companies 2021-2025								
Sector	Claims	Minimum	Average	Maximum	Total	% of Total	Rank by Claims	Rank by Cost
Business Email Compromise	9	18K	163K	600K	1.5M	0.0%	5	13
Cyber Event—Unspecified	2	226K	653K	1.1M	1.3M	0.0%	10	9
Hacker	73	3K	2.4M	150.0M	175.0M	5.5%	2	8
Lost/Stolen Laptop/Device	1	32K	32K	32K	32K	0.0%	14	14
Malware/Virus	8	13K	4.4M	35.0M	35.6M	1.1%	6	3
Privacy Breach	1	8K	8K	8K	8K	0.0%	14	16
Ransomware	87	4K	31.3M	503.5M	2.7B	85.4%	1	1
Rogue Employee	2	55K	4.1M	8.1M	8.2M	0.3%	10	4
Social Engineering	3	17K	27K	39K	82K	0.0%	8	15
Staff Mistake	2	40K	2.5M	5.0M	5.0M	0.2%	10	6
Theft of Money	3	187K	553K	1.2M	1.7M	0.1%	8	10
Third-Party Incident	1	7.5M	7.5M	7.5M	7.5M	0.2%	14	2
Unauthorized Access	33	2K	3.1M	101.0M	102.0M	3.2%	4	5
Wire Transfer Fraud	4	125K	332K	600K	1.3M	0.0%	7	12
Wrongful Data Collection	2	10K	505K	1.0M	1.0M	0.0%	10	11
Other	53	3K	2.4M	71.5M	127.5M	4.0%	3	7
Table 11								

Average Crisis Services Costs by Cause of Loss—Large Companies 2021-2025							
Sector	Forensics	Monitoring	Notification	Legal Guidance	Other	Total Crisis Costs	Rank by Total Crisis Cost
Business Email Compromise	11K	0K	2K	15K	116K	60K	7
Hacker	17K	2K	76K	18K	16K	794K	5
Lost/Stolen Laptop/Device	19K	0K	0K	13K	0K	32K	10
Malware/Virus	11K	0K	0K	6K	0K	12K	11
Ransomware	1.4M	2.2M	915K	1.0M	785K	5.2M	1
Rogue Employee	9K	0K	13K	33K	0K	55K	8
Staff Mistake	0K	0K	0K	0K	0K	2.5M	3
Theft of Money	81K	0K	207K	0K	159K	368K	6
Third-Party Incident	0K	0K	0K	0K	0K	5.0M	2
Wire Transfer Fraud	0K	0K	0K	0K	38K	38K	9
Other	45K	521K	626K	40K	4.1M	1.1M	4
Table 12							

Type of Data

All claims are assigned to one of the following types of data:

- Email—Unspecified
- Files—Critical
- Intellectual Property
- Non-Card Financial
- Other Non-Public Data
- PCI
- PHI
- PII
- Trade Secrets
- User Credentials (Login & Passwords)
- User Online Tracking
- Other
- N/A
- Unknown

Because a large percentage of incidents (ransomware, DDoS, and wire transfer fraud) do not expose records at all, a new category was created in 2018 to capture these incidents. This category is "Files—Critical". An example of an incident with "Files—Critical" data would be a ransomware event that locked a database, system, or network deemed essential.

The tables below provide a detailed look at various metrics by type of data.

Incident Cost by Type of Data—SMEs 2021-2025								
Sector	Claims	Minimum	Average	Maximum	Total	% of Total	Rank by Claims	Rank by Cost
Email—Unspecified	6	4K	19K	58K	116K	0.0%	14	17
Files—Critical	76	2K	332K	4.7M	25.3M	1.8%	5	12
Intellectual Property	7	26K	3.7M	13.6M	26.2M	1.9%	11	3
Non-Card Financial	53	1K	541K	7.0M	28.7M	2.0%	8	11
Other Non-Public Data	72	1K	980K	15.0M	70.6M	5.0%	6	8
PCI	12	1K	318K	2.3M	3.8M	0.3%	10	13
PHI	198	1K	1.3M	105.0M	257.4M	18.3%	4	5
PII	767	1K	1.1M	108.0M	808.8M	57.6%	2	7
PII & PHI	7	49K	3.9M	20.0M	27.5M	2.0%	11	2
PII, Non-Card Financial	1	761K	761K	761K	761K	0.1%	16	10
Trade Secrets	7	250K	931K	2.1M	6.5M	0.5%	11	9
User Credentials	29	2K	248K	1.3M	7.2M	0.5%	9	14
Video viewing data	2	4.2M	4.6M	5.1M	9.3M	0.7%	15	1
None	1	2.6M	2.6M	2.6M	2.6M	0.2%	16	4
N/A	483	1K	165K	5.2M	79.7M	5.7%	3	15
Other	54	7K	1.2M	30.0M	67.5M	4.8%	7	6
Unknown	7,460	1K	139K	26.0M	1.0B	73.7%	1	16

Table 13

Average Crisis Services Costs by Type of Data—SMEs 2021-2025							
Sector	Forensics	Monitoring	Notification	Legal Guidance	Other	Total Crisis Costs	Rank by Total Crisis Cost
Email—Unspecified	14K	0K	0K	7K	0K	17K	16
Files—Critical	57K	8K	1K	19K	51K	101K	13
Intellectual Property	17K	0K	0K	4K	0K	1.4M	2
Non-Card Financial	240K	95K	783K	65K	65K	226K	8
Other Non-Public Data	126K	21K	1K	38K	51K	357K	5
PCI	200K	20K	10K	164K	23K	300K	7
PHI	179K	413K	182K	110K	96K	813K	4
PII	136K	223K	26K	48K	83K	352K	6
PII & PHI	102K	51K	0K	58K	42K	191K	10
PII, Non-Card Financial	0K	0K	0K	17K	0K	111K	12
Trade Secrets	77K	6K	1K	93K	50K	224K	9
User Credentials	73K	28K	0K	29K	89K	117K	11
None	0K	0K	0K	0K	0K	2.5M	1
N/A	21K	3K	0K	9K	49K	46K	15
Other	87K	1.0M	367K	246K	920K	916K	3
Unknown	24K	8K	0K	11K	126K	78K	14
Table 14							

NETDILIGENCE® CYBER CLAIMS STUDY

2026 REPORT

Incident Cost by Type of Data—Large Companies 2021-2025								
Sector	Claims	Minimum	Average	Maximum	Total	% of Total	Rank by Claims	Rank by Cost
Files—Critical	3	3.3M	7.8M	15.3M	23.5M	0.8%	7	5
Intellectual Property	3	24K	455K	1.3M	1.4M	0.0%	7	11
N/A	12	25K	3.2M	23.8M	38.3M	1.2%	5	7
Non-Card Financial	1	27K	27K	27K	27K	0.0%	10	12
Other Non-Public Data	3	29K	1.5M	2.9M	4.6M	0.2%	7	9
PHI	25	22K	35.8M	402.5M	894.7M	29.2%	3	1
PHI, PII, SSN, DL	1	12.0M	12.0M	12.0M	12.0M	0.4%	10	4
PII	125	3K	14.6M	503.5M	1.8B	59.7%	1	3
User Credentials	13	13K	18.9M	111.0M	246.3M	8.0%	4	2
None	1	7.5M	7.5M	7.5M	7.5M	0.2%	10	6
Other	5	39K	1.7M	8.1M	8.3M	0.3%	6	8
Unknown or N/A	92	2K	1.4M	33.5M	126.9M	4.1%	2	10
Table 15								

Average Crisis Services Costs by Cause of Loss—Large Companies 2021-2025							
Sector	Forensics	Monitoring	Notification	Legal Guidance	Other	Total Crisis Costs	Rank by Total Crisis Cost
Files—Critical	338K	0K	0K	45K	0K	383K	9
Intellectual Property	568K	14K	0K	69K	0K	644K	7
Non-Card Financial	21K	0K	0K	5K	0K	26K	12
Other Non-Public Data	313K	0K	0K	43K	78K	395K	8
PHI	125K	94K	2.4M	90K	1.2M	3.0M	3
PHI, PII, SSN, DL	0K	0K	0K	0K	0K	10.0M	1
PII	407K	116K	111K	311K	455K	2.5M	5
User Credentials	217K	11.5M	3K	237K	0K	2.5M	4
None	0K	0K	0K	0K	0K	5.0M	2
N/A	83K	0K	207K	1K	60K	178K	10
Other	18K	0K	1K	27K	0K	46K	11
Unknown	1.6M	193K	5K	425K	1.8M	2.0M	6
Table 16							

Insuring in the Age of AI:

How Artificial Intelligence is Transforming Cyber Risk

Amanda Novak, Senior Counsel, Constangy Cyber & Co-Chair, AI Practice Group

Artificial Intelligence is rapidly recarving the cyber risk landscape by amplifying existing threats and creating new ones. Companies, and insurers, are aggressively adopting AI to increase efficiency, automate business processes, and analyze vast amounts of data. However, threat actors also use these tools to make familiar attacks easier to execute, more persuasive, and more scalable. Meanwhile, organizations' growing dependence on AI is creating a new attack surface.

For cyber insurers, the result is a complex, ever-evolving risk environment. AI is changing how attacks are launched, who can perpetrate them, and how cyber losses accumulate. Yet, the most effective defenses remain familiar cybersecurity best practices.

AI-Enabled Cyber Risks

Threat actors can use AI to automate reconnaissance, identify potential vulnerabilities, create phishing content, and accelerate attack operations. They can also combine publicly available information from corporate websites, LinkedIn, and personal social media accounts to generate highly tailored social-engineering messages that look and sound credible.

AI also reduces the time, language skills, and technical expertise traditionally required for certain forms of cybercrime, making the threat landscape more crowded and less predictable. Sophisticated criminal organizations remain a serious risk, but inexperienced actors increasingly have access to capabilities once beyond their reach.

Deepfakes and other synthetic media exacerbate these risks. Historically, fraudulent wire transfers involved business email compromise: a threat actor gained access to an email account, impersonated a party, and inserted themselves into an existing payment thread. Technical compromise may no longer be necessary, as synthetic voice or video can impersonate an executive, employee, vendor, or other trusted party without breaching a company's email tenant or network.

False synthetic content circulated online can also damage an organization's reputation and complicate

crisis communications, even if later disproved. When combined with AI-generated resumes, deepfakes can also help threat actors secure remote jobs via new, synthetic identities and gain access to sensitive company information.

Attacks Against AI and Internal Risks

AI systems and their supporting infrastructure can also become the target of cyberattacks, with potentially severe losses. Prompt injection, data poisoning, manipulated model outputs, credential compromise, and attacks against underlying data or integrations can lead to security and operational consequences. As organizations become increasingly reliant on AI-enabled workflows (and on a small number of AI vendors), interruptions and outages can lead to significant loss.

Recent reports on the hacking capabilities of advanced models indicate that AI is not only an attack surface but can also be an attacker. AI tools are increasingly capable of identifying and exploiting vulnerabilities, even with limited human direction. It is possible that we will begin to see attacks in which AI executes intrusions autonomously.

Organizations must also address threats stemming from internal misuse. "Shadow AI" or employees' unauthorized use of AI tools without oversight, can expose personal or proprietary information. Employees may also use AI for consequential decision-making without appropriate safeguards, creating discrimination, privacy, and regulatory risk, especially in employment, housing, lending, insurance, healthcare, education, or government benefits.

Implications for Cyber Insurance

Insurers must look beyond whether an organization uses AI and assess whether it governs AI in proportion to the sensitivity of the data involved and the consequences of failure. Regulatory risk is constantly shifting as AI laws remain in flux. Most U.S. laws focus on how a system is used and the harm it may cause rather than on technology itself, making use cases more pertinent to risk assessments than certain tools.

Insurers must also consider common, shared dependencies. Many insureds rely on the same foundation models, cloud environments, and AI vendors, often without leverage to negotiate liability or indemnification terms. A major compromise at a prominent AI vendor could affect many insureds simultaneously and substantially aggregate risk.

Bolstering Defenses

Organizations should maintain an inventory of approved AI systems, vendors, integrations, and use cases. A formal AI governance program should establish ownership, permitted and prohibited uses, data handling requirements, risk classification, vendor diligence, human oversight, monitoring, assessments, and logging. Organizations should also document procedures for suspending an AI system, revoking access, and maintaining operations during an outage or incident.

Incident response planning also needs to evolve. Organizations should incorporate AI into incident response plans and conduct tabletop exercises involving AI, such as deepfake fraud, internal misuse, attacks against AI models or data, and outages affecting critical AI workstreams.

Existing cybersecurity fundamentals and best practices remain critical. Organizations should use phishing-resistant multi-factor authentication, limit privileged access, and require verification for high-risk use cases. Employee training should cover synthetic media. Payment instructions and changes to bank account information should be independently verified with safeguards that account for AI-enabled social engineering.

Conclusion

AI is a force multiplier for familiar attacks, a new attack surface (and potential attacker), and an increasingly important operational dependency. It raises the stakes of weak identity verification, data governance, access control, human oversight, and incident response readiness. However, the fundamentals of cybersecurity risk management and best cybersecurity and data governance practices remain the cornerstone of organizational resilience in the age of AI.

About Constangy, Brooks, Smith & Prophete LLP

Constangy's Cyber Team helps organizations across a wide range of industries prepare for, respond to, and recover from data breaches and cybersecurity incidents. The team advises on compliance, incident response, and litigation, providing practical, strategic counsel to help clients manage cyber risk, protect sensitive data, and navigate complex regulatory and claims environments.



Beyond the Breach:

Why the Next Era of Cyber Risk Will Be About Trust

Michael Bruemmer, Head of Global Data Breach and Vice President of Consumer Protection, Experian

For years, cybersecurity leaders have focused on a familiar set of questions: How do we prevent the next attack? How do we keep threat actors out? And how do we respond quickly when defenses fail?

The latest cyber claims data shows why those questions remain critical. But as organizations look toward 2027, another question deserves equal attention: What happens when the effects of years of data breaches begin to compound?

The 2026 NetDiligence *Cyber Claims Study* offers a powerful view of the challenge organizations face today. Based on more than 10,300 cyber claims from incidents occurring between 2021 and 2025, the study shows that ransomware and business email compromise (BEC) remain persistent threats. Of the claims analyzed, 2,639 were attributed to ransomware, while 2,170 SME claims involved BEC.

The financial consequences can be staggering. While large companies represented just 3% of claims analyzed, they accounted for 56% of total incident costs. Ransom demands reached as high as \$500 million, while payments reached as high as \$90 million.

These figures reinforce something those of us working in data breach response see every day: organizations cannot afford to view cyber incidents as isolated technology events. Their consequences can extend across operations, finances, reputation, and, critically, the relationship between an organization and the people it serves.

From Compromised Data to Compromised Trust

The next phase of cyber risk may be defined not only by how much information criminals can steal, but by what they can do with information that has already been compromised.

That is a central theme of our forthcoming *14th Annual Data Breach Industry Forecast*.

The signals emerging in 2026 suggest the nature of the challenge is changing. Cybercriminals are increasingly leveraging artificial intelligence, organizations are more dependent on third parties, and consumers are showing signs of breach fatigue and

declining trust. Meanwhile, vast quantities of previously exposed information continue to circulate and can potentially be aggregated, enriched, and weaponized in new ways.

The result could be a cybersecurity environment in which determining what and who is authentic becomes increasingly difficult.

AI can make fraudulent communications more convincing and attacks more personalized. Years of compromised information can provide criminals with increasingly detailed pictures of their targets. At the same time, consumers who have been taught to question unexpected emails, texts, phone calls and links may become skeptical of legitimate communications as well.

That creates a difficult paradox for businesses. An organization may know exactly what it needs to tell customers following an incident yet still struggle to convince them the communication itself can be trusted.

Preparing for What Comes After the Attack

This evolution requires organizations to think beyond traditional incident containment.

Effective breach preparedness increasingly means considering the entire consumer experience that follows an incident: how an organization communicates, how it demonstrates authenticity, what protection it provides and how it helps individuals navigate risks that may continue long after systems have been restored.

It also makes preparation before an incident even more important. Organizations should understand their critical third-party relationships, establish clear escalation and decision-making processes, test their response plans and consider how they will communicate credibly with customers during an environment of heightened skepticism.

The NetDiligence data makes the cost of getting cyber risk wrong clear. Our forecast looks beyond today's claims to explore where these converging forces could take businesses and consumers next.

Without revealing all our predictions, one theme runs throughout: the next cybersecurity challenge may not simply be protecting information. It may be proving what information, interactions and identities can still be trusted.

Our *Annual Data Breach Industry Forecast* explores the emerging forces we believe could reshape data breach response, identity protection and consumer trust in 2027 and beyond, drawing on more than two decades of experience helping organizations navigate data breaches.

Learn more about our [data breach services](#).

About Experian

When every minute counts, count on Experian Data Breach Resolution for the partnership, solutions, and performance to create the best possible outcome. With 20+ years' experience, we've managed some of the largest and highest-profile breaches in history. Our turnkey offerings include Experian Reserved Response™, data breach response, crisis response management, and identity protection. Discover more at <http://www.experian.com/data-breach> or email databreachinfo@experian.com



Emerging Cloud and AI Risks:

Why governance matters more than ever

Rich Servillas, Director, and Scott German, Principal, Cybersecurity and Privacy Risk, RSM US LLP

Organizations are embracing artificial intelligence and cloud technologies to increase efficiency, improve decision making and accelerate innovation. Yet the same technologies helping businesses move faster also create opportunities for cybercriminals and expose weaknesses in governance, identity management and data protection.

The challenge is not that AI or the cloud are inherently risky. Rather, risk increases when adoption outpaces governance.

Social engineering and fraud gets smarter

One of the most significant changes is the growing role of AI in social engineering and fraud. AI enables cybercriminals to quickly create refined, tailored messages at scale, test different approaches quickly and communicate effectively across multiple languages.

Business email compromise remains a particularly attractive tactic. AI can closely mimic executives, vendors or trusted business partners, increasing the likelihood that employees will authorize payments, transfer funds or provide sensitive information. Organizations that rely solely on employee awareness training may find that sophisticated AI-generated content can bypass established defenses. Identity verification and strong business processes continue to play a critical role in preventing successful attacks.

Middle market companies feel the most pressure

Many mid-market organizations face heightened exposure, with fewer internal cybersecurity resources to keep pace with the rapidly changing threat landscape. As AI-powered attacks become more convincing and scalable, organizations without mature security programs may struggle to identify and stop fraudulent activity before damage occurs.

Cloud risk rises as critical assets move off premise

Cloud adoption introduces another dimension of risk. While cloud platforms offer powerful security capabilities, moving on-premise workloads from on-premises to cloud environments does not eliminate security responsibilities. Common cloud security

risks include misconfigurations, credential theft and unsecured or vulnerable application programming interfaces (APIs).

The lesson is straightforward: cloud services can be highly secure, but only when organizations implement appropriate controls. Identity management, access controls, configuration management, and governance remain fundamental. Organizations cannot simply migrate systems to the cloud and assume security is automatically provided. Administrators must understand how cloud platforms differ from traditional environments and ensure that access, monitoring, and security controls are configured appropriately.

Emerging cybersecurity vulnerabilities

A growing area of concern lies at the intersection of cloud and AI. Cybersecurity professionals increasingly point to cloud identities, API keys and AI accounts as critical assets requiring stronger oversight. API keys often provide direct access to systems and services and can become attractive targets for attackers. Effective governance requires monitoring, managing, and protecting access credentials with the same rigor applied to other sensitive assets.

Many employees also experiment with AI outside approved environments, often referred to as shadow AI. Employees may enter financial information, customer data, human resources records, or other sensitive information into public AI platforms without understanding associated risks. Others may create AI environments or cloud-based AI solutions outside established governance structures. Unmanaged AI can expose sensitive data, create compliance concerns, and increase organizational risk.

Cyber insurers may scrutinize AI governance

These concerns are also attracting the attention of cyber insurers as they are increasingly interested in understanding how organizations govern AI, protect data, and manage AI-related controls. Over time, AI maturity and governance practices could become more influential factors in underwriting decisions, policy terms, and coverage discussions.

What leaders can do now

The good news is that AI is not only helping attackers. AI-enabled tools can improve threat detection, accelerate response efforts, and strengthen defensive capabilities. Success will depend on balancing innovation with responsible governance.

Leaders should focus on the following areas to protect their organizations:

- **Start cloud and AI projects with business processes, not tools.** Technology adopted ahead of clear ownership creates ungoverned exposure.
- **Reinforce identity and process verification.** AI-generated communications are increasingly hard to distinguish from legitimate ones.
- **Assess cloud configuration and controls.** Moving to the cloud shifts where systems live, not who secures them.
- **Govern API keys, AI accounts and cloud identities.** These credentials are now as attractive to attackers as the systems they unlock.
- **Create or refresh AI usage policies.** Without one, employees make risk decisions on the organization's behalf.
- **Use AI defensively to detect and contain issues faster.** The same capabilities accelerating attackers can shorten detection time.

In our incident response work, these are consistently the gaps that determine whether an event stays contained or becomes far more costly.

The future of cybersecurity will be shaped by both cloud and AI. Organizations that recognize the changing risk landscape and build governance, controls, and accountability into technology strategies will be better positioned to benefit from innovation while limiting the potential consequences of misuse.

About RSM US LLP

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The Claims Data Behind Cyber Risk:

Frequency, Severity, and Speed

Karla Reffold, Chief Insights Officer, Surefire Cyber

It's nearly impossible to review this year's data without considering how artificial intelligence (AI) will reshape the threat landscape. While theories about AI-driven attacks are not yet fully translating into reality, we are seeing early signs of where this is headed.

What is visible today is a change in velocity. AI is not necessarily giving threat actors techniques they did not already have; it's compressing the time and effort required to use them. Surefire Cyber's 2026 incident response data is already reflecting this shift. Reconnaissance that once took days can be automated in hours. Malicious code that once required specialized skills can be developed with AI assistance, changing who can execute these techniques and how quickly they can move. That acceleration matters. It lowers the barrier to entry for less sophisticated threat actors and shortens the window defenders have to detect and respond.

That raises an important issue highlighted in the claims study, frequency and cost deserve to be considered separately. Average incident costs remained largely unchanged year over year for small and medium-sized enterprises (SMEs) and large companies. A small number of outlier events can have a significant impact on these averages, as the 2022 data shows. Volume and severity are different axes, and greater speed does not necessarily mean the two will move together. A rise in the number of claims does not guarantee a corresponding rise in cost, just as flat average costs can conceal a growing tail of extreme, high-severity losses.

What does move cost is impact and impact can be amplified by speed. SME claims involving business interruption (BI) cost more than 500% more than claims without it. For large companies, BI represented the bulk of average total incident cost. The faster an intrusion progresses from initial access to lateral movement and impact, the less time there is to detect and contain the attack and the more opportunity there is for damage to compound.

As the claims study highlights, restoration is a significant contributor to overall cost. The expense is not limited to the initial breach. Organizations must rebuild, recover, validate systems and data, and restore operations to a trusted state. If AI's primary near-term effect is to increase attack speed, it could also increase restoration requirements. A faster attack may give threat actors more time to compromise backups or exfiltrate data before response begins, factors that can materially increase the cost and complexity of recovery.

For smaller organizations, the immediate concern is not necessarily novel AI-powered attacks. Threat actors do not need new methods to compromise a business that lacks basic controls. Credential theft, unpatched vulnerabilities, and social engineering already work. AI does not need to find new keys when the old doors are still unlocked. As the claims study shows, smaller organizations remain frequent targets. The character of the risk has not fundamentally changed and in many cases, the same threats are simply being executed faster.

Large organizations and their insurers may face a different AI-driven risk. They account for a smaller share of incidents in the claims study (3%) but a disproportionate share of costs (56%), suggesting that changes in the risks they face could have outsized financial consequences. Their defenses are more mature, making direct compromise harder through conventional means.

We've already seen early indicators of this shift, including deepfakes targeting large organizations. And ransomware or data exfiltration are not the only ways to create business impact and trigger a BI claim. Third party breaches, distributed denial-of-service attacks, and other disruptive campaigns can degrade operations, damage customer trust, and generate real financial loss without an attacker ever gaining a foothold in the organization's own environment. This

could broaden the types of claims insurers need to anticipate beyond encryption and data sensitivity, with losses increasingly driven by the duration and impact of disruption. As AI lowers the cost of mounting these campaigns at scale, the threshold for creating meaningful business impact may fall, even when core defenses remain intact.

This year's claims study reinforces a fundamental point, cyber risk is not measured by frequency alone. A small number of high-impact events can drive a disproportionate share of losses. AI may change both the speed at which attacks unfold and the number of threat actors capable of executing them. The question is how quickly AI will amplify existing threats and whether defenses, response, and recovery can keep pace. The organizations best positioned for what comes next will be those that assume speed is part of the threat and build resilience accordingly.

About Surefire Cyber

Surefire Cyber delivers expert-led, AI-powered incident response (IR) with quality, consistency, and speed. We use experience and automation to help clients manage cyber incidents decisively, reducing impact so an incident is a manageable event, not a defining moment. Built to support insurance-driven response at scale, our end-to-end IR platform enables faster outcomes, consistent quality, and data-enriched insights. We are creating the future of IR.

SUREF[IR]E
CYBER



About NetDiligence®

NetDiligence® is a trusted leader in Cyber Risk Readiness & Response—serving the cyber insurance ecosystem for over two decades. Since 2001, we've helped insurers, brokers, and policyholders reduce the impact of cyber incidents with proven tools, services, and education rooted in real-world claims data.

Our mission is twofold: **proactively support cyber resilience** and **empower swift, effective response** when incidents occur. From benchmark research and interactive tools to policyholder portals and mobile apps, our solutions help make cyber risk more manageable—and insurable.

Breach Response, Ready When You Need It

[Breach Plan Connect®](#) is a dynamic, cloud-hosted incident response solution designed to keep organizations operational in the face of a cyber crisis. Pre-loaded with expert-vetted best practices and fully customizable, it helps teams respond decisively to ransomware, BEC, and more.

Key features include guided plan-building, integrated breach response playbooks, and a **mobile app** for anytime-anywhere access—even when systems are compromised. It's trusted by insurers, IT leaders, and legal teams to turn chaos into clarity during critical moments.

A Smarter Portal for Cyber Policyholders

The [eRiskHub®](#) is more than just a policyholder resource—it's an interactive cyber risk management platform that insurers use to **educate, empower, and differentiate** their cyber product. Fully white-labeled and customizable, it delivers threat intelligence, risk tools, breach response vendors, and much more.

With over 70,000 users globally, eRiskHub helps insureds build readiness—and insurers control loss ratios.

Cyber Risk Assessments Beyond the Checklist

Our [QuietAudit®](#) suite of assessments helps organizations truly understand their cyber risk exposure—not just check a compliance box. We combine deep-dive consultant-led reviews with automated self-assessments, offering actionable insights for organizations of all sizes and industries.

Assessments are tailored to support underwriting, vendor due diligence, and litigation defense, and include add-on options like network vulnerability scans and tabletop exercises.

Where the Industry Connects

Our [Cyber Risk Summits](#) are the cyber insurance industry's premier networking events—bringing together underwriters, claims professionals, breach response experts, and risk managers from around the world.

Programs are expertly curated to address both emerging threats and practical challenges faced by cyber insurers and their clients. In 2027, join us in Miami Beach, Toronto, Huntington Beach, and Philadelphia for next-level insights and connections that move the industry forward.

Contact Us

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About the Study

Contributors

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The NetDiligence Team

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- Mark Greisiger, President
- Heather Osborne, Director of Global Events & Programming
- Steve Kopanski, Director of Marketing
- Cait Osborne, Digital Media & Communications

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Methodology

For this study, we invited the major underwriters and carriers of cyber liability insurance to submit claims information based on the following criteria:

- The incident occurred in 2023, 2024, or 2025.
- The claimant organization experienced a loss covered by a cyber or privacy liability policy.

Invitations to submit data were sent to over 35 individuals at 17 organizations in the United States, Canada, and the United Kingdom. From this group, 13 individuals representing 13 organizations provided 4,825 analyzable new and updated claims.

The 2026 report also includes data from NetDiligence studies published in 2022-2025, representing 5,484 incidents that occurred in 2021, 2022, 2023, and 2024 making a total of 10,309 claims that could be analyzed. All of these were included in the demographic analyses. 9,519 claims with a total incident cost $\geq$ \$1,000

were included in the financial analyses. There were 12 claims in excess of \$100M, ranging in cost from \$100M to over \$500M. Whereas in previous years we have excluded these claims, with comments in the main body of the report, this year we have included them in the analysis.

There are 10,166 claims in the dataset from US organizations, 49 claims from Canadian organizations, and 14 claims from organizations in the United Kingdom. There are also a small number of claims from organizations in Australia, EU Countries, South Africa, South America, and organizations with a global footprint. The country was not specified in 52 claims.

When factoring in SIRs, we were able to calculate total incident cost to date for all 9,519 (100%) of the claims with total incident cost $\geq$ \$1,000. 4,844 claims (47%) included an accounting of crisis services costs. 399 claims (4%) specified a number of records exposed $\geq$ 2. The number of claims reporting the number of records exposed decreased again since last year due to the large number of claims for incidents that do not expose records (ransomware, social engineering, BEC, etc.).

8,896 (86%) claims in the dataset were flagged as closed and 1,406 (14%) as open. The claim status was unknown for 7 claims. 6,193 (60%) claims were for primary coverage, 145 (1%) for excess coverage, and 3,971 (39%) had an unknown, but most likely primary, coverage level.

There were 3,314 claims in the dataset for which the revenue size of the organization was unknown. After comparing the distribution of their incident costs to those of SMEs and large companies, the decision was made to include these claims, with a few exceptions, in the SME group.

Readers should keep in mind the following:

- Our sampling, although large, is a subset of all incidents. Some of the data points are lower than other studies because we focus on claims payouts and total cost for specific incident-related expenses and do not factor in other financial impact, including in-house investigation and administrative expenses, customer defections, opportunity loss, etc.
- There is no attempt here to consider whether claims associated with the same incident appear more than once in the data set. Given the fact that claims are anonymized when they are sent to us, there is no possible way for us to know this. We believe that the number of duplicated claims, though not zero, is very small.

- We are not privy to the terms of the cyber insurance policies governing the claims provided to us. Apart from SIR, we have no insight into specific exclusions, limits, or sub-limits that might be involved. For this reason, the reader is advised to consider the costs reported in this report as lower bounds—i.e., we know that a given incident had a cost of at least \$X but cannot say how much more than this amount.
- Having said that, beginning in 2017, we began asking respondents to provide us with an estimate of the total cost of the incident, including amounts that were excluded due to policy provisions. While a few participants in 2017 provided these estimates, a greater number of participants have done so since then, thereby increasing our ability to understand the true cost of an incident.

- In statistical terms, our sample is a "convenience" sample, which means that we have taken the data we have been given and have described it. We cannot make any statements about "significance" or "non-significance."

It is important to note that 14% of the claims submitted for this study remain "open." Therefore, aggregate costs as presented in this study include "payouts to-date" and "incident cost to-date." It is virtually certain that additional payouts will be made on some of the claims in the dataset, and therefore the costs in this study are almost certainly understated.